Alembic Pharma (APLLTD)

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Call: May 2023

ALEMBIC PHARMACEUTICALS LIMITED
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Date: 12th May, 2023

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code:533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 5th May, 2023
Ref: Our Intimation dated 26th April, 2023
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 5th May, 2023 .
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Li mited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited
Q4 FY '23 and Annual Results Conference Call "
May 05, 2023

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ANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR , FINANCE AND CHIEF FINANCIAL OFFICER
MR. MITANHSU SHAH , HEAD -FINANCE
MR. AJAY DESAI , SR.VP-FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to the Alembic Pharmaceuticals Limited Conference Call on discussion on company's Q4 and Annual FY '23 Audited Financial Results. As a reminder, all participant lines will be in the listen- only mode and there wil l be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal
an operator by pressing start , then zero on a touchtone phone. Please note that this conference is being rec orded.
I now hand the conference over to Mr. R.K. Baheti, Director of Finance and CFO. Thank you, and over to you, sir.
RK Baheti: Thank you. Good evening, everyone. Thank you all for joining the Fourth Quarter & Annual R esults Conference Call.
Let me start with the financials, and there are a few non- recurring or one-offs, which I'll try to explain. And then, of course, we'll take your questions.
During the quarter, the total revenue is Rs. 1,406 crores, EBITDA is Rs. 205 crores, net profit is Rs.153 crores. EBITDA margin for the quarter is 14.55 %.
For the full year FY '23 revenue is INR 5,653 c rores, EBITDA is INR 680 crores and net profit is INR 342 crores.
The C ompany like in previous few quarters continue to expense out previously amortized R&D e xpense in erstwhile ALEOR amounting to INR 11 crores in the current quarter and INR 155 crores for full financial year 2023. C ompany's profit before tax and after tax would have been higher by INR11 crores in the quarter and INR155 crores in FY '23 without this amortization. Now the entire amount has been expensed out and there is no residual intangible assets in the books.
Second item, as intimated to stock exchanges earlier , Company's board has decided to recognize the impairment of INR 1150.43 c rores, in respect of capital work in progress, largely consisting of pre- operative

expenses of three new manufacturing facilities. Out of above INR 676.87 crores has been written- off in current financial year that is in '22- '23 and for the balance amount o f INR 473.56 crores , provision for impairment has been created. The rationale for this bifurcation has been given in detail , in our notes to account. Simultaneously, INR1 ,025.66 crores i.e net of deferred tax asset of INR 124.77 crores has been withdrawn from general reserves of the C ompany, hence there is no impact on profit for the year on this account.
Company is not required to make any provision for income tax during the year. The provision for taxation made up to Q3F Y23 has been reversed in Q4FY 23.
With effect from 1st of January 2023, Company decided to stop all further capitalization of pre- operative expenses of all the new facilities and charge the entire expenses to P &L account. As compared to the previous quarters , Company debited additional rupees approximately INR 65 crores in Q4 under various heads on this account.
During the quarter /financial year, PLI benefit of INR 21 crores was received from Government of India.
EPS for the quarter before non- recurring item, is at INR 8.33 per share versus INR 8.47 while for FY '23 full year, it is INR 25.29 per share versus INR 33.85 per share in the previous year.
The gross borrowing at the consolidated level is INR 636 crores v ersus INR 630 crores in March 2022. C ompany has INR 75 crores of cash on hand as of 31 March , 2023 versus INR 61 crores for March 2022. Net debt equity stands comfortably at 0.13.
You will see that f rom th e cash flow point of view, C ompany's borrowing remains almost the same as of March 2022. There is no incremental borrowing in Mar ch 2023 versus March 2022. C ompany met its entire capex , as well as the dividend payment of almost INR 200 crores out of its internal accruals . T

he cash flow for the C ompany continues to remain strong.
I will now request Shau nak to take you through India -branded business.

Shaunak Amin: Yes. Thank you, Mr. Baheti. Good evening, everyone. For the fourth quarter, India branded business saw 9% growth in the top line of INR 490 crores. There was a COVID impact in the base of azithromycin on allied products in the previous years. Ex of Azithral growth, the India business grew at 12%.
As per IMS in Q4, industry grew by 15%, whereas Alembic cloaked the growth of 16%, in line with our o bjective of matching or outgrowing industry by few points .
In quarter 4, our specialty segments, the company performance was 13% versus 12% for the industry, mainly driven by therapies, gynecology, anti -diabetic, ophthalmology and orthopedics.
In the acute segment, the company performance was 23% growth, and Ex of Azithral was 38% growth, whic h is better than the industry's 28%.
In res piratory Company grew by 38% whereas Industry grew by 28%
The animal health business continues to maintain, its strong run of growth momentum and recorded a growth of 15% over the previous year.
For the fi nancial year '23, the India branded business has 7% growth with the top line of INR 2,063 crores. Ex of Azithral and Alcibute of India Branded Business growth is 13% for the year.
As per IMS, the industry grew by 8%, versus Alembic reflected a growth of 9%.
For Specialty segment, the company performance was 15% versus industry growth of 11% majorly driven by therapies like Gynecology, Anti-diabetic, O phthalmo logy, and O rthopedics.
In the acute segment, the company performance Ex of Azithral was 10% versus the industry growth of 6% for the year.
In respiratory the company grew by 11%, whereas the industry grew by 3%.

The Animal Healthcare recorded a business growth of 21% over the previous year.
And as one of the highlights for last year was we have a brand called Isofit, which has been the second best launch in the I ndustry by IMS among 3,072 new launches in the I ndustry for the 12 months . Isofit recorded a growth of INR 28 cro res in the first year of launch(as per ORG)
And majority of our focus brands in the current year have gained market share over the previous year.
Three of our large therapy areas, Cardiology, G astroenterology, and Gynecology have underperform ed in the year '23. The operational and strategic interventions were taken in the previous year with an objective of outperform ing the market , akin to some of our other high growth segments on a sustainable basis. And we expect this kind of growth to start kicking -in this year.
I'll hand over the discussion to Pranav for his presentation on the international business.
Pranav Amin: Thank you. The US business continues to remain challenging on account of the competitive intensity. Though it was a tough year in the U.S., we did manage to grow our volume well over the previous year.
Our focus is on improving efficiencies and execution in the midterm.
The U .S. generic's revenue was INR 354 crores during the quar ter. The number is not comparable to the same quarter last year as Q4 of last year had a high sales as we had transitioned to 3PL and we have done overstocking in that quarter.
The ex -US market continues to perform well, and it grew 33% for the quarter and 10% for the year.
The API business also is on a strong footing, and it performed very well. It grew 41% for the quarter and 24% for the year.

Importantly, the ex -US formulation and the API have both come up high
base over the last couple of years, so we're confident of a continued
good performance in both these verticals.
Our R&D expense was INR136 crores, which include

s INR11 crores of a one- time non -cash Aleor write -off. Tak ing this out, it is INR125 crores,
which is about 9% of sales for the quarter . While for the full year, the
total R&D expense is INR722 crores. Ex -of Aleor, it is INR567 crores,
which is 10% of sales. This is a conscious effort that we've been making to get R&D as percentage and as an absolute amount. We wanted to
try controlling it moving forward.
We will continue our efforts to optimize R&D expense, particularly on
the oral solid dosages in the coming years.
We filed 4 ANDAs during the quarter.
We also r eceived 7 approvals in the quarter
We commercialized F2 and F3 plants during the quarter, and the first
set of products were dispatched.
We launched 6 products in the quarter, and in Q1, we hope to launch
up to 10 products, at least, and 20 products in t he entire year.
The USFDA conducted an inspection at an F3 facility in March and
issued two observations. We have received three final approvals from
the site till date.
The USFDA also conducted an inspection at a Derma facility in March with zero 483 observations.
An EIR was issued for an onco facility, F2, during the quarter. We have
received 5 final approvals from the site, including the onco OSD till date.
The USFDA also inspected our new oral solid dosage facility, F4, in
December, and issued five observations. We have received approval of
two products from this facility till date.

In terms of the numbers, the US Generics was at INR354 crores for the
quarter and INR1,572 crores for the financial year.
The ex -US Generics, as I mentioned, had a good year, and it grew by
33% to INR249 crores in the quarter, and by 10% to INR852 crores for
the year.
The API business had a fantastic year. It grew by 41% of the quarter to INR 313 crores, and by 24% to INR1,166 crores for the financial year.
I would like to open this floor for Q&A, so let me start with you.
Moderator: Thank you very much . We have a first question from the line of
Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai : Hi. Thank you for the opportunity. My first question is to Pranav
regarding the US business. So now we are sub- 45 million sales in the
fourth quarter, and what we have heard from some of the players that price erosion in the US has stabilized, but your commentary seems, I
will say, more cautious. Can you share a bit more detail, like where are key challenges from your business perspective and how should we look at this business in coming year?
Pranav Amin: There is still a price erosion in the US market, has it slowed down? Yes,
compared to about a year back, it has slowed down. One of the reasons
could be because of people are placing less priority in the US business.
We have seen some players prioritize US business a little lesser. Number two is that there have been quite a few inspections. So there
have been some regulatory issues that some companies have faced,
but we do continue to see pricing pressure in the market. I think some of players, the ones that have done well, have got a few handful of
approvals which must have offset the price erosion of regular products.
But there is still pricing pressure in the market, it's lesser than a year
before, but it's still there.
RK Baheti: Also, Damayanti, as Pranav said in his opening statement, this quarter
4 number is not really comparable because previous year, Q4 of March

'22, we had an exceptionally big because of transition of 3PL where we

had to ask our distributors to s tock up and this was explained at that
time during the Q4 '22 Investor Calls.
Damayanti Kerai : Sure sir. So in terms of erosion level, are you still facing say like, double
digits, if you can like give some indication where it stands…
Pranav Amin: It really depends product

-to-product, but yes, I think it's still in the double
digits.
Damayanti Kerai : In say, next two quarters to three quarters down from here, how do you
see like, pricing to pan out? Any relief, any sign that you see that we'll
be seeing better pricing in coming quarters?
Pranav Amin: What happens is as I mentioned before, and histor ically in the calls I've
said, if you see Sartan opportunity and the kind of prices that we were
selling the sartans , earlier . Once it gets beaten down to the ground, then
there's not much, how much lower can you keep going, right? At some
point, hopefully this will start, we've already seen that erosion has become less. There have been more supply challenges in the market
for ev eryone. So hopefully, prices also should stabilize. I believe there
will continue to be erosion because fundamentally there's just a lot more
capacity for the US market from India than is warranted and that's
what's causing this.
Damayanti Kerai : Sure. My second question is R&D. So it seems like, you are tracking in
line with what you guided, like you've come down substantially. So now
say, if I annualize four quarter R&D number, we are somewhere like
INR500 crores, INR525 crores kind of R&D expense for nex t year. So
that's what we should be working with?
Pranav Amin: Yes, I think that's a good number for you guys to work with. Of course,
internally there'll be a little change. We'll switch the balance internally,
as I mentioned in my opening statement that we may reduce some of
the OSD spend and we may increase injectable, we may reduce some
fixed costs. But yes, INR 500 crores, INR 525 crores is a good number
to work with.
Damayanti Kerai : And how many filings like you target with this kind of lower R&D expense?

Pranav Amin: We'll still target about 15 to 20 filings .
Damayanti Kerai : And my last question is for Baheti sir. Sir, I missed your comment. You
said like, you won't be capitalizing any pre- operating costs now and
everything will be moving to the P& L. If you can explain that bit, that will
be helpful?
RK Baheti: Yes, Damayanti, you heard it right. U p to 31st of December, 2022, we
were capitalizing all pre- operative expenses of facility F2, F3 and F4.
Now effective from 1st -- while we are charging of f the impairment to
P&L, there is no rational e for us to ke ep further capitalizing. So effective
1st of January, 2023, the board has decided that all expenses will be charged off to P&L. And that's how this quarter, quarter of March '23,
an additional expense of INR65 crores has hit P&L as compared to the
previous quarters.
Damayanti Kerai : Okay, and fourth quarter numbers are now like, should be fair
representation of cost we should be seeing in coming quarters without any capitalization?
RK Baheti: Yes, that's right. Other than that INR11 crores, which is a residual
expense which we have done out of the old annual R&D amortization.
They are also now it is cleaned up, so you won't find that in next
quarters.
Damayanti Kerai: Okay sir. That's helpful. Thank you. I'll get back in the queue.
RK Baheti: Thanks.
Moderator: Thank you. We have a next question from the line of Ankush Mahajan
from Axis Securities. Please go ahead.

Ankush Mahajan: Yes. Thank you sir for providing me the opportunity. So my question is related to the US business first. So how many molecules that's -- new molecules that we are expecting to launch this year in the US market for FY '24? And sir, we have done a very good numbers in the API business. Just try to understand sir, how is the de mand for the API and across the geographies. Let's just put some thought on it.

Pranav Amin: Yes. In terms of US market, as I mentioned earlier, that we will launch about 20 -odd products

in the financial and FY '24 in the US market. And quarter one will be a little more, but total about 20 -25 is what we should look at for the US. Q4 was good for the API business. Very good. For the year, we would expect the API to go about 10% . It is a good market. We have some opportunities. We have some more long term contracts. We could free up some capacities as well. So that's what led to an increase in the API business.
Ankush Mahajan: So earlier sir, these API prices were falling now. So can we say these are stabilized now?
Pranav Amin: It depends. It's tough to say. API prices are falling. It really depends who you're supplying to and what. we' re still seeing some erosion in API prices. There were a lot of supply constraints over the last two years. We need China for intermediate, so COVID related. But you will see pricing pressure in API prices. L ot of the growth is not due to pricing. It's due to volume growth.
Ankush Mahajan: So we can say that the volume growth, that uptick is there in terms of volume?
Pranav Amin: Yes.
Ankush Mahajan: And sir, what we are launching now is 20 -25 products in the US market. So could you throw some more light on that? In which therapies, which segments that we are looking?
Pranav Amin: For US generics, we don't give therapy wise segments. What will happen as you see when the gr owth…
Ankush Mahajan: I mean, in terms of injectables, how many injectables?
Pranav Amin: In terms of injectables, out of 20- odd approvals, I'm assuming about 10 to 12 will be oral solid dosage and the rest would be ophthalmic and injectables.
Ankush Mahajan: And pricing scenario any injectables at this moment?

Pranav Amin: It's too early for us. We've just started launching. So it's still early days for us on the injectables. Maybe next quarter we'll have a better track record, I got to say.
Ankush M ahajan: Thank you, sir. Thank you very much.
Moderator: Thank you. We have a next question from the line of Bharat from Equirus. Please go ahead.
Bharat Celly : Yes, hi. Thanks for the opportunity and good evening everyone. So I just wanted to understand on the opex part. So when we look at opex, sequentially ex of R&D, it is declining. Despite the fact that we have seen new facilities getting commercialized and all the pre- operating expenses are hitting the P&L account. So what is it leading to this lower expense sequentially? If you could explain that?
Mitanshu Shah : So Bharat, if you see this and if you're comparing it with the last year, we had a one -time impact of a INR100 -odd crores that for the Aleor actually, right? So if you're comparing with that, obviously it will look low,. Otherwise, it is generally a flow of...
Bharat Celly : Actually, I'm comparing over third quarter of FY '23. So if I look at sequentially, it is also down.
Mitanshu Shah : Yes, I was coming to that actually. So if you see the last year it was with Aleor and this time the impact is largely on account of, the marketing

spend and all those things. So there is, a bit of the R&D as well is low actually and all of that culminates down to a lower spend. So that's precisely the reason, I m ean. Yes.
Bharat Celly : But still, if I look at, right, in first quarter we were doing around INR330 crores. Second quarter was INR340 crores around. And if I just talk from that perspective, now what is happening is in third quarter we are still sitting a t around a similar number. I would say INR330 crores, which includes three of the expense of around INR65 crores. So that means overall expenses have gone down, underlying expenses have gone down far below. So I can't get it. Because that will mean that we are around INR265 crores, ex of INR65 crores or INR65 crores, which we are referring to.

Mitanshu Shah : No. So you are comparing this with December's number of INR513- odd crores with INR460- odd crores, right? That's what you are comparing.
Bharat Celly : Right. After excluding for clarity.
Mitanshu Shah : Exactly. That's what I am telling you that, you will see some of those promo spends and, all the other expenditures actually. Those kind of, you will always see a bit of a variation there. I mean, there w ill be some quarters which are bumped up quarters and then there would be quarters where it is, this time its a little lower actually. So this was one such quarter where we had lower spend.
Bharat Celly : Okay. So is it safe to assume that it will be again going back to the normal levels which we have seen historically?
Mitanshu Shah : Yes. So if you look at the full year number, so your full year number is close to INR 2,000 crores. So on that number, you could and considering that, we had INR60- odd crores o f additional expenditure in Q4 for new plants, you can safely consider that, there would be around 10% increase in that number for next year.
Bharat Celly : Right. The Aleor expense will not be repetitive. I get that. But largely we are saying that ex of Al eor, we will be seeing a good growth and another INR60 crores – 40 crores expenses will be also, sorry, INR180 crores sort of expenses will also be hitting other expenses c onsidering because of new plant s expenses. Right?
Mitanshu Shah : Correct.
Bharat Celly : That's helpful. And on the US market, we have been referring that we will be launching a couple of new drugs. Could you tell us that how many new injectable products have been filed till date out of all the facilities which we have?
Mitanshu Shah : Bharat, you want to know the filings actually, right? So around the most the plants put together is close to 15 filings.
Bharat Celly : One- five filing?
Pranav Amin: One five.

Bharat Celly: Okay. 15 injectables are filed till date. So overall pending approvals are around 40, 45 for us at this moment?
Pranav Amin: No. Overall pending approvals are around 90.
Bharat Celly : Pending ones, right?
RK Baheti: Pending. Yes.
Bharat Celly: That's helpful. Thanks a lot sir. I will get back to the queue.
Moderator: Thank you. We have a next question from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.
Tushar Manudhane: Thanks for the opportunity. Considering the number of launches comprising both oral solid as well as injectables, what k ind of sales can we expect in the US for FY '24, from current $180 million, $200 million?
Pranav Amin: Tushar, we don't give a forward guidance. And for the US is very tough and I'll tell you why is, let's see how the launches happen as early days for us on the injectables. We would like to go to business, but the other side, what I answered earlier to Damayanti is, that there's a lot of erosion as well. Right. So it's very tough for me to predict and that's why

we don't give a guidance for US sales.
Tushar Manudhane: But while price erosion are there, but at the same time compliance
issues for competitors or somebody shutting, literally shutting down the plant. So we don't see the opportunity…
Pranav Amin: I believe there are opportunities in the US market and you continue to
get opportunities and you have to be a nimble player, but to put a
number on it is tough. So I wouldn't like to give a forward guidance.
Tushar Manudhane: All right. And in particularly in API, just one more question. Why you
address t hat it is most of the growth is volume- led there? INR300 crores
sort of a run rate is very much possible or there is a further scope on
account of this significant volume uptake?

Pranav Amin: That's the API business is a good business and it will continue to grow.
So expect API and ex -

US, rest of the world generics, I think both should
grow by 10% at least this year.
Tushar Manudhane: Okay, sir. Thank you.
Pranav Amin: Thanks.
Moderator: Thank you. We have our next question from the line of Darshil Jhaveri
from Crown Capital. Please go ahead.
Darshil Jhaveri: Hello. Good evening, sir. And thank you so much for taking my question.
So I just wanted to ask about what do we feel our margins w ill be around
going forward for the next year?
Mitanshu Shah : Darshil, margins of course would be in bit of pressure considering that we would have all the new plants now commercialized actually. The run
rate of that is close to INR 60-odd crores every quarter actually. So that
would have and -- but again, again, you will have sales coming in from
this. So it's going to play out over the quarters. But if we are to take a
guess, I would say that a number around 15% would be a right number
to go with.
Darshil Jhaveri: Sorry. There was a network issue. I missed the last question. Sorry.
Mitanshu Shah : In the interest of everybody, we can take that offline. We'll discuss.
Darshil Jhaveri: Okay. And sir, I have one more question. So I understand your sales
would be a bit difficult to guide on. But overall, how much do we could
see a range of revenue growth that we could expect in the upcoming
few years? Maybe nothing specific, but some kind of color with that
would be helpful.
Mitanshu Shah : see like, domestic, we said that, not giving the number, but, we will
outsmart the industry growth rate. As far as international generics is
concerned, US is, we would have very good launches coming in actually. And so that would be growth as far as US territory is concerned. ex of US, other generics, we should grow at around 10% -
12%. API business, 10% -12% of growth is possible.

Darshil Jhaveri: Okay. Thank you so much. That helps me a lot. All the best for the next
quarter.
Moderator: Thank you. We have a question from the line of Bino Pathiparampil from
Elara Capital. Please go ahead.
Bino Pathiparampil : Good evening. You have menti oned that you have taken a write back
of tax in Q4, is that related to the write -off of assets?
Mitanshu Shah : Yes. That's true. whatever provision which was done in the first three
quarters gets written -back in quarter 4.
Bino Pathiparampil : Okay. And are there any more deferred tax assets related to this that
you are carrying forward into FY '24?
RK Baheti: The balance of INR 470-odd crores of impairment for which the
provision has been done, depending on how the generic market
behaves and how the impairment valuation will be at that time, if required will be written- off in FY '24. Then those plant s, those part of
the facilities gets operational .
Bino Pathiparampil : Understood...

RK Baheti: Impairment of INR1,150 crores, as I explained INR670- odd crores have
been c harged -off in the current year , we have made full provision so
that no further hit comes on P&L of subsequent years.
Bino Pathiparampi l: Understood. So basically, if the remaining write- off also happens in FY
'24, then that tax benefit could come in FY '24. So FY '24 tax rates could also be very low.
RK Baheti: Yes.
Bino Pathiparampil : Okay. And FY '25 onwards, what sort of reported tax rates should be --
should we come to, should we will we go back to around 25%?
Mitanshu Shah : So we will continue. See, before this, we were in amity. So you can
safely assume for your calculation purposes that we will be in mat ch,
which is 17.5%.

Bino Pathiparampil: Okay. Got it. Thank you.
Moderator: Thank you. We have our next question from the line of Tarang Agrawal
from Old Bridge Capital. Please go ahead.
Tarang Agrawal : Hi, just wanted to check a couple of things. One, how should we look at your c apex f

rom FY '24 onwards? And second, given that INR65 crores
is the additional quarterly hit that we've seen. So would it imply about
INR240 crores to INR250 crores of additional annual hit on the P&L because of the new facilities?
RK Baheti: So as we have been sharing with investors, most of the capex, most of
the new projects are now completed and we are commercializing it. So
capex in '23- 24 largely which is in de- bottlenecking or little bit of
expansion of API capacities. We are also invest ing in some solar power
so that electricity cost goes down because in Gujarat it i s pretty high
and there will be some investments in new facility for India branded
business, which is at an initial stage.
But having said all this, the capex and of course t here wi ll be no pre- op
capitalization, the total capex should be less than INR250 crores.
Tarang Agrawal : Okay. And to my second question?
RK Baheti: What is that?
Tarang Agrawal : Would we see an additional hit of about INR250 crores to INR260
crores?
RK Baheti: Yes, that's right. I mean, that's not a result of some normal routine
expenses which will get charged to P&L.
Tarang Agrawal: Okay. That's it. Thank you.
Moderator: Thank you. We have a next question from the line of Bharat from
Equirus. Please go ahead.
Bharat Celly : Thanks for the follow -up. Baheti Sir, actually during the last quarter we
were referring that there is total INR400 crores expense, INR200 crores above EBITDA and INR200 crores below EBITDA.
Now since we are

referring INR65 crores abov e EBITDA, that translates to almost like
INR250 crores to INR260 crores. So is there any incremental cost which
we have realized now? So because earlier we were guiding for almost like INR180 crore s to INR200 crores above EBITDA?
RK Baheti: As these facil ities gets operational, the operating expenses also goes
up as they get into commercial production. So earlier these facilities are being used only for taking exhibit batches and for
taking those filings. Now they are being used for regular commercial production.
Bharat Celly: So from here on whatever the increase would be, that will be largely the
inflationary one. Or there will be some INR600 crores which is sitting as
CWIP. So would be any additional increase also which can happen over
and above once those are commercialized?
Mitanshu Shah No. So that would be very incremental, small capex, which is just a
balancing equipment. So that number stays there actually.
Pranav Amin: But what would happen is as you start commercializing, so you are not
doing any major capexes or big plants. I think just in the line there will
be balancing media higher equipment size and stuff for commercial
basis. That's about it.
Bharat Celly: Okay, I get that. And since we were referring that there will be another

INR200 cro res which will be coming below EBITDA. So with new
impairment which we have done, what sort of number that will be now?
Mitanshu Shah : Yes, so the number would be like you know cash would be around INR200 crores, INR220 crores and depreciation would be another INR75 -odd crores actually. So all put together would be around between INR280 crores, INR290 crores for these new plants.
Bharat Celly: Can I beg your pardon? So you said INR200 crores…
Mitanshu Shah : Cash expense would be between INR200 crores, INR220 crores and there would be additional depreciation of around INR75 crores. That would take the total number to INR280 crores .

Bharat Celly: Okay. So -- but my belief was we were already doing INR65 crores during this quarter. That was above EBITDA? Or that is across our line item.
Mitanshu Shah : Bharat that is exactly what has happened. This -- I mean, arrangement that we have done with CWIP takes care of the depreciation on the preoperative

and that's like INR100 crores of the depreciation FBO.
Bharat Cel ly: I get that. What I'm asking is the INR65 crores, which we have charged to the P&L during this quarter, is that a spread across above EBITDA and as well as below EBITDA...
Mitanshu Shah : Depreciation portion into it, yes.
Moderator: Thank you. We have a next question from the line of Resham Jain from DSP Mutual Fund. Please go ahead.
Resham Jain: Good evening. Just a question on the margins. You mentioned 15% margin for the full year. Is that right?
Mitanshu Shah : Yes, that's what the ball mark numbers.
Resham Jain: And how will this trajectory be because you have multiple launches maybe in the first half and we'll scale up in second half. So do you feel -- what do you expect the exit date would be?
Mitanshu Shah : can you repeat that?
Resham Jain: What I was asking is that 15% is a full year margin. So how the margin trajectory will be? Because first half, you will have multiple launches and they scale up as year progresses. So how will the exit run rate of margins be?
Mitanshu Shah : We're talking about ye ar as a whole. I mean, not by setting that into quarters, actually. I mean, it's overall -- and again, I mean, it's just giving a flavor for the year.
Resham Jain: Okay. Because if you look at before your certain benefits, the kind of margins you were maki ng and now once the plant scales up, so that was the context. But even after scale up, you don't see the exit run rate

would be better than what you would be doing, let's say, first half -- that was the context in which I was asking this
Mitanshu Shah : See, that's exactly because we will not be completely putting intact because if you look at the grid and the approval of the products and things like that, you are going to partially keep using the plan, gradual scale up is going to happen. So you will have f ive, seven products. Then in the second half, you will scale it up to 10 products. FY '25, you will have 25 products like that. So that's our...
Pranav Amin: So one thing is the plants while we start using them, they're not fully optimally utilized. They'l l take a year or two till all new approvals come. Second thing is, even before the start -ins, you know, what's happened is the fundamental US business that we had, the margins have come down in that.
And that is impactful. So even before the start -ins, th e margins in the U.S. business for the OSD were much higher. They were continually shortages and they 're very high margins in the US business that time as well. So that's the fundamental part that has changed. The rest of the business, India is growing, RO W is growing, but it's just the US

that's dragged down the margins.
Moderator: Thank you. We have a next question from the line of Damayanti Kerai
from HSBC. Please go ahead.
Damayanti Kerai: So I have two questions on India business. So you mentioned that you
continue to outperform the market. Can you talk a bit about the growth drivers? Like what are your expectations in terms of volume or price contribution from the new product introduction, etcetera?
Shaunak Amin: What we maintain is that if the market grows, whatever the market
growth is, we aspire to grow a couple of points higher than the market growth numbers, and which would be a composite of all of new
launches, some price increases, some time volume would be a bulk
effect.
It also is depending on the profile of the market growth. But yes,
anywhere from matching market growth to maybe you're going up 4, 5

points higher than the market growth. I m ean that is what we are
working towards.
Damayanti Kerai: Sure. So if I understand correctly, volume part will be obviously
following the market trends, etcetera. But should we assume the pricing
contribution a

round 5%, 7%, which we generally see a...
Shaunak Amin: Yes. Like I said, I don't have the exact breakup offhand, but I just can
share that with you. But I think volume would be a bulk of the growth numbers and there will be smaller components of pricing in this whole
thing also.
Damayanti Kerai: Okay. And...
Shaunak Amin: But just so that we're clear, on the DPCO products, there will be no
pricing increase versus last year. So if you have to take that as which
is a decent chunk of our portfolio, if we keep that as flat, except that
there will be some price increas e, but there will be some price cuts also
as a part of that. But yes, it would be largely volume and there would be
a smaller component of pricing on that.
Damayanti Kerai: Okay. So just to clarify, you don't assume any pricing change in the
DPCO part of y our portfolio, although around 15...
Shaunak min: Yes, because if you see over last year versus this year, prices are the
same if I have to factor -in the cut, which we had to take last year as well
as the opportunity as per the WPI, it was a net even. So I don't think
there's any increase over the previous financial year at the start of the
financial year.
Damayanti Kerai: Okay. And my last question is on your observation. This is for the
broader business. So your observation on the input cost pressure,
which we make for a few quarters back. So all those have normalized
the input cost pressure on raw materials or fleet, etcetera.
Shaunak Amin: Some of the pressure still stays on the packing on the RMPM side of
things. But honestly, with the price and oil coming down, we expect
some easing above this hopefully going forward. On the API side, there
is some marginal increase, but not material.

Damayanti Kerai: Okay. And are there like energy or fleet costs, etcetera?
Pranav Amin: No, -- we don't have large component to India business on that side.
Damayanti Kerai: Okay. Not to India business, but from overall business, maybe...
RK Baheti: Like other energy cost would be increasing A, because of rate hikes by
the state electricity boards and B, because of increased unit
consumption with operations of additional facility. And I mentioned in
my note that we will be investing into solar projects for compensating
for -- so there'll be one time investments , but then there'll be a significant
amount of savings over the next 20 years or so.
Damayanti Kerai: So this benefit of solar energy investment will come from this year itself?
Or it will take some time?

RK Baheti: It will come from H2 of this year.
Moderator: Thank you. Ladies and gentlemen, that was the last quest ion for today. I now hand the conference over to management for closing comments.
RK Baheti: Yes. Thanks. So thank you, everyone, for being patient with us. I t was a heavy board and the meeting extended right up to 4:30 or so . So thank you very much for being with us till late in the evening and wish you a happy weekend, and we'll keep interactin g individually and of course . Wish you all the best.
Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

ALEMBIC PHARMACEUTICALS LIMITED
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Date: 9th August , 2023

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code:533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 4th August , 2023
Ref: Our Intimation dated 21st July, 2023
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 4th August , 2023 .
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Li mited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited Discussion on Company's Q1FY24 Unaudited Financial Results Conference Call "

August 04, 202 3

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R. K. BAHETI – DIRECTOR - FINANCE & CFO
MR. MITANSHU SHAH – HEAD -FINANCE
MR. JESAL SHAH – HEAD - STRATEGY
MR. AJAY KUMAR DESAI – SENIOR VP -FINANCE

Moderator: Ladies and gentlemen, good day and welcome to Alembic Pharmaceuticals Limited Discussion on Compan y's Q1FY24 Unaudited

Financial Results Conference Call.
We have with us today, Mr. Pranav Amin - Managing Director , Mr. Shaunak Amin - Managing Director , Mr. R. K. Baheti – Director -Finance and CFO , Mr. Mitanshu Shah – Head - Finance , Mr. Jesal Shah – Head-Strategy , and Mr. Ajay Kumar Desai - Senior VP - Finance .
As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. R. K. Baheti. Thank you a nd over to you, sir.
R. K. Baheti : Thank you. Good evening, everyone. Thank you all for joining the 1st Quarter Results Conference Call . I am sure you have gone through the Results by now.
Let me briefly take you through the financial numbers. During the quarter, our total revenue grew 18% to Rs. 1,486 crore . EBITDA is Rs. 210 crore, which is 14 % of sales and grew by 67% before considering nonrecurring items in corresponding quarter . Net pro fit is Rs. 121 crores.
EPS for the quarter is 6.14 per share versus Rs. 1.84 per share before nonrecurring items of previous corresponding quarter.
Interestingly, this year 1st Quarter EBITDA and net profit are after charging all expenditure of new plants that is F2 , F3 and F4. Till December 2022 or so, we were capitalizing them as CWIP.

The gross borrowings at consolidated level are Rs. 600 crores versus Rs. 630 crores in March 2023 and C ompany has about Rs. 90 crores cash on hand. In March 23, the number was Rs. 75 crores , the net debt equity is now at 0 .11.
It will be interesting for all of us to hear from Shaunak and Pranav about their respective business performance. So I am handing it over to Shaunak for India branded business.
Shaunak A min: From the India business, we gre w at 9% to Rs. 524 crores for this quarter. For Q1 if I look at comparison with external numbers, industry grew by 9% as per IMS whereas our external growth journey is at 11% .
Our performance for specialty therapy showed growth of 12% .
For Acute , Industry reflected a growth of 10%, whereas we reflected a growth of 16%.
Anti-infective , Industr y had 10% growth whereas Alembic recorded 19% growth .
In cough and cold , Alembic 's growth is in line with market growth of 10% and our Animal Healthcare continues to outperform with 11% growth in Q1.
For the quarter, the business did see a bit of softness in the back end of the quarter, partly due to the extended summer months in larg e parts of the country and going forward hopefully once with the onset of first monsoon, we should see a significant pick up in momentum going forward.
I will pass it on to Pranav to talk on the International B usiness.
Pranav Amin: Thank you.

The US busin ess grew 6% in rupee terms on a year-on-year basis. Our focus is on launching new products in this year and improving efficiencies and execution in the midterm .
Importantly the ex -US formulation as well as the API business have done very well and we are confident both these verticals performing in the coming quarters as well .
The R&D expense for us was Rs. 119 crores, which is approximately

8% of sales in the quarter. As I had mentioned in the past, we have
been working and optimizing the R&D costs and the improvements are
on track.
We filed 5 ANDAs during the quarter and cumulative ANDA filings stay

at 250.
We received 5 approvals in the quarter and cumulatively have 184
ANDA approvals.
We launched 6 p roducts in the quarter and plan to launch over 20
products during the rest of the year.
The US FDA had inspected our new oral solid dosage facility F4 in
December. We have now received EI R for the facility and have two
product approvals from this facility . With this, all our manufacturing
facilities have the respective EIRs in place .
In terms of revenue, the US generic s were flat at Rs. 390 crores
whereas the ex -US generics grew 46% to Rs. 266 crores and the API
business grew by 31% to Rs. 305 crores .
I would like to open the floor for question and answers. Thank you.
Moderator: Thank you very much . Ladies and gentlemen, we will now begin the
question and answer session. The first question is from the line of Am
Lodha from Sanmati. Please go ahead.

Am Lodha: I have got two questions , number one research and development
expansion which has moderated in this current quarter , can you update
sir, how much amount we expected to incur during the current year of
FY24?
Pranav Amin : So in the past few calls , I have said that this year our target is to get
somewhere around Rs. 500 crores of R&D and we will be around that
number, maybe even lower.
Am Lodha: Then another one year, your US facility Aleor, any write -off in this
quarter regarding that subsid iary or completely amount has been
written off ?
Pranav Amin: No, no more write -offs, e verything is done.
Am Lodha: My last question, sir, why tax liability is so low? Profit before tax is Rs.
129 crore on consolidated basis and the current tax is only Rs. 4 crores?
R. K. Baheti: Two things , one is Aleor is no more subs idiary, it has got merged into
Company. I t is now a division of Alemb ic Pharmaceutical and if you
recall that in March we did the impairment of assets which would be
spread over 2 years , so that is how we get the tax benefit - what we call
deductible expense and tax provision is low.
Am Lodha: So can you just give how much tax we expected to pay in 2024 and 25?
R. K. Baheti: Very difficult, that would depend on how much profits we make in future
Moderator: Thank you. The next question is from the line of Dam ayanti K erai from
HSBC. Please go ahead.
Damayanti Kerai: My question is for Pranav, so Pranav some of your peers are talking
about normalized price erosion in the US and then opportunities
emerging due to shortage, etc ., so how does Alembic stand here in
terms of gaining from such opportunity? Or like what are your broader
observation s on the US pricing opportunity etc ., from next few quarter ’s
perspective?

Pranav Amin: For the last 6 -7 yea rs that we have been in the US market, we have
always done well when there are shortages in the market and we have
been able to capture those opportunities. So that fundamental still stays
because inherently our strategy is focused on a very robust supply
chain and having compliance at our facilities. So if there are shortages ,
we would like to take those opportunities . Having said that , the last 3
years , we have seen exce ss supply in the market and the buyer
consolidation has really driven prices down . There is a little bit of
improvement over the last quarter, I would say over the last 3 to 6

months . There is still price erosion in the market . It depends , molecule to molecule. There were certain segments in the generics which had little lesser erosion. We saw some disruptions in some injectables , some Derm and some Ophthalmic, which were interesting opportunities . Of course our injectable portfolio is still a little nascent , we just started launching it . So that is where we are seeing some opportunities . Let us see how it goes .

But the erosion is still there and
as I mentioned that we are geared up to do wel l whenever there are shortages i n the market.
Damayanti Kerai: So specifically, do you think the injectables will be interesting from your perspective since you have new plant and you have just started supplies etc ., and how much you can achieve , say in next 2 years or so from inject ables ?
Pranav Amin: We are not giving a guidance on the revenue, but injec table is an area that where there is a relatively lesser competition than the OSD's . Though there are some strong players , we continue to keep seeing disru ptions in the injectable market. S o hopefully it should throw up opportunities. Right now, our portfolio is still very small. We only launched 5 products from both the facilities so far . As we keep launching more products , as we have more breadth in our portfolio , that will help u s and we will be able to capture more opportunities.

Damayanti Kerai: Can you remind us how many files you have done for injectable s, like you said, 5 launches and in terms of filing, how many have been done so far?
Pranav Amin: From both these facilities f or injectables about 15 to 25 filings is what we have done.
Damayanti Kerai: My last question is your other exp ense trend , so obviously the 1st Quarter number now reflects full impact of new plant s etc., so should we work with this base or we can see further expansion in cost in line with like your topline growth etc.,?
R. K. Baheti: We don't expect fu rther expansion in cost, the base is around these numbers.
Damayanti Kerai: So fourth quarter is base most likely going ahead.
R. K. Baheti: Yes.
Moderator: Thank you. The next question is from the line of A m Lodha from Sanmati. Please go ahead.
Am Lodha: Sir, I have observed from the results that the API business company is doing very well, there is good growth in API in this quarter also beside last quarter, so whether the company is planning in any exp ansion in API?
Pranav Amin : Thank you very much. API has been a focus area for us and over the last 12 quarters or so, the API business has seen a pretty decent growth . In the past, I have guided for about 10 % to 15% growth in the API business and we will stand by that . This year , of course, the 1st Quarter was very good. It was very robust. Our strategy is still the same. We will focus on a robust supply chain with compliances in place and hopefully it will help our partners in the business and that is what again, we have done well over there and we will continue with the API business growth moving forward as well .

Am Lodha: Any expansion in API, sir company is planning ?
Pranav Amin : We continue to keep doing expansions at our facilities and we keep adding more blocks and more facilities in the same plants.
Am Lodha: Sir, m y second and last question, regarding 3 new plants which we have installed in the last 2 years , they have capitalized in the current quarter, sir? The commercialization of the 3 new plant s has been capitalized I mean to say the depreciation interest on the se 3 new plant s has been debited to the profit and loss account ?

Mitanshu Shah : Yes, we have capitalized it and from 1st April, we have depreciation for these three plan ts already booked in P&L for the current quarter .
Am Lodha: But the product approval has already been commenced by and the plant has been approved by US FDA?
Mitanshu Shah : Yes, we have launched , between these two plants 5 products are commercial ized.
Moderator: Thank you. The next question is from the line of Bharat Celly from Equirus Securities. Please go ahead.
Bharat Celly: Sir, I just wanted to, Baheti sir, actually during the last quarter, you mentioned that large part of t

he cost s which were associated with the new p lant had already come in fourth quarter , so I was under the impression that all the cost s was there in the fourth quarter and the 1st Quarter should have seen a flattish other expenses as well as employee expenses , so still we are seeing the increase , so can you elaborate what exactly has happened that if the cost was there completely during the fourth quarter or not?
R. K. Baheti: You are right to the extent that from 1st of January onwards, we have not capitalized, we have not done any further capitalization of cost. We have charged it to P&L, but as the plan ts are now getting approvals and products are getting launched , there is some revamping of manpower cost, utility costs and so on. So obviously those cost s have gone up a

bit and secondly , it also depends on the cycle of other expenses and all of that. So it is very difficult to do a quarter -on-quarter cost analysis , one item of cost comes into one quarter and the cost looks big on smaller base , but broadly now what we are saying is we are not further capitalizing any expenses, whether it is of old Derma division or other facilities, everything is getting charged up to P &L.
Bharat Celly: I am asking can we take it as a base for the future quarte r, this cost side?
R. K. Baheti: I will say th at broadly yes, some variation would always be there.
Bharat Celly: Actually , I just wanted to pick your mind on the US pricing environment , we have been hearing a lot that there have been a changing for pricing environment whereby the overall pricing environment could be very soft as compared to the last quarter, so just wanted to get a sense of how you are dealing the overall these line items, whether you are seeing that actually the prices have started coming down and have you seen any material change in the overall competition landscape whereby you are seeing couple of guys running their overall portfolio? Have you seen it yet?
Pranav Amin : No, actually I have not seen any material change in terms of a nyone pruning the portfolio or any fundamental change in the market , so that scale rises. The only thing that happened last few months is that there was some regulatory action against some facilities , which ha s reduce d some supply in the market and these companies which had the regulatory issues at high market share on certain products has caused the shortages , but we continue to keep seeing shortages in the US market as per the FDA shortage report , but there is still quite a bit of supply in the market. So while in terms of pricing , there is still erosion in the market and I don't see any change, is it l ess than what it was 6 months back, yes , maybe, but it is still there.
Bharat Celly: Is it possible for you to outline that how much was price erosion for Alembic during this quarter, from the quarter -on-quarter perspective?

Pranav Amin : It is very tough to say , no, because each product is different . Now in certain products you may have pricing erosion of up to 30 %-40% and certain cases, it may be flat w ith no new entran ts coming in. So if I give a figure and it is not going to be valid because you can't take it, you can't calculate it. It is a very product specific.

Bharat Celly: But earlier it used to be like double digit , has it come down to a high single digit, mid single digit , anything like that if you can top of that ?
Pranav Amin : It is still double digits.
Moderato r: Thank you. The next question is from the line of R esham Jain from DSP Asset Managers. Please go ahead.
Resham Jain: So I have three questions, first one is in the API business, what kind of growth you are looking for in this year and I think raw material prices have seen some

correction plus energy costs have also some correction , so how do you see margin API in this year, overall if you c an just help on how do you think API business for this year ?
Pranav Amin: So the API b usiness, as I have said in the past few calls, I expect this business to grow between 10 % to 15% year-on-year and I think we a re on track fo r that. In terms of margins, our margins have been pretty decen t in the API business. W e were not affected much due to the higher price of the raw materials that we saw , we were covered and we are pretty okay on that . While what is happening in the margins is, as the price of the raw materials comes down , so does the expectation of the finished product in the market as y ou have more competition . So in margins we maintain , our API business got decent margins, then we will continue maintaining those moving forward.
Resham Jain: And in the domestic business, as you mentioned, season has just started, there has been some delay , so how do you see the growth given that we have built a good sales force also over the last couple of years and there also if you can guide on the margins again, given we

have seen inflationary situation in the previous few quarters which is again moderating , so?
Shaunak Amin : On the India piece, that delayed monsoon. It is one of those things that we have b een seeing now for the last 5-6 years where it changes from year to year. It is just a matter of a delayed onset with kind of slows things down . So I don't think from any manpower angle we have any issues on the acute side, we haven't expanded manpower in the current year which has t he impact of seasonality to it. It is still early, but usually we ha ve seen that delayed onset usually leads for long season on the back end , so usually for the last 3 years, we have seen th e Q3 has been significantly better in terms of seasonality compare d to Q2. So I think maybe it is due to c limate change and realigning trends . On the margin side, we haven't seen any pressures on the margins. A t the moment and we just continue to see the same levels of margins going forward.
Resham Jain: And the last one is on overall capital allocation for this year, given that we have limited CAPEX, s o how do you see the cash flow being redeployed?
R. K. Baheti: We have said that our major projects are over. We are building a new facility for the domestic business at Pithampur , Indore and that will consume some cash . In the 1st Quarter , we also completed one pending line at F3, the injectable plant that is done and capitalized . Going forward, capital should be largely maintenance CAPEX, s o this year our total CAPEX including the 1st Quarter could be in the range of Rs. 300-350 crore or so and going forward probably even lower.
Resham Jain: Sir, my question was how are you thinking about cash redeployment? Are you going to increase the payouts? Are you going to , what are you thinking from the incremental cash inflation perspective?
R. K. Baheti: As of now, we have borrowing of about Rs. 550-Rs. 600 crores on books , that gets repaid out of the cash flow which we generate and thereafter we will look for more oppor tunities.

Moderator: Thank you. The next question is from the line of Tushar Man udhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Sir, given the kind of shortages that are happening on the inject able

side, certain plants having had weather issues , so would you like to throw some light in terms of what could be the benefit for us on a FY24 basis from this current quarter sales of $48 million ?
Pranav Amin: It is tough to say on the shortages, how it will impact us and which products . As I said , generally , our strategy has been

that if there are shortages , we are in a good position to take it , but we have seen lot of shortages in injectables, but as of now, as I said, it is still an early portfolio for us. It is in a nascent s tage. We have launch ed only 5 products . As we launch more products, we wi ll be able to participate in those markets as we go along . So it is tough to say how we are going to move from here onwards. What we are hoping for is this year we wi ll launch a total of about 20 plus products and hopefully that will start picking up and as we move along, we will see more growth coming in the following quarters.
Tushar Manudhane : Any clarity as in this 10% to 15% growth also i s still very much possible , right at least ?
Pranav Amin: We have not given growth guidance , we don't give a growth guidance.
Tushar Manudhane: And on the animal health business, now that it has become a reasonable size, so if you could just throw some more light in terms of what th is strategy would be to further expand this business?
Shaunak Amin: On the animal health side, we have seen this tremendous run rate. In the current year, we have expanded about 200 people in the animal health business and we created a separate vertical to focus more on feed products in the large cattle space. We continue to see very strong traction and we have some good launches lined up in the nonantibiotic feed space as well as in terms of probiotics and in some mainline veterinary products. So we are very bullish on this space and we

continue to look at growing it organical ly with the same momentum and hopeful ly pick up some upside on business.
Moderator: Thank you. The next question is from the l ine of Rashmi Shetty from Dolat Capital. Please go ah ead.
Rashmi Shetty: One question on depreciation, we are seeing quarter -on-quarter debt while you are saying that we have sta rted capitalizing all the plant expenses , so just want to know the reason why there is a debt and why that is equal to your earlier quarter amount of depreciation , when there used to be capitalization ?
Mitanshu Shah Rashmi, that is largely on account of the Aleor depreciation effect that we had in the previous quarter, which does not continue in this quarter . last quarter Q4 where we had Aleor amortization .
Rashmi Shetty: So this will be the right base to take it for the full year, right?
Mitanshu Shah Yes.
Rashmi Shetty: And your other income seems to be pretty high, quarter -on-quarter as well as year-on-year also if you see, does that include any Forex income or anything if you want to explain about it ?
R. K. Baheti: Yes, you got it right. Actually , for us it is an operational income only, but accounting standard classif ied as other income, this is Forex income .
Rashmi Shetty: And any ballpark number can you give on the tax rate because it is very low this quarter, for the full year where you have target 17% to 18% , should we model in the same number as of now or you see that it should be lower than the number which you had gui ded?
R. K. Baheti: In this year, actually, tax rates are likely to be lower because of impairment expenses, we are going to claim this as deductible expense.
Rashmi Shetty: Any ballpark number which you can guide on that to?

R. K. Baheti: It would depend on the total profit and minus the impairment , so it is like giving guidance on the profit and can’t be give at this moment .
Rashmi Shetty: And on FY25 , the tax rate would clock back again between 17% and 18% right?

R. K. Baheti: Sorry, going forward ?
Rashmi Shetty: Yes, going forward.
R. K. Baheti: That we will be back to MAT.
Rashmi Shetty: And with the current operational expenses, our EBITDA margin is now in the range of 13 %

to 14% in the next few quarters, will it be sustainable
or we do have scope for expansion from the current level?
R. K. Baheti: if sale grow s because the fixed overheads are likely to stay at current levels , so if the sales grows, which we hope that the margin should expand.
Moderator: Thank you. The next question is from the line of Sandeep Raj from Oculus Capital. Please go ahead.
Sandeep Raj: I had questions specifically on the injectables , when can we expect a revenue generation from the injectables?
Pranav Amin: Started already. As I said earlier in the call, we have got l aunched about 5 products which are from the injec table facilities, 4 from the onco and one from the general injectable. So revenue has started and as we launch more products, it will gradually ramp up as well .
Sandeep Raj: May I ask, how much was the reven ue for quarter 1?
Pranav Amin: We haven't given that. We have disclosed the breakup, but we don't disclose the facility wise.
Sandeep Raj: And regarding the pricing scenario , specifically for injectables, how is that going?

Pranav Amin: It is tough for me to comment because it is still a little early for us. It is as I mentioned just the 1st Quarter that we started launching products and 4 -5 products i s not large enough set to give an analysis. I think hope fully by the end of the year , we wi ll be able to g ive you a better perspective on the injectables as well.
Moderator: Thank you. The next question is from the line of Bharat Celly from Equirus Securities. Please go ahead.
Bharat Celly: Sir, just wanted to get a sense on gross margins , we have seen a sharp expansion sequentially , so if you can help with what led to that?
R. K. Baheti: So gross margin is a factor of product mix. In our case actually we have been maintai ning this gross margin , more or less over the last few quarters. The margin dependence is more on overheads , so because of increase in overheads , the margins have gone down , but otherwise gross margins are at around 70 % plus minus couple of points.
Bharat Celly: Have you seen any softening o f raw material prices, which would have helped us during this quarter?
R. K. Baheti: Not really. I think for the raw material cost for us has been fairly steady.
Moderator: Thank you. The next question is from the line of Ja inil Shah from J M Financial. Please go ahead.
Jainil Shah: My question is on the US business , we have been launching new products from our new facilit ies, so when do we see this business becoming profitable? Any meaningful launches that you would like to call out?
Pranav Amin : So this business has always been profitable for us and we don't really disclose vertical wise profitability , but as we go along, hopefully we will have more launches. As I said, we are going to launch 20 plus products this year in the US. So that will help build up . The o ther thing is we have seen a reduction in R&D spend, which used to be almost Rs. 600

crores , it will come down approx Rs. 500 crores this year. So that will also help the margins.
Jainil Shah: And what is our margin aspiration 2-3 years down the line? Where do we see that hitting?
R. K. Baheti: No, actually it is again, it would amount to giving guidance which currently we are not because we still need to test the newer facilities, newer products in the market, but aspirational ma rgin without really

linking it with our current performance would be back to 18%-20%.
Jainil Shah : And is it f air to assume that 1Q margin would be bottom and we could see improvement going forward ?
R. K. Baheti: I already responded to this question that the overheads largely remain fixed as the sales growth of the margins would get better.
Moderator: Thank y

ou. The next question is from the line of Nitin Gandhi from Inoquest Advisors. Please go ahead.
Nitin Gandhi: What is the asset turnover plan for the injectable facility?
Mitanshu Shah Too early to say, at this point in time
Nitin Gandhi: No, when you designed the plant what was in your mindset, I am not asking what is current expectation?
Mitanshu Shah Very difficult to put a number in current US busin ess environment because product could generate or give you like $100 a bottle and same product could get you $3, so it is very difficult.
Nitin Gandhi: What is the amount capitalized for injectable facility?
Mitanshu Shah : For all the three plants put together, it was around Rs. 2,000 crores of which pre-op was around Rs. 1,100 crores which got impaired last year.
Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Just one follow up question on the US business, like you said that the price erosion has been in double digit on an average, can you just specify when this happens where do we stand? Is it higher than the average price erosion for your portf olio or the price erosion has slowed down in that?
Pranav Amin: As I mentioned , it is very tough to say product specific how the erosion work s. Every time we have a new entrant, you have someone trying to take a market share. So , it is very tough to have basis and to extrapolate that data . So this is generally what we are seeing across the portfolio . It is a double digit erosion and it is very tough to single out a Sartan or particular Sartan . In certain cases, there may be a new entrant who is trying to get more aggress ive and in certain cases , there are not , so it is very tough to give a general answer to this.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. R. K. Baheti for his closing comments. Thank you and over to you.
R. K. Baheti: Thank you very much , everybody once again and wish you all the best. We will see you all in next quarter call. Thank you.
Moderator: Thank you. On behalf of Alembic Pharmaceuticals Limited, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

ALEMBIC PHARMACEUTICALS LIMITED
REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229
Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 10th November , 2023

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code:533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 7th November , 2023
Ref: Our Intimation dated 16th October , 2023
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 7th November , 2023 .
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited Q2 FY24 Earnings
Conference Call"

November 07, 2023

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R. K. BAHETI – DIRECTOR (FINANCE) & CFO
MR. MITANSHU SHAH – HEAD (FINANCE)
MR. AJAY KUMAR DESAI – SENIOR VP (FINANCE)

Alembic Pharmaceuticals Limited
November 07, 2023

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY24 Earnings Conference Call of Alembic Pharmaceuticals Limited.
We have with us today Mr. Pranav Amin – Managing Director, Mr. Shaunak Amin – Managing Director, Mr. R. K. Baheti – Director-Finance & CFO, Mr. Mitanshu Shah – Head -Finance and Mr. Ajay Kumar Desai – Senior VP- Finance.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R. K. Baheti. Thank you and over to you, Mr. R. K. Baheti.
R. K. Baheti : Thanks. Good evening everyone. Thank you all for joining the second quarter results conference call. I'm sure you would have got the results by now.
Let me, however, briefly take you through the numbers for the Quarter Ended 30th of September 2023:
During the quarter, our revenue grew by 8% to Rs. 1,595 crores. EBITDA is Rs. 218 crores, which is 14% of sales and net profit is Rs. 137 crores.
During H1, the revenue grew by 13% to Rs. 3,081 crores. EBITDA is Rs. 428 crores, which is 14% of sales again, and grew by 27%. Net profit is Rs. 257 crores, grew by 47% before considering non-recurring items of corresponding period.
EBITDA and net profit are not exactly comparable with previous year corresponding period as Rs. 61 crores and Rs. 116 crores of cash expenses for Q1 and H1 respectively and Rs. 12 crores and Rs. 23 crores of depreciation has been expensed out in Q2 and H1

respectively for the new manufacturing units which were earlier being capitalized in previous corresponding period. So the current year profits both at the EBITDA level and at the net profit level are after charging off all the expenses of facilities F2, F3 and F4.
EPS for the quarter before non-recurring items is 6.95 per share versus with 7.09 for the previous year. And for H1, it is 13.08 per share versus 8.93 in the previous year.
Our gross borrowing at consolidated level is at Rs. 784 crores versus Rs. 693 crores on September 2022. The Company has Rs. 141 crores of cash in hand versus Rs. 65 crores on September 2022. Net debt equity stands at 0.14, almost same as compared to the previous year.
Our new development for this quarter has been solar plant installation. I'm happy to share with you that our 12 megawatt solar plant has been commissioned with effect from 4th of October 2023 and is operational at rated capacity. The effect of capitalization and energy savings will be reflected in Q3 onwards. The project has a healthy ROI of 18% to 20% with payback of less than 5 years at the current electricity rate in the state.
I would now request Shaunak to take you through India business. Shaunak.
Shaunak Amin : Yes, thank you Mr. Baheti. India business, we clocked in Rs. 577 crores, which is a growth of 5% in Q2 versus industry growth of 7% as per IMS, partly due to extended summer and muted demand in antibiotic and respiratory markets.
Despite its low growth, the specialty therapies in gynecology, antidiabetic, ophthalmology saw an impressive growth, which was 9% as per IMS.

In the antibiotic and respiratory segments, which were heavily degrowth

for the Market for the quarter, we have a relatively better performance in terms of growth numbers, which is there in the investor presentation.
We had significant new launches in the last 12 months, and they continue to do well, and we have some strong new launches in the India Business lined up in H2 across our key product segments.
The animal health c

are business, which is a significant part of our portfolio, grew at 32% for the quarter. And a highlight for this is we added manpower with a new division in livestock with a 350-person headcount. And along with this, we expect growth to get accelerated in the coming quarters and years.
We will now move on to the international business.
Pranav Amin: Thank you. The US business grew 6% year-on-year basis and 14% sequentially. As we mentioned, we are focused on launching new products in this year and improving efficiencies and execution in the mid term.
Importantly, the ex US formulation business, which grew by 17% as well as API business, which grew by 10% have been doing very well in the last couple of years. We're confident of good performance in both these verticals in the current year.
The R&D expense is Rs. 121 crores for the quarter, which is 8% of sales. We have been working at optimizing our R&D costs and improvements are on track.
We filed 2 ANDAs during the quarter and cumulative ANDA filings at 252.
We received 6 approvals in the quarter and cumulative we have 190 ANDA approvals including 25 tentative approvals.

We launched 3 products in the US during the quarter and plan to launch over 10 products during the second half of this year.
All our plants are in compliance mode and EIRs are in place.
The US Generics were at Rs. 444 crores for the quarter.
The ex-US generics grew 17% to Rs. 252 crores for the quarter, whereas the API business grew by 10% to Rs. 322 crores for the quarter.
Now, I would like to open the floor for question and answers.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.
Rashmi Shetty : Yes, so the first question is on other expenses. We have seen a sharp increase quarter-on-quarter. Is it this is because of expensing of the new facilities? And should we see this as a new base or it has got anything one-off included in it? Excluding R&D I am talking about?
R. K. Baheti: You are right. Actually it is not quarter –on-quarter, quarter one also we had charged off these expenses to P&L. This is more to do the comparison with the previous year's quarter where these expenses were not charged, as I said Rs. 60 crores of expenses come into this part of the quarter as other expenses and of course, salaries and all that. As far as the comparison between quarter-on-quarter is concerned, Q2 of financial year is always a high-spend quarter for the domestic business. So that way, it's not comparable. But you are right new facilities account for a little bit expensive.
Rashmi Shetty : So sir, this will be the new base. Now we should take it for the subsequent quarters.
R. K. Baheti: Again, with a little decline in sales promotion expenses in Q3 would be safe, but Q4 probably...

Pranav Amin : So if you see the new facilities, yes, this is the new base, because you have about Rs. 60 crores, Rs. 70 crores of cost for the new facilities, so this will be the new base.

Rashmi Shetty : Rs. 60 crores – Rs. 70 crores every quarter related to the new facility, right?
Pranav Amin : Additional that we're having, yes, absolutely.
Rashmi Shetty : And sir, what we see that, your US business has improved quarter-on-quarter, then we are also seeing that the non-US business is also better.
In terms of India business, your acute therapies showed a lower growth,
but your specialty and other therapies are doing well. And despite all
this, we are also seeing a quarter-on-quarter dip in your gross margin.
So any specific reason for it? Also, if you can call out related to the input
cost, that is the cost for raw material, whether it is softening for you or
stabilized.
R. K. Baheti: Actua

lly speaking, there is no decline in gross margin. Gross margin
has been consistent. It's slightly better than the previous year. And on
a sequential basis and for the current year, very minor changes maybe
because of product mix, otherwise gross margin is consistent.
Rashmi Shetty : So it is only related to the product mix when we see quarter-on-quarter, right?
R. K. Baheti: Yes.
Rashmi Shetty : Any ballpark guidance you would like to give on the gross margin as well as on the EBITDA margin front?
R. K. Baheti: We don't give guidance, but we have said in the past that GM 70%.
Rashmi Shetty : 70% you're talking about the gross margin?
R. K. Baheti: Couple of points.

Rashmi Shetty : And nothing on the EBITDA margin guidance?
R. K. Baheti: No, I mean, we are not giving guidance, but current number, we'll be happy to continue the current number for the time being.
Rashmi Shetty : Got it, sir. And sir last on the US business, if you can throw some light whether quarter-on-quarter growth is mainly because of new launches
or you have seen some improvement in the base business, any
stabilization in the price erosion if you can talk more on that part?
Pranav Amin : Yes, it's a good question. he US business we had a couple of launches from these facilities that came up. As you know, Alembic, we typically
take some time to get market share, so it's there, so some of it is new
launches. There is still erosion in the market. It depends molecule to
molecule. Some people are a little more aggressive. As and when we
see people coming to the market, there may be some, but by and large,
it's a little lesser. As you know, the volumes and the demand for us is
still quite strong. We're still getting a lot of volume. It's just not at the
prices that we like, but the volume is still quite strong in some of the
older products as well.
Rashmi Shetty : Okay, so we will be able to maintain this kind of run rate in the subsequent quarters also.
Pranav Amin : Let's wait and see how it goes, unless there's significant erosion if there's a new entrant and it really drop prices even further, we lose out.
So yes, as of now, the status quo.
Moderator: Thank you. Our next question is from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My question is on the US business. So Pranav, you mentioned new launches have definitely helped a quarter. But can you specify how has
been pickup on the injectable launches side like how many launches
done and what are your observations on market pickup for those

products so far? And the kind of erosion in injectable, is it very different
from what we see in the oral products?
Pranav Amin: It's still early days for us. To be honest, from F3, which is a general injectable, we've just launched 2 products, one ophthalmic and one
injectable. So it's early days for us. On the Onco side, we've launched
a couple of products and the pickup has been pretty good. So we're

pretty happy with it. It is both on injectables as well as OSD side. It's been pretty good. But for me to give a better answer, I would still require a couple of quarters because these are just very few products. I don't want to have an opinion just based on a few products. But so far, it's pretty good on the pickup that we're seeing and the demand.
Damayanti Kerai: And the level of price erosion, maybe it's early days, but is it better than what we generally see in the oral launch?
Pranav Amin: Yes, again, it's a small subset of products. On the injectables, we only got a couple of products, three or four products in the market. So it's still early to say around the particular products that we have, yes, the erosion is not there, or not as much as that we're seeing.
Damayanti Kerai And very broadly say like 2 to 3 years from now, how would you

see
your US portfolio say between oral and non-oral products? Because I guess you're focusing more on a bit of differentiated launches to offset price erosion etc.
Pranav Amin: I think what will happen is your OSD part of it will always be there. So for me from being 100% OSD, I see how we've moved as a company, we've got a bunch of ophthalmics now, we've got a bunch of derm products, about 15-odd ophthalmic products, we've got 2 inhalation products and now we'll have the injectables also coming through. So the OSD bit will gradually start coming down.
Damayanti Kerai And on a Derm portfolio, have you seen any improvement on pricing or is it still very challenging?

Pranav Amin: The Derm has been a good business for us in the first half of the year, predominantly due to some shortages in the market. So that business has been quite profitable for us for the first half of the year.
Damayanti Kerai But the pricing challenges continue there, right? So one estimate may have benefited from some demand etc.
Pranav Amin: Yes, we've seen some shortages in the market which benefited us for a couple of products.
Damayanti Kerai And my last question is on India bit. So second quarter obviously muted seasonal impact etc. But in coming quarters, how do you see growth picking up and what key drivers?
Shaunak Amin: Yes, on the India business, what gives us confidence of moving forward as you know, if you have a copy of the investor presentation, I have put in a slide specifically for the slowdown and if you see versus the slowdown, we've relatively performed better. So our net debt growth, I think is +3.5 -+4 versus market. That also plus on the back of a very high base last year, post COVID for azithromycin and a lot of liquid preparations. Going forward, we're extremely confident. We expect the market to stabilize coming into Q3, Q4. And we expect growth to return to a strong double digit growth. Having that said, if market throws no surprises in the future, we should be very comfortable. And if I look at it from a growth profile, from a portfolio point of view, once the acute piece comes back on track, we will see at least a high single digit to double digit growth across all products all therapeutic segments.
Damayanti Kerai So depends on your broader market trends, but you are comfortable with high single digit to double digit given that there are no...
Shaunak Amin: Yes, as you're aware, the acute, both antibiotic solid and liquid plus respiratory cough and cold are all at negative, -5, -7 for the quarter. Yes, it's very challenging to grow on that, but like I said, if we don't see any

base effect coming in, going forward, I think we're quite comfortable to deliver those kind of numbers consistently.
Moderator: Thank you. Next question is from the line of Chirag Dagli from DSP BlackRock. Please go ahead.
Chirag Dagli: Sir, you have about 129 products in the US. In how many of these do

you think do you have market share, which is lower than where you ideally want it to be? And how soon can we expect that market share scale up?
Pranav Amin: It's not as simple as branded market, right? And the reason what we do is to pick market shares, really you have to go and drop prices and we won't be comfortable with dropping prices in most of these products. So the market share that we have is we take an opportunity based on the shortage we like to pick up market share because we can get it at a better price. So we are pretty happy with where we are. On the newer products, as I mentioned, I am not just now, I've always mentioned that we take a little time ramping up because we wait for good opportunities to get it. So on the last, the launches that we would have done in the last couple of quarters, 2-3 quarters, yes, I there may be some

potential
in some of these products to increase the market share. Otherwise, we're pretty happy with where we are. We do have a very good track record with supplies, so we actively get solicited a lot by the buyers to participate in some bids, but we only do so if the price is interesting. But on the volume side, we're pretty confident, so if we want to get more market share, we can. It's just we have to be happy with the price that we want to get around.
Chirag Dagli: Is it fair to say that between, so you've launched over the last 6 months maybe 10 odd products, is it safe to say between 12 and 15 products is where your market share is still ramping up, it's probably suboptimal than where we?
Pranav Amin : Yes, and some of especially with the new facilities, definitely it takes some time to ramp up and we want to be more confident of supplies,

because we don't want to get into a situation where we take on orders and we can't supply and have shortages and penalties. So we normally do that gradually as we get more confident.
Chirag Dagli : Understood. And generally, when you look at this entire portfolio of 129 products, how have you seen? I know price erosion is a difficult number, but in how many products would you have probably seen price increases and price declines, which are beyond the normal single-digit kind of erosion that you have?
Pranav Amin : It's very tough to answer it, you know, Chirag, because it really depends product to product. If someone comes in aggressively on a product, then yes, you will see double digit price erosion. At certain times, we give up the business, certain times we match up. So it's very tough to give an overview answer. There is still the erosion in the market. But as you've seen, it's kind of bottoming out. But yes, some people still go a little lower.
Chirag Dagli ; Understood. And sir, how many pending ANDAs do we have at the moment?
Pranav Amin : About 62. 62 pending and this year we'll file about 15, over 15 products. Our filing rate also will reduce our R&D spend from 20-25 that we were doing will come down to about 15 or so.
Chirag Dagli : Understood. And sir, can you give some color around the quality of this pending ANDAs in terms of injectables, oncology, derma or else, just some color, qualitative color.
Pranav Amin : Our aim is to get a little more complex filings. This is going to take some time. As you know, we've got a little bit of a delay, but in the future we should see more complex filings on the injectable site.
Chirag Dagli : So my question was on the ones that you've already filed, the 62 and probably the 15 that you will file in 24. Just some color around.

Pranav Amin : Because out of the 62, you have some which are OSDs, some which are derm, some which are ophthalmic, and the balance are injectables. Injectable filings are about 15 odd products or so.

Chirag Dagli : Of the 62, 12-15 are injectables.
Pranav Amin : Roughly, something like that, yes.
Chirag Dagli : And derms, how many, sir?
Pranav Amin : Derm, I think, must be another 5 to 10.
Chirag Dagli : And sir just a last question, if I can. When do you really think the US business will see a material change in the numbers? We're still in this $50 to $60 million quarterly kind of run rate. But if you have to kind of think about this business longer term, when do you think this business really inflects from an absolute dollar million standpoint?
Pranav Amin: Its variable . Ideally, this should grow. As we get more products. Let's wait a couple of quarters to see how we do and how we do with the launches on the new products. And then we'll get an idea. we'll see gradually ramping up as we get more products and we shall launch in the market.
Moderator: Thank you. Ladies and gentlemen, that was the last quest

ion of our question and answer session. As there are no further questions, I would now like to hand the conference over to Mr. R. K. Baheti for closing comments.
R. K. Baheti: Thanks. So, thank you once again to all participants. And if anybody has any followup questions, they can be in touch with Mitanshu or Ajay. I wish you all a very happy Diwali and a cheerful festive season. All the best. Thank you.
Moderator: Thank you. On behalf of Alembic Pharmaceuticals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your li nes.

Call: Feb 2024

ALEMBIC PHARMACEUTICALS LIMITED
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Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 9th February, 2024

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code:533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 5th February, 2024
Ref: Our Intimation dated 18th January, 2024
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 5th February, 2024 .
We request you to kindly take the same on record.
Thanking you,
Yours faith fully,
For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Q3 FY24 Earnings Conference Call of Alembic Pharmaceuticals Limited "

February 05 , 202 4

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. R. K. BAHETI – DIRECTOR -FINANCE & CFO
MR. MITANSHU SHAH – HEAD -FINANCE
MR. AJAY KUMAR DESAI – SENIOR VP -FINANCE

Alembic Pharmaceuticals Limited
February 05, 2024

Moderator: Ladies and gentleme n, good day and welcome to Q 3FY24 Earnings Conference C all of Alembic Pharmaceuticals Limited.
We have with us today Mr. Pranav Amin – Managing Director, Mr. R. K. Bahe ti – Director -Finance & CFO, Mr. Mitanshu Shah – Head -Finance and Mr. Ajay Kumar Desai – Senior VP -Finance.
As a reminder, all participant lines will be in the listen- only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R. K. Baheti. Thank you and over to you, sir.
R. K. Baheti : Thank you. Good afternoon. I thank everyone to join our 3rd Quarter Results Call.
Straight away, I will go to "Financials":
During the quarter, our total revenue for the Company grew by 8% to Rs. 1,631 crores . EBITDA also moved up and is Rs. 269 crores, which is 16.5% of sales and net profit grew by 48% to Rs. 180 crores.
During the 9 months period cumulative up to December 2023, our revenue grew by 11% to Rs. 4,712 crores. EBITDA is Rs. 697 crores which is 15% of sales and grew by 22%. Net profit is Rs. 438 crores, it grew by 42% versus Y -o-Y. Before considering non-recurrin g items of corresponding period.

EBITDA and net profits are not exactly comparable with the previous year corresponding number as almost Rs. 64 crores and Rs. 180 crores of cash expenses and Rs. 14 and Rs. 37 crores of depreciation has been expensed out in Q3 and 9 months respectively for new manufacturing facilities which you are aware, were earlier capitalized. So from 1st of January 2023 onwards, we have started c harging of f all expenses to P&L.
Our gross margin stayed at around healthy 70% .
EPS for the quarter before non- recurring items is 9.18 per share versus 6.76 in the corresponding period last year.
"Cash Flow and Borrowings ":
The Company generated a healthy cash flow of Rs. 652 crore s over 9 months period December 2023. After meeting its CAPEX as well as working capital requirement, net cash inflow was Rs. 309 crores, which was used in paying dividend and repayment of borrowings.
The gross borrowing is reduced to Rs. 575 crores, as compared to Rs. 686 crores on December 22. The Company has about Rs. 156 crores of cash in hand versus Rs. 146 crores last year same period.
I will now hand over the call to Pranav for discussing both " India Business and the International Generics" .
Pranav Amin : Thank you, Mr. Baheti .
Despite the muted demand in the antibiotics and respiratory market, the India business grew by 9% to Rs. 596 crores.

Specialty therapies performed better than the market.
Gynaecology, gastro, antidiabetic and ophthalmology therapies outpaced the market growth.
We performed relatively better than the market in antibiotic and respiratory segments on a higher base in the previous year Q3.
New launches continue to do well with promising future launches across key segments.

Animal Health had a fantastic quarter and this is business that's
been doing very well for us. It grew by 32% during the quarter.
Coming to the “International Business”:
We had a very satisfactory quarter with exceptional growth in the
ex-US generics. The US business also gre w 9% on the back of
11 launches. The US business is looking better right now with new facilities already commercialized. As they ramp up, we will get a
lot of operating leverage and cost improvements are also on track.
There is no further large CAPEX neede d for the international
business and we will have only maintenance CAP

EX as well as
some API expansion, including in therapies such as GLP -1 and
debottlenecking.
The API business has been very strong for us over the last couple
of years. The de -growth this quarter was due to lower offtake from
a few select customers since it's getting lumpy. I expect another quarter or tw o maybe weaker, and then we should be back to our
regular growth rate that we demonstrated in the past.
R&D expense was at 7% of sales at Rs. 114 crores for the quarter.
As we have been saying in the calls in the last couple of years,

our goal was to bring this down and we are constantly optimizing
this and improvements are on track.
We filed 5 ANDAs during t he quarter and cumulatively end up
filings at 257.
We also received seven approvals and launched 11 products.
We should launch about 5 products in the next quarter as well.
The U.S. gener ics business grew 9% to Rs. 474 crores for the
quarter.
The ex-US grew by 32% to Rs. 272 crores, and the API business
degrew by 11% to Rs. 289 crores.
With that, I would like to open the floor for question and answers.
Moderator : Thank you very much. We will now begin the question- and-
answer session. The first question is from the line of Rashmi
Shetty from D olat Capital. Please go ahead.
Rashmi Shetty: One question on the other expenses, excluding the R&D, the other expenses were pretty low and my assumption is that last
time you all said that Rs. 60 crores to Rs. 70 crores we are already
expanding new facility costs. So is there any one off included in
this or it is basically because of the cost improvement program
and what are those cost improvement programs and whether this
number will be s ustainable or not in the future?
R. K. Baheti : I didn't understand y our exact numbers but what we have said
is R& D we will keep it at around Rs. 500 crores for the year and
we are on track. We have already started charging off all the
expenses from new facilities which were earlier being capitalized

and numbers are in line, they are the numbers which somebody
can take as a base.
Rashmi Shetty : And in your US business, what kind of price erosion we are
seeing? Whether, we have already done 20 launches in nine
months and I think that was the guidance. Any more launches ar e
we expecting in quarter four?
Pranav Amin: Yes, 2-3 things. One, it's tough to say on the price erosion in the
market because it's a factor of multiple products. Generally, it is
little lower than what we had last year, but it still exists. It's product to product. It can range anywhere between 5% to 3 0% depending
on the incumbent who c omes into the market. But it's little better.
So we don't comment on, it's very tough to give a number for the
price erosion. As re gards new launches, yes, we will continue

doing it. And then my opening statement, I said that we will launch
about at least 5 products in the fourth quarter .
Rashmi Shetty: Sir how many products? Sorry, I did not take it.
Pranav Amin: At least 5 .
Rashmi Shetty: And what is the guidance for FY25 for the launches?
Pranav Amin: We haven't given guidance, but I expect at least 10 to 15 launches .
Rashmi Shetty: And last question is on tax rate, what should we take it for this
year because 9 months because of the deferred tax, the tax rate
has come down. So if you can give that and what shoul d we take
it for next two years?

R. K. Baheti: Tax is a computed number on profit for the purpose of taxation.
We'll get some coverage on impairment losses etc. And that's
how the tax rate is looked.
Rashmi Shetty: Sir, any number would you like to share for F Y25? Is it that we
should take 17 %-18% in F Y25?
R. K. Baheti: Yes, that's rig

ht.
Rashmi Shetty: The normalized tax, right?
R. K. Baheti: Correct.
Moderator: Thank you. The next question is from the line of Damayanti Kerai
from H SBC Securities and Capital Markets India Pr ivate Limited.
Please go ahead.
Damayanti Kerai: My question is again on R&D. So looking at nine months number,
you are very much in line with your earlier guidance of Rs. 500
crores or below. So how should we look at your R&D approach
ahead? Because obviously you are optimizing R&D costs, but
how will you build up pipelines for US? And you can also talk
about the kind of products where you are spending the majority
of your R&D focus as of now ?
Pranav Amin: Yes, if you see our broad R& D spend; we don't give a segment -
wise break -up, b ut I can give a flavor of where we are and where
we intend to be. About 5-7 years back it was only OSD . As we
went on , today, if you look at it, we have OS D, the AP Is at the
chemistry bit, we have injectables, Derm , we have Ophthalmic,
these are the broad areas that we are spending on. What's happened is OS D as a percentage of th e total mix has come
down, D erm has come down because Derm, the portfolio that we
wished to do, we've done a bulk of that portfolio, so Derm has

come down quite a bit. Those are the two areas where we've seen
a reduction, where we've seen either flat or gentle increases on
the chemistry side and the injectables as we build up a more
portfolio of injectables. And injectables will continue growing moving forward, i njectables and Ophthalmic.
Damayanti Kerai: So OSD , Derm, as you said, has come down in a way that you're
giving or optimizing costs here and spending more on newer
growth areas like injectables. So as of now, can you just give us
some indication, say, out of 100, how much is Derm plus OS D as
a part of your pipeline and how much is the newer?
Prana v Amin: As I said, we don't give this breakup because it keeps changing
and it gets lumpy also, so we don't give this breakup of segment
wise R&D spend.
Damayanti Kerai: And Pranav, did you mention in your opening remarks that you
are focusing on or you are working on GLP -1 drug also ? If yes,
can y ou comment a bit more about it?
Pranav Amin: Yes that's an interesting area that is there. The P -4, the launches
are still a little away but these are interesting APIs and
formulations . We have got peptide capability as well . Hence we're
looking at entering the segment , we started it so we can get some
of the filings done and we'll see how it goes.
Damayanti Kerai: Filings you haven't started like it's in development right now , but

you are targ eting most of the opportunities. A nd my second
question is on your utilization on the newer plants , so in your
press release saying like you will be seeing better pickup or better supplies from the new plant s in coming quarter. So, like how much
you have covered the space so far in term s of utilization for new
plant?

Pranav Amin: Utilization still, again, you have to peel through the layers to see
the utilization. In certain areas, we are doing pretty okay and bulk
of them we are still quite low and we'll pick up as we g o along.
The way I anticipated is O phthalmic , we should be near practical
capacity utilization in another 6 months, our Vial line should be
okay in another 6 months. On the O ncology injectable side, we're
seeing good pickup. And the two areas where we will have some
capacity and it will take a little longer, but that's okay , that's just
the nature of the business because these are late expiring
products is on the OSD side of the oncology and on t he PFS side
of the injectables.
Damayanti Kerai: Sorry, wh ich part of injectables? I didn't get you.
Pranav Amin: On the PFS, pre-filled as a ca

pacity utilization. There are some
products which will more than take care of the cost if we get those launches, but I am talking about on the capacity ut ilization.
Damay anti Kerai: And for next year, you said 10 to 15 launches in the US, so I
assume with these kind of launches, like 25 this year, if you do like another 5 in fourth quarter, and then in 25, you're targeting 10
to 15. So that should be reasonably picking up your plant
utilizations, right?
Pranav Amin: Yes, absolutely. What's happened with launches this year is we
gradually get market share. And with the new launches that come
next year, we'll help. Apart from this, we also have some CMO
opportunities we're pursuing for some of the lines. So those have
also helped with the plant utilization.
Moderator: Thank you. The next question is from the line of Anushka Vora
from Vimana Capital. Please go ahead.

Anushka Vora: I had a couple of questions, I've just recently started tracking the
Company and I had a couple of questions. The first one was
amongst all your geographies, will the ex -US be a major growth
area going forward?
Pranav Amin: The ex US, we have a little different strategy. And if you see the
last few years, I see CA GR is about 15%. W e've been growing
pretty well in these territories. T he large territories that we
participate in, and we participate through partners is Europe,
Canada, Australia, Brazil, South Africa. These are the big ones
that we do. And we've done pretty well in that. And that we'll
continue growing as a territory.
Anushka Vora: And my second question is around the API business. So how is that API business performing from the realization and a margin
point of view? A nd how do we see this realization going ahead?
Is this maj orly going to be volume driven?
Pranav Amin: The API business has been a pret ty good business for us. I n the
last 4-5 years, if you look at the CAGR, it must be about 11% to
15%. So slowly and steadily going, we have a very g ood quality
of API business. By that what I mean is we have a good bunch of
customers all over the world and we have done pretty well. I
anticipate moving forward this business will also continue
growing. A quarter or two maybe a little lower , a little slower
because we have some big business which are little lumpy, which
comes once every 3, 4, 5 quarters and that's what causes a big
bump. So a quarter or two maybe a little lower and start increasing

it again. API business is a good margin business for us. It's a
decent EBITDA, decent margin for us.
Moderator : Thank you. The next question is from the line of Chirag Dagli from
DSP Mutual Funds. Please go ahead.

Chirag Dagli: Just, you know, you've launched about 11 products in the 3rd
Quarter . Overall, over the last 2 years, you probably have about
30 odd products launches and typically you've said that you
gradually build up market share. I n how many of these that you've
recently launched is your market share s till suboptimal where you
think you can go up?
Pranav Amin: it's not always a question about market share, it is a question of
what price you get in the market . Just pure market share doesn't
make sense. You don't want to burn up your capacities only to sell at cents . So it really depends. If we don't have a target market
share that we get into, we want to see where we can make the
most money. Yes, there are some products that are a little lower
than the mar ket. But I do know as time goes by, we may get
opportunities in them. But you are right, we do go a little slower. I
don't have a set figure for you. But Yes , we could do better in
some products. It depends on what price and all.
Chirag Dagli: And this $ 57 million a quarter kind of a number that we've done.
Is this like absolute base

Pranav or is there still anything which
you fear can be lost in terms of pricing etc ?
Pranav Amin: This is the new base. See there's no sartans, there's no huge
chunks of th at in the business anymore. Few small one- time
opportunities which you get every quarter so that continues. So it
is the base and if it's going to even moving forward, I anticipate
this would be the new base or like 54, 55 could be the new base.
But I can't predict that because it really depends on the next guy,
some new incumbent comes and will break this, actually drop the
prices even further , then we may walk out of the business. As of
now, this is the base, it seems.

Chirag Dagli: And just from an environment standpoint, any new t houghts that
you have for the US market in terms of what's changing, whether
we are better placed or do you still continue to think that ?
Pranav Amin: Good question, Chirag. the US market is looking a little better
compared to where we were, two years back, a year and a half
back. It is looking a little better. There is still, being a good supply
partner still being valued in spite of the price erosion that you see. And it's just that we have all the items in place, all the things in
place, be it the front end, which looks for opportunities, the back
end which can respond to the opportunities. So it's looking little better. Having said that, the returns are down compared to what
they were 3 -4 years back, hence a lower R&D spend on the US
side.
Chirag Dagli: Understood. Have we got any long term contracts?
Pranav Amin: In the US generics?
Chirag Dagli: Yes.
Pranav Amin: No, we haven't gotten into any of that because we're looking at it to see if it makes sense. While principally a long term contract
would make sense, but I think one must read the fine print and
we're evaluating those if it makes sense for us.
Chirag Dagli: But competitors are getting long term contracts, you are still
evaluating. Is the way to t hink about it?
Pranav Amin: We have evaluated it. I don't like some of the fine print, hence I
haven't jumped into it.

Moderator: Thank you. The nex t question is from the line of T ushar Manudhane from M otilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: So just on the US busi ness again like at this base business of $57 million, so would we be profitable or like at a break even?
Pranav Amin: Yes the US business is profitable .
Tushar Manudhane: Domestic being a legacy business , I'm assuming it would be in the range of 25% EBITDA margin , overall.
Pranav Amin: We don't give a breakup of EBITDA margins. I don't think we've ever given it.
Moderator: Thank you. The next question is from the line of Mr. Bharat Celly from Equirus . Please go ahead.
Bharat Celly: Just wanted to understand on US generics . So, have we seen any growth in the US volume business ?
Pranav Amin: On the volume business side, yes, we are seeing an increase in the volumes of the business that is there. O n a nine- month basis, we definitel y have compared to last year.
Bharat Celly: And since you mentioned that you are still not clear on taking a new contract, so what is the particular reason for that? Is it surprising part or is it holding you back?
Pranav Amin: Let me just backstep a littl e bit. And this is a question that Chirag asked earlier. What is happening is that some of the buyers are trying to get into a long -term contract. Right now, in terms of long - term contract, a lot of them have approached us. We are still evaluating, we are still negotiating with them because one has to read the print, right? A s a Company , we have to see in the long

run what is beneficial for us and where the liabilities

could be and that is why we're just waiting and watching. We don't want to jump into it as yet .
Bharat Celly: And sir, when we talk about US market, how do you see from the new launching perspective, when you launch a new product, what sort of price erosion you see? When the price erosion for the incremental new products is very high, how do you see it?
Pranav Amin: Price erosion is tough to say. It depends product to product. So an incumbent may come and we've seen one product recently where we were there, the market was settled and new person came and it dropped at about 40%-50%. So you can see that kind of erosion also. But generally, i t depends on who the competitors are, what the volumes are, what the shares are. It's very tough to comment on that.
Bharat Celly: So I am asking ex of our R&D expenses, our other expenses has actually gone down by Rs. 20 crores sequentially. So is it because of some cost control measures or there is something else which is leading to this and how should we see it going forward?
R. K. Baheti : No, I don't think so. Everything is normal in business. I don't think there is any particular reason for any impact. Maybe in pharma Q2, there's some higher promo expense than Q3. Probably t hat's the only difference.
Pranav Amin : Mr. Baheti , the other thing is , there's a little bit of saving on the RM and the sourcing side. I think that may be reflected.
R. K. Baheti : No, that’s not part of other expense, Pranav .
Moderator : Thank you. The next question is from the line of Vishesh who is an individual investor. Please go ahead.

Vishesh : I've got two questions here. First, could you please quantify the overall revenue from your new facilities in the whole for, let's say, Q3 of financial year 24?
R. K. Baheti : No, we don't give product wise details , some of the facility wise

details . That's very difficult to provide.
Vishesh : And sir when can we see a good operation taking place regarding the new facilities , like operating leverage?
Pranav Amin: When do we expect to see operating leverage in the new facilities?
Vishesh: Yes. When can you see ?
Pranav Amin: I think someone earlier asked a question about capacity utilization in the new facilities. Now the new facilities are all operational. The capacity utilization right now is pretty low and what I meant by operating leverage is as we go along, and as we have more product coming out, we have more opportunities and that will raise the operating leverage and costs will come down, your unabsorbed overheads will come down. That will help operating leverage, which will ultima tely reflect in the margins of the Company as well.
Moderator: Thank you. The next question is from the line of Rishabh Dugal from Fino Wealth Financial. Please go ahead.
Rishabh Dugal: I have just one question. My question is, will th e US business, will it be naturally driven by better product mix or what will it be?
Pranav Amin: The US business, what will happen is, as you get the number, as you have broader portfolios, you have more products getting into the market , that is right. One of the reasons why we made these

investments into new capabilities, such as injectable, peptides, oncology, is incremental competition there is much lesser on the OSD side. And also on this, as you go towards more complex products, you will hopefully see lesser price e rosion and bigger product opportunities. That's the way we approach in the US market.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. R. K. Baheti for closing comments.
R. K. Bahe ti: Thanks. As you all know, it's a pleasure to interact with all of you and we will continue looking so quarter after quarter. Thank you very much

for joining again and see you next quarter. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of Alem bic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

ALEMBIC PHARMACEUTICALS LIMITED
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Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 15th May, 2024

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 9th May, 2024
Ref: Our Intimation dated 18th April, 2024
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 9th May, 2024.
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited
Q4 FY '24 Annual Results Conference Call "
May 09, 202 4

MANAGEMENT : MR. PRANAV AMIN–MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR , FINANCE AND CHIEF FINANCIAL OFFICER
MR. AJAY KUMAR DESAI - SENIOR VICE PRESIDENT , FINANCE
MR. NILESH WADHWA - HEAD INTERNATIONAL BUSINESS AND STRATEGY

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '24 and Annual Results Conference Call of Alembic Pharmaceuticals Limited. We have with us today Mr. Pranav Amin, Managing Director; Mr. Shaunak Amin, Managing Director; Mr. R.K. Baheti, Director, Finance and CFO; Mr. Ajay Kumar Desai, Senior VP, Financ e; and Mr. Nilesh Wadhwa, Head International Business and Strategy. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. R.K. Baheti. Thank you, and over to you, Mr. Baheti.

Raj Ku mar Baheti: Yes. Thanks. Thank you, everyone, for joining our con call. Let me briefly take you through the numbers, financial numbers for quarter ended and year ended 31st March 2024.

During the quarter, our total revenue grew by 8% to INR 1,517 crores, EBITDA is INR 263 crores, which is 17% of sales, and it grew by 29% on Y-o-Y basis. Net profit is INR 178 crores grew by 17%.

During the financial year, the whole year, revenue grew by 10% to INR 6,229 crores. EBITDA is INR 961 crores, which is 15% of sales and grew by 41%. Net profit is INR 616 crores. It grew by 80%.

EBITDA and net profit for FY '24 are certainly not comparable with previous year, as during previous year, that is financial year '22-23, expenses pertaining to new facilities were capital ized up to December '22, and they were expensed out only from January '23 onwards, whereas in the current financial year, the whole expenses, the full expenses for full year have been expensed

out.Also, there were a couple of nonrecurring items in the previous year.

EPS for the quarter i s INR 9.07 per share versus INR 8.33 for last year's corresponding period and for the year is INR 31.33 per share for the current year versus INR 17.40 per share after the nonrecurring items and before nonrecurring items of previous year, previous year it was INR 25.29 per share. So overall, we have done well in almost all parameters and we'll discuss business wise when we come to that.

The C ompany has re corded a higher dividend of INR 11 per share, which is 550% because our share par value INR 2 as against dividend of INR 8 per share, which was 400% per equi ty share for financial year '22- '23.

As we have been indicating in last year or so, R&D expenses for the year has been trimmed down to INR 475 crores. Last year, was IN R 722 crores, but INR 722 crores also included one- off write -off of erstwhile Aleor ’s R&D expenses.

As far as cash flow and borrowings are concerned, the C ompany has generated a good cash flow of INR 900-plus crores for the year ended 31st March 2024. After meeting its cape x as well as working capital requirement and payment of dividend, the net cash inflow was INR 436 crores before paying dividend after paying dividend, we could reduce our bank balanc e by almost INR 200 crores.

So the debt equity which i s already pretty low last year, has become even lower. O ur gross borrowing is now INR430 crores versus INR 636 c rores last year and we have INR 120 cr ores of cash in hand versus INR 75 crores in March '23.

I will hand over the call to Shaunak for presentation on India branded business. Shaunak, over to you.

Shaunak Amin: Thank you, Mr. Baheti. The India Branded B usiness in this quarter grew by 3% to INR 503 crores. And for the year, we had a 7% growth, leading us to INR 2,200. All our special ty segments, predominantly in gynecology, gast

roenterology, antidiabetic,
cardiology, ophthalmology, we have done significantly well. The businesses have continued to perform well. And in many brands, we have continued to outperform the market.
Our Animal Healthcare business has continued to give a very robust performance.
The only challenge this year as well as for Q4, has been the oral and the respiratory baskets and predominantly in the oral liquids in both antibiotics as well as in respiratory. Both these segments did have a significantly hi gher base both for the year '21- '22 and '22-'23 leading to a signi ficant base correction effect thereby pulling the overall growth of thes e segments down to al most flat or negative and despite that, we have done marginally better than the markets. But going forward, we expect even these 2 segments to give us more growth in line with th e market. And with that, 95% of our overall portfolio in the India business should be doing pretty well and significantly outper forming the market .
So now I'll pass the discussion on to Pranav for the international business.
Pranav Amin: Thank you. It was a decent quarter for the international business, especially the U.S. business, which grew on the back of 7
launches. The outlook for the U.S. business also appears much better than the start of the year with the commercialization of new facilities and operations set to scale up. We also don't have any regulatory overhang and have all EIRs in place for all our facilities.
Hence, we see some substantial increase in operating leverage, along with the continued progress in cost improvements.

The ex U.S. generics are also satisfactory as well as the API business, and they both on a strong foundation, they continue growing in the quarter.
As I mentioned, we have the EIR for our oncology facility and all EIRs are in place.
R&D expense was 8% of sales at INR 121 crores for the quarter.
We have been working at optimizing our R&D costs and all improvements on track.
We filed 3 ANDAs during the quarter and cumulative ANDA filings at 260.
We received 1 tentative approval and launched 7 products in the U.S. during the qua rter. Sinc e April 1 st, we have received 5
additional approvals, which include 2 tentative.
As regards numbers, as I said, the U.S., we launched 7 products and the business grew by 19% for the quarter, whereas for the year, it grew 1 0%.
The ex U.S. generics grew 5% for the quarter, but for the year, it grew at a robust 23%.
The API business grew 5% for the quarter, and 7% for the year.
As I mentioned in the last quarter call that API may see for couple of quarters, a little slower o fftake from som e customers. But volume- wise of API business is still looking good. We take many to the regulated markets. And there's some pricing pressure, but volumes -wise API is looking q uite good.
Now with that, I would like to open the floor for Q&A.
Moderator: The first question is from the line of Damayanti Kerai from HSBC Securities & Capital Markets India Private Limited. Please go ahead.

Damayanti Kerai: My first question is on gross margin. So very strong margins during the quarter. So if you can explain what has led to this very strong gross margin during the quarter? And how sustainable this would be? So that's my first question.
Pranav Amin: Thank you for the comments. The gross margins were good. I

think a couple of things have led to this . One is increasing sales and revenue for the U.S. business. Number two, if you see our R&D costs are also optimized. Along with that, we have some other cost optimization. The facilities were occupied. So all this led to a higher gross margin. And I believe, t hese kinds of margins are sustainable moving forward.
Damayanti Kerai: Okay. Just a clar

ification. So you said higher U.S. sales could be one of the factors contributing towards it. But quarter -on-quarter, when we look at the gross margin, I guess, U.S. is sequentially down, right? So -- is there any element of like stocking up there?
Pranav Amin: No. n o element o f stocking. It's just , last quarter, we had some more onetime buyers , this quarter the volumes a re little higher so facilities are better occupied.
Damayanti Kerai: Okay. So better utilization of facilities is a main reason if we have to continue.
Pranav Amin: Yes.
Damayanti Kerai: And R&D, like after bringing it down to below INR500 crores for this fiscal, how should we look at R&D expense ahead?
Pranav Amin: From this level onwards, we will continue growing it. N ext quarter, I think to an absolute amount, we will grow it. I would expect anywher e between INR 550 crores to INR 600 crores for the next fiscal, depending on how the projects go.

Damayanti Kerai: Okay. And my last question for the U.S., you said now outlook is better with like plants getting better utilized. So this fiscal, we saw U.S. ranging from in say 50 to 55, 56 a quarter. So should we improve significant step- up in FY '25 and beyond in terms of sales from the U.S. business?
Pranav Amin: Well, we are expecting to launch about 25 products in the U.S. So I anticipate that we would like grow the business from here onwards. Percentage depends because there will be a factor of price erosion in the existing portfolio versus how much traction we can get in the new products. But our goal is to grow the business from here on itself.
Damayanti Kerai: Is 25 launches for this fiscal?
Pranav Amin: For the fiscal year, yes.
Moderator: Next question is from the line of Forum , Individual Investor.
Forum : Congratulations on the numbers, and I have a couple of questions. So my first question is, with geographies, do we plan to penetrate and expand in FY '25 for ex U.S.?
Pranav Amin: in most of the geographies we are present and it's on our investor presentation and also on the website. O ur biggest territory is the U.S. fol lowed by the ex -U.S. business mainly in Europe, Australia, Canada, Brazil and South Africa.
Forum: And how do we see this business growing in FY '25?
Pranav Amin: We don't give a guidance. But generally, if you see our ex -U.S. business over the last 5 years is at a 20% CAGR, and that should continue. The U.S. is a little in terms of CAGR, it depends year -to-year. This year, we've grown by 10%.
Moderator: Next question is from the line of Vipul Jain from Arihant Capital Markets Private L imited . Please go ahead.

Vipul Jain: So in the price realization decline in API, what do you think about that? Is it going to sustain or this is the...
Pranav Amin: We have a very good quality API business with all regulated market customers. And I've said in the past also and if you can see that we like to compete at a higher level. We focus more on compliance and better quality. Having said that, there has been

some more pric ing pressure in the market. Nothing we can do
about it. But it's still a very good margin business for us. The API margins are quite high, and it will continue growing.
Vipul Jain: And also, this has been led by volume or product mix? How can we expect?
Pranav Amin: For the API business?
Vipul Jain: Yes, sir.
Pranav Amin: API i s a combination of both. W e're growing in terms of volumes
as well as new products .
Moderator: Next question is from the line of Abdulkader Puranwala from ICICI
Securities. Please go ahead.
Abdulkader Puranwala: Sir, just from an FY '25- '26 perspective. So R&D was
something what you are able to cover in '24, so when you look
forward, I mean, what are the few key prioriti

es when we look
forward for growth or in terms of cost optimization, which the
management would be targeting for the near future?
Pranav Amin: Sure. Yes. it's a good question. What will happen R&D- wise,
historically, all our approvals and bulk of our R&D spend was on
oral solids. If you see now, it is gradually more part of it has gone
towards injectables, complex injectables, derm, ophthalmic and a
little bit of inhalation and oncology. So we move towards that . In
future also, for R&D investments, what we've done is we have

reduce d R&D because we cut out some projects because the
returns had come down in the U.S. market compared to 5 years
back.
So we've optimized our portfolio. In terms of cost optimization, not
just R&D, but across the board, what we're looking at is, as I
mentioned, better utilization of our facilities , higher batch sizes,
better v olumes, given the facilities are better occupied.
Abdulkader Puranwala: Okay. Sir, in terms of the margins, would y ou like to guide
number for '25- '26 in terms of what i s the kind of expansion we
should see because of this optimization?
Pranav Amin: We don't really give a guidance, so sorry about that.
Abdulkader Puranwala: Sure, sir. And sir, one more question on the India business.
So this quarter, growth was largely not impacted because of the
acute therapy, but for the next year to -- I mean, how should we
look at your India growth? Would it be in line with the market or
slightly ahead of that? And in terms of your field force, are you
looking to add further this year?
Shaunak Amin: From a India business point of view, we continue to maintain that
if the market continues to perform normally, we should expect
outperformance, like I said, in almost all our product/ key pr oduct
therapeutic areas. W e maintain as long as the market shows
some kind of signs of r eturning to normalcy. T hey are quite
confident on that piece at l east. And consistently, outperforming
the market in all our therapeutic segments. T hat's something we
are quite confident to deliver this year.
Abdulka der Puranwala: Sure sir, I understood...
Shaunak Amin: On this year, there's been no manpower expansion in the India business, just some routine manpower adjustments, there is no
actually manpower expansion.

Moderator: Next question is from the line of Bharat from Equirus Securities.
Please go ahead.
Bharat Celly: Sir, just wanted to understand on gross margins...
Moderator: Bharat, sorry, we are losing your audio. Can I request you to come
into the reception area, please? The next question is from the l ine
of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Just on the gross margin, you said that the gross margin will be
sustainable. So in quarter 4, we did around 75% gross margin,
but for the full year, we did around 72%. So which number is
sustainable with 72% or 75% what we did in quarter 4 for FY '25?
Raj Kumar Baheti: In the past that we'll be happy with our kind of product mix and
the territory mix, we'll be happy with about 70% margin. M ore or
less, we have been maintaining it.
Rashmi Shetty: Sorry, sir, I didn't get what is the number which you called out?
Raj Kumar Baheti: We will be happy with 70% gross margin, and we have been
maintaining that.
Rashmi Shetty: Okay. Okay, sir. But any geopolitical risk or you are thinking of your supply volume in terms of cost increase? Anything in FY '25,
we would like to call out.
Pranav Amin: No, I think nothing on the geopolitical side. A ll our facilities are in
Baroda in India. So no issues there. We have just seen a little bit
disruptions in terms of the shipping due to the Middle East, apart
from that, nothing else.
Rashmi Shetty: Okay. And my second questi

on is related to the U.S. business.
Before, how many launches we have done? And what kind of
price erosion on an average we have seen.

Pranav Amin: We've launched 27 products in the U.S. S tart of the year, we had
guided for about 25 or around that. W e've launched 27. Next
year, we expect to launch another 25 or so. Price erosion is there.
It's tough for me to give that figure because it 's very tough to
calculate price erosion. But as it is, it will be in high single digits or low double digits, somewhere around. It depends product to
product. Some products, it's still higher and some is more stable.
Rashmi Shetty: Okay. Got it. sir, what I want to understand that we already have
147 products in the U.S. We have banked up $280 million to $310
million in this U.S. market. So roughly, revenue for all products, I
mean average we're doing around $1 billion, $1.5 billion because
I understand th at we have launched many products and that could
gain share in FY '25, and plus price erosion is also high single digits, plus we are also adding another 25 products. So don't you
think that we would be actually able to do double- digit sort of
growth in FY '25. I mean in U.S., we can see a big growth coming
in?
Pranav Amin: I agree with these kind of launches, we should see a decent growth, in my opinion. Having said that, the one unknown or the
variable is the price erosion. I don't know how the price eros ion is
going to fare on some of the high -margin products. As you know,
we do like to get higher margin rather than pure volumes. And
that's a strategy that we've built in the U.S. business that we focus more on the profit and the higher prices rather than the margins.
It really depends . If there is erosion in some of the high- value
products for us, and it gives away lot of the margins.
And we continue looking -- we continue to look for short -term
opportunities as well. So sometimes there are supply constraints. We do get a bump up. So it's a combination of that.
Rashmi Shetty: Okay. Sir, another question, last question is on capex. What will
be the cap ex investment in FY '25? And what will be your tax rate?

Pranav Amin: We've come off a large cap ex cycle last couple of years. So we
have no further like brownfield or greenfield expansions. A t the
most what we will do is within the existing facilities maintenance
cape x and capacity debottlenecking. So I anticipate cap ex should
be about INR300 crores or so.

Rashmi Shetty: Okay. And tax rate for FY '25.
Pranav Amin: Sorry, I couldn't hear that what you say?
Rashmi Shetty: Tax rate
Raj Kumar Baheti: We will continue to be under MAT and the tax rate will be around 17%.
Moderator: Next question is from the line of N ihar Gupta, individual investor. Due to no response. We move onto the next participant. Next question is from the line of Agraj Shah from Tata AIA Life Insurance.
Agraj Shah: Okay. So 3 questions more like clarification from what we had guided last quarter. So firstly, on the U.S. side, we are kind of mentioned that for FY '25, we expect 10 to 15 launches. And now we are guiding more than 25 launches. So what's helping giving us that confidence and what changed during the quarter?
Pranav Amin: It is not the question of confidence. We've measured how many approvals that you get an API products were launched. We don't always launch if the product is late. We don't always launch it on day one of the approval. So it is sometimes just bundles up and we launch them together. So just a question of how many approvals that we get and when we launch it. The confidence that we h ave in launching more products this year is we're seeing the pipeline of products that are pending and what we expect from the target action date. So also our facilities, as I mentioned,

there's no regulatory overhang. So those approvals, and the new filings should also flow through.
Agraj Shah: Okay. Got it. And my second question was on the U.S. base. So last quarter, again, we had guided that $57 million was a new base. And this quarter we already reported on $51 million, but probably you said that there was some one- off kind of an opportunity last quarter. So if you can just clarify that what changed there?
Pranav Amin: It's tough to give a guidance for the base business. T he best way of seeing it is what's happened last couple of quarters. $50 million plus is what we're looking at. Q3 was a little higher. We did have some more onetime opportunities in the market. But I guess what we see now could be the base, and then we build it up from there.
Moderator: Next question is from the line of Desai from Tu rtle Capital Management . Please go ahead.
Desai: So my first question is, if you go back in time, I think 3, 4 years back before a certain opportunity and the c apex, I think with the 72% gross margin, you were doing 20% plus kind of operating margin. So considering that we are doing now complex generics in the U.S. market, is it a fair assumption that as op erating leverage kicks in we will go back to those kind of numbers. I'm not saying this time line, but directionally, is that the right way to think?
Raj Kumar Baheti: Your observations are right, but you must also appreciate the fact that we have commercialized 4 new facilities and the the yearly expenses on these 4 facilities are about INR 300 crores, including the depreciation. So that charge is hit ting my P&L, whereas the revenue from these facilities are still very small. So m ore products get approval and the products get traction in the market, you will see a better improvement in margin scenario.

Desai: Right, sir. I'm talking about when all thes e facilities are optimally utilized, not saying next quarter or 2 quarters, I'm saying 2, 3 years anywhere?
Raj Kumar Baheti: We hope to be again back to 20% plus kind of margins because

we get this traction from these facilities.
Desai: Okay. And we spent around INR2,000 crores on these facilities.
So what kind of asset turns that we were thinking earlier? I think
at that time the U.S. generic market context was s lightly different.
So given the situation today have we kind of changed our
assumption on that, if you can talk little bit about that?
Raj Kumar Baheti: Yes. T he buoyancy in the U.S. generic market has gone down.
But let's say, this market is little cycl ic. I mean, if ou r facilities are
compliant, if our supply chain is smart, nimble, we'll keep finding
opportunities and we'll keep what we call seizing those opportunities as and when they present themselves.
Desai: So is it safe to assume [2x as a ton or this facility or that's on the
higher side?
Raj Kumar Baheti: As of now, it’s is a hypothetical question and it’s a little distinct
period of question, so I won't comment on it.
Moderator: Next question is from the line of Vivek Jhala from Jhala
Investment Ad visory. Please go ahead.
Vivek Jhala: Sir, I have recently started tracking the company. I basically have 3 questions in regards to the U.S. business.
First is, if you could
please give some information on how the new launches have
been performing in the past few quarters?
Pranav Amin: Yes. N ew launches have done pretty okay. It depends product to
product. As I mentioned earlier, Alembic, we focus more on trying
to get the maximum margin rather than getting market share for

the sake of getting market share. So it depends on the competitive
scenario i n each product.
And we like to get ready and be there. And when we -- as Mr.

Baheti said, when we see shortages, that's the time when we
ramp up our market share. So it's gone satisfactorily. We're
waiting and seeing, wherever we can get more opportunities, we do have a robust supply chain, we'll try getting -- picking up additional shares.
Vivek Jhala: Second question is how optimistic are we in regards to our
performance in U.S. in FY '25?
Pranav Amin: We're fairly optimistic as compared to a year back, U.S. had come
off a massive price erosion and there's a lot of gloom in the
market. Compared to that, I feel a lot more bullish now, especially
with the new facilities coming up on stream, the new approvals
coming up and the launches that we have. So while there is
pricing erosion and the market is -- there is a lot of buying on the
buying side, which is driving on prices. But there are still
opportunities if you run a good business.
Vivek Jhala: Okay. And what would be our focus therapies in the U.S. for FY
'25?
Pranav Amin: It's a generic business. So we don't go therapy wise. I t's just on
the capability -wise, and our capabilities were part of our oral
solids, increasingly, you've seen more approvals on injectables, on oncology, on ophthalmic, and derm as well.
Vivek Jhala: Okay. And just the last one. Are we observing any price erosion in injectables?
Pranav Amin: Yes. In the U.S., we 're seeing price erosion across the board
everywhere.

Moderator: The next question is from the line of Bharat Ce lly from Equirus
Securities P rivate Limited. .
Bharat Celly: Congrats on the great set of number. Just wanted to understand
on the gross margin part, we have seen almost like 400 bps
improvement sequence to quarter -on-quarter. So I just wanted to
understand what exactly led to this margin improvement?
Raj Kumar Baheti: quarter -on-quarter, it's never a good sign of doing a comparison.

A whole year comparison is much better, more balanced. And as I said, the gross margin hovers at around 70% plus, and we are
happy about it.
Bharat Celly: Okay. And on pricing pressure in the U.S., so how do you see this
pricing pressure to pan out in next year or probably years to
come? And how do you see this shortage within the U.S. market?
Is it largely led by people stopped pruning with existing portfolio
because of low margin? Or is there something else to read out?
Pranav Amin: Bharat, those questions are very hard to predict because I don't
know what's going to happen in terms of the price erosion in the
market or the oth er bit. Because it really depends on the
competitive pressure where people go, how they lead to how much that drop prices, how aggressive a player is in the market.
And shortages also depends on a factor if someone's supply
chain is working and someone has a regulatory issue. So it's very
tough to predict those. But however, we like to stay ready for whatever opportunities we see in the market.
Bharat Celly: Right. And sir, just what I was trying to understand whether these shortages are because of some shortages in the market -- sorry,
because of some regulatory issue or people are pruning that portfolio?
Pranav Amin: I think not so much pruning the portfolio, yes, pruning the port folio
will be there, but it's just a matter of, one, the regulatory actions ,

And number two, would be just them being able to manage the
supply chain. As you know, the U.S. is large volumes, and it's
quite dynamic. And sometimes if they're not able to manage the
supply chains for whatever reason, then you may see some
shortages.
Bharat Celly: And I understand we can't share geography -wise margins, but
what I'm trying to understand is what sort of margins will be there
for a product where the competition will be, let's say, almost too
intensive like almost like 10 players whereas the margin

s are
below -- gross margins are below 40% in those cases or it will be
higher? Just directionally, I'm trying to understand.
Pranav Amin: It's very tough to generalize. We as I said, we don't give product -
wise guidance. It's very tough to general ize, right? It depends o n
how efficient you are on any product, how much you are
back ward integrated on, whether you are backward integrated on
the API, what kind of scale do you have? So it's very tough to say
it depends product to product.
Bharat Celly: Actually, I was trying to understand more from the perspective whether these products are turning negative or, let's say, unviable
at a gross margin level also? Or it is just at EBITDA...
Pranav Amin: We generally don't like to sell anything at a negativ e margin.
Bharat Celly: Okay. Okay. And lastly, this quarter, we have seen that acute has
been prepared. What has been the reason for that acute therapy
the domestic business?
Pranav Amin: Sorry, what do you say?
Bharat Celly: So acute therapy for this quarter in the domestic business has
been weak. So what led to it? Is there any reason.

Shaunak Amin: Yes. If you look at the base of '21- '22 and '22- '23, that gives a clue
as to why the base has been weak. So it's predominantly driven
by that.
Bharat Cell y: So as far as I remember, in the past year, we had a super growth -- sterile growth in Azithral. So that is the main cause of tepidness
for this quarter?
Shaunak Amin: Like I mentioned in the call in my opening statement, both
antibiotic basket and the respiratory basket are predominantly

more gravitated towards the liquid preparations in both antibiotic
and respiratory. And yes, Azithral would be a significant chunk of
that.
Bharat Celly: Right. And last one from my end before I move the queue. On the U.S. business, you mentioned that in the past quarters, we have
seen some onetime supply. So in the fourth quarter, was there a onetime supply or it was completely bas e business which we have
seen?
Pranav Amin: It was just the regular base business.
Moderat or: Next question is from the line of Tushar Manudhane from Motilal
Oswal. Please go ahead.
Tushar Manudhane: Sir, just on the Animal Health business, there has been a
very good scale up. Even fourth quarter, we ended doing almost
30%- 34%. So just to understand here what is it that is rising, is it
more volumes or is it regional expansion, if you could elaborate?
Shaunak Amin: No, it's a mix of both. L ast financial year, we have added
additional division in the wet business in the livestock segment. And it's a combination of that plus I think our performance, which
you see. So there's a trend line both in the last 3 years, which
shows that we continue to perform and maybe the rate of growth
keeps accelerating because it' s a combination of both,

quantitative expansion as well as qualitative operational
execution going up.
Tushar Manudhane: So the benefit of this new division is now fully reflected in
the numbers or we are yet to see the entire benefit in coming
quarter.
Shaunak Amin: We have started seeing good impact on that, but continues to
play out even this year as well as next year, I think.
Tushar Manudhane: Sir, broadly, how much investment you would have done
in this Animal Healthcare -- Animal Health segment till date?
Shaunak A min: In terms of investment in terms of manpower?
Tushar Manudhane: Both manpower and if any of manufacturing, if you do in-
house?
Shaunak Amin: Manufacturing with a combination of internal as well as external
third-party suppliers. So there's no additional cap ex expenditure
from that point of view. And in terms of manpower strength, like I
mentioned in the investor slide, 280 people in the business in the
last financial year.
Tushar Manudhan

e: Understood. And lastly, on the specialty segment, also
year-on-year, if I look at it, it's 5% growth. I understand
seasonality and higher sales of some select products in the previous year impacted acute, but specialty al so has been quite moderate. Any particular reason you would like to attribute?
Shaunak Amin: No. even the whole IMS performance in the last 4 months has
been quite subdued. I t's just a factor of that.
Tushar Manudhane: In fact that -- so at the industry level, what do you -- what
kind of numbers are we thinking of for FY '25 at the industry level
in terms of growth?

Shaunak Amin: It's very hard for me to make a comment on the overall industry
growth. But I expect this base impact of previous years to get
moderated out rather most of it has got moderated out in the '23-
'24. So I expect '24- '25 to be more towards a normal year in terms
of growth. Y ou can expect maybe anywhere from mid- to high
single -digit performance for the overall market next year.
Tusha r Manudhane: Understood. And lastly, on gross margin, has there been -
- so as you also witnessed in the API segment in terms of the

price erosion. So is that also benefiting us on the formulation side and so partly driving better gross margins? And subsequently, is it sustainable?

Pranav Amin: No, actually not really because most of the API we sell to -- is 2 separate things, right? This APIs all to regulated market customers all over the w orld. I t's on e and the other. I said in the last call that so me of it is a little lumpy because it had to go with a few particular customers and then there's a little lower offtake. That's one of the reasons.

Moderator: Next question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Pranav, Just one question. On you comment on price erosion in the U.S. I mean high single- digit, low double- digit digit seems to be on the higher side. in the backdrop of disruption and shortages that most people talk about. How are you reading the scenari o? I mean, why are we not seeing better pricing environment? And your comment also seems like it's uncertain in terms of how the prices will evolve. So any comments there? How are you reading the dynamics given that you have a large portfolio and across formulations, you are present?

Pranav Amin: The way I've seen the dynamic is compared to about 5 years back, the market is much better supplied than what it used to be.

We do have a very high supply percentage that do on time. But the market generally is a better lot more, a lot more players with a lot more product in the market.

So that is one of the reasons why I'm saying this. Number two, compared to about 2 years back, I'm saying the erosion is less because about 2 years back, we had a whole bunch of that Sartan portfolio, which we are selling at very high prices due to some short -term benefits. So that has really come down. Having said that, I still see price erosion. It really depends how aggressive the competitors are and to get market share. Number two, on the buying side, nothing has changed, right? Your buyers still remain the same. So they can try negotiating harder whenever they can.

It is a buyer's market.

Saion Mukherjee: Understood. And just one last one on the U.S. itself. You have launched 27 products last year. How have you seen pricing on these products or these new launches? Are they better then what the trend has been in the past or versus your expectation or the erosion has been higher, I mean, for the new launches...

Pranav Amin: It depen ds on product to product. On some injectables, it was fairly good and much better than what we anticipated on the rest. We're seeing that buyers do look for sometimes a reliable supply partner, which we've been able to

build ourselves up. So it's been a mixed bag. By and large, we've been okay. T he portfolio gets to where we thought it would, but it's balanced across. So it is very tough to predict which ones I'll actually end up with a better margin and which one with a lower erosion.

Moderator: Next ques tion is from the line of Nitin Agarwal from DAM Capital Advisors. Please go ahead.

Nitin Agarwal: Pranav, where do you see the R&D expenses as revenue settling down over the next 2, 3 years?

Pranav Amin: I just said someone had asked earlier. F or this fin ancial year, FY '25, I see that R&D should be anywhere between about 550 to 600 in that range, somewhere around that range.

Nitin Agarwal: And this is where you see it settling in general...

Pranav Amin: No, no. I think marginally it will keep going up, ri ght? As the business goes up as -- so we w ill keep increasing. And within

R&D, the spends will get reallocated. So as I mentioned that from
OSD, we'll spend a little bit more on injectables on complex
injectables, ophthalmic, derm, so that will get balance d out. And
also part of it will go to the other territories. We've recently been spending a little bit more on the rest of the world territories as well.
Nitin Agarwal: And does this change in R&D strategy, does it really imply any large chunks of capex also over the next 2, 3 years?
Pranav Amin: No. On the R&D side, there's no large c apex at the most it will just
be maintenance capex and eq uipment upgrades, but no large
cape x on the R&D side.
Nitin Agarwal: What I meant is for the products that we're looking to produce in
shifting focus now from a new product perspective. Does that
imply any meaningful expenses on...
Pranav Amin: Not on the R&D side, whatever expenses we have to incur, we've already done it in terms of R&D as wel l as the plant side. So the
bulk of it is already done.
Nitin Agarwal: Secondly, Mr. Baheti, how should we think about our overhead
costs from here on? I think they've been a little volatile after the
big plants are all out in the base now. Should we be looking at
what inflation driven sort of price hikes in our overhead going
forward?

Raj Kumar Baheti: Yes, as I said in the beginning, '23- '24, it seems to be a normal
year. And from here, comparison will be much more easier to do.
Nitin Agarwal: Okay. And lastly, Pranav the U.S., the 25 product launches that
you're talking about, I mean, are there any assured sort of
exclusivity – semi -exclusivity position for you that will play out
during the year?
Pranav Amin: No, I think nothing of that sort.
Moderator: Ladies and gentlemen, we will take that as the last question. I'll
now hand the conference over to Mr. R.K. Baheti for closing
comments.
Raj Kumar Baheti: Thanks. I think there are a couple of other guys in the queue. We could not take it just because we were running out of time, I would
request them to send a mail to me and we'll be able happy to respond to you.
In the meantime, thank you very much for attending this call as usual. As always, it's a pleasure talking to all of you, with just a lot
of insight and level ling and look forward to your continued support
in the coming year. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of
Alembic Pharmaceuticals Limited, that concludes this
conference. Thank you for joining us, and you may now
disconnect y our lines. Thank you.

Call: Aug 2024

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Date: 14th August , 2024

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 8th August , 2024
Ref: Our Intimation dated 25th July, 2024
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 8th August , 2024 .
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited
Q1 FY '25 Earnings Conference Call "
August 08, 202 4

MANAGEMENT : MR. PRANAV AMIN–MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR -FINANCE & CHIEF FINANCIAL OFFICER
MR. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT -FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '25 Earnings Conference Call of Alembic Pharmaceuticals Limited.
We have with us today Mr. Pranav Amin, Managing Director; Mr. Shaunak Amin, Managing Director; Mr. R.K. Baheti, Director, Finance and CFO; Mr. Ajay Kumar Desai, Senior VP, Finance.
As a reminder, this confe rence call is only for analysts and institutional investors. All participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing

star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R.K. Bah eti. Thank you, and over to you, sir.

R.K. Baheti: Thanks. Good evening, everyone. Thank you all for joining our first quarter results for FY 2024 -'25. I'm sure you would have received the results. However, let me briefly take you through the numbers.

During the quarter, our total revenue grew by 5% to INR1,562 crores. EBITDA at Rs.239 crores is about 15% of sales and grew by 14%. Net profit grew by 12% to INR135 crores, comparing the results corresponding quarter of last year.

EPS for the quarter is Rs.6.84 per share versus Rs.6.14 for the previous cor responding quarter.

Our gross borrowing is about Rs. 589 crores compared to Rs. 430 crores of March '24, and we have Rs. 147 crore s cash versus Rs.120 crore s in March '24.

I would request Shaunak to take you through the India business.

Shaunak Amin: Yes. Hello. Good afternoon, everyone. For the quarter, India branded business grew by 9% to Rs. 572 crores.

We recorded robust growth in our specialty therapies of gastroenterology, gynaecology , antid iabetic, ophthalmology and we performed relatively better than the market in acute therapies. Excessive heatwaves in Q1 led to unnatural market disturbances in specific affected geographies and that was a negative for the business.

Animal Health care bus iness continues to outperform with 23% growth for the quarter, backed by a basket of strong brands driving this outperformance.

New launches also continue to do well as a category for us with some key promising new launches that have happened in Q1.

I would now hand over the discussion to Pranav .

Pranav Amin: Thank y ou, Shaunak. Our OSD facility, F 1, was inspected recently by the U.S. FDA. I'm happy to say it happened without any observations underscoring our dedication and to compliance and quality. The U.S. business performed quite well and g rew by 18%. We had 2 launches during the quarter and expect to launch 10 more products during the quarter.

The ROW business has a good outlook, and we've grown this business quite well over the last 5 years. It sho uld return to better growth in the subsequent quarters. The muted growth was on account of constraint of supplies. The API business underperformed as compared to a higher base of last year. We hope to improve the growth in the subsequent quarters .

R&D exp ense was 7% of sales at Rs.114 crores for the quarter. We filed 3 ANDAs during the quarter and cumulative ANDA filings

are at 262. We also received 11 approvals and launched 2 products in the U.S. during the quarter. As mentioned earlier, we should launch about 10 products in this quarter itself.

The U.S. generics grew 18% to Rs.461 crores for the quarter, whereas the Ex -U.S. generics grew 2% to Rs. 271 crores for the quarter. The API business degrew by 15% to Rs.260 crores for the quarter.

With that, I w ould like to open the floor for Q&A.

Moderator: Thank you very much. We will now begin

the question -and-
answer session. The first question is from the line of Tushar
Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, just on U.S., as w e see the pace of launches ramping
up and even the first quarter numbers have been better than the
quarterly than its earlier quarters, so could you provide some
guidance in terms of what kind of run rate one should expect in
FY '25?
Pranav Amin: Tushar, we're not giving a run rate, but we do expect -- as I said
in the last quarter, at the end of the year, we do expect to grow
the U.S. business. I'd like to grow it by about 10% to 12% this
year. And we'll hold that true. It's a combination of the competition
and the price erosion that we see.
The last quarter was quite good. As you know, with growth of 18%
is a good quarter. However, there was some lumpiness in that
first quarter, which would not be on recurring basis. But we will
launch about 10 products i n the current quarter and hopefully,
some of the big ones might come also. So let's see how that goes.
Tushar Manudhane: Understood. And this timeline as far as Selexipag product
is concerned, and if you could also highlight in terms of the
contours or constraint s for the launches?

Pranav Amin: Yes. Selexipag , still some time off. W e're the first to file -- we have
exclusivity on that we are the non -NC-1 first to file on that, but
there's still time for that. I don't think that launch is until FY '26 or
'27. So it' s still early days.
Tushar Manudhane: Even FY -- go up to FY '27, is it?
Pranav Amin: I think so. I have to just double -check with it. I'll get back to you. I
don't have it with me.
Tushar Manudhane: Okay. And for this product for the API initiatives, so w here
is -- from a manufacturing standpoint, where there's a key line? Is
it more of a formulation as tricky or API is a tricky, per se?
Pranav Amin: The formulation. It was IP, actually. More than anythi ng that was
intellectual propert y and filing the prod uct before anybody else.
Moderator: The next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: My question is again on the U.S. So you mentioned like you would
expect it to grow in the coming periods. But I just want to
understand how supplies pickup -- getting pick up from the new
plants, especially for the non -oral solid plant?
Pranav Amin: Lot of the growth still is from the OSD. OSD is still the largest part
of it. But pickup from the new plants have been quite good. Some
of them have done a little better. Some will still take a little bit
more time for ramping up. But it's been quite successful.
Hopefully, by the end of the year, we will see a lot more products
coming from these plants.
In terms of the ophthalmics, the lines are running very well . The
oncology is also we've picked up some traction. And the general
injectables is something that we're working on, especially the pre -
fill syringes, we may see a few launches by the end of this quarter
that sh ould help it.

Damayanti Kerai: Okay. So very broadly, like, what are your expectations in terms
of sales split between OSD and non -OSD sales 2 years from now,
very broadly?
Pranav Amin: We haven't -- we don't g ive that breakup. But what I can tell you
is that about 4, 5 years back from 100% OSD, gradually, the
dependence on OSD will come down and you'll see growth
coming from the other dosage forms . OSD wi ll continue growing
as well, and it will still be more than 50% in the long run .

Damayanti Kerai: Okay. A nd can you also comment on the U.S. pricing
environment? Have you seen any change compared to last 2
quarters?
Pranav Amin: There's still pricing pressure, I would say, double -digit pricing
pressure. It's still there, we're still seeing that i

n the market.
Damayanti Kerai: Okay. But it's more product specific, right? Because what we are
hearing from other -- somewhere like mid -single digit? And my
next question, you mentioned constraint to supply was one of the
reason why we saw less ROW sales this quarter, and if that's the
case, like how you're planning to resolve this?
Pranav Amin: Yes. So you're right. We have the order s book ed and the outlook
is looking quite good for the U.S. as well as the ROW markets.
What has happened is we faced some constraints in supp lies.
How we're addressing it , we do have the new formulation facility,
F4, that we built a couple of years back. So increasingly moving
more products there, and we're ramping that up. And in F1, we're
looking at debottlenecking some of the areas w here we have
constraints. So I exp ect that in another quarter or two , it should
be back up to supplies and ROW business will end up g rowing
into the last couple of quarters of the year.
Damayanti Kerai: Okay. So maybe a quarter or two and then you expect gro wth to
come back in this segment?

Pranav Amin: Yes, Absolutely.
Damayanti Kerai: Okay. And my last question is on your margin trajectory. So we
have seen gross margin in the last 2 quarters remains broadly
stable. So should we assume this level to sustain ahead? And
also, if you can comment on the R&D expense. You always said
Rs. 550 crores, Rs. 600 crores kind of? is that number which you
are looking for this fiscal...
Pranav Amin: Yes, so let's take the R&D first . R&D -- as you see, the first
quarter has just been about Rs.112 -114 crores, but by the end of
this year, it will ramp up a little bit more. So I expect to close at
about Rs. 550 crores -or-so for this year on the R&D side.
As regards to margins, I said we d o expec t that the margins over
a 2-3 year period go up closer to the 18% to 20% kind of ranges.
And that will happen as the new facilities get better utilized, and
we've already optimized the R&D. Last quarter was a little more
lumpy because we had a few onetime benefits of the EBITDA. But
on a year -on-year basis, you will see an improvement in EBIT DA
margins .
Damayanti Kerai: Okay. And last, if I can, in the new non -OSD plant, your utilization
is right now, what, like below 30% or it's better ?
Pranav Amin: Again, it's tough to quantify, but ye s, it's not much right now. F ew
streams are more , few streams are less, but it was built for future
expansion. It was just built for taking up the future capacities and
we're on track for that. We will s tart debottlenecking that and
adding more areas there as well.
Moderator: The next question is from the line of Abdulkader Puranwala from
ICICI Securities.
Abdulkader Puranwala: Sir, my first question is pertaining to the U.S. business. So
out of the 206 p roducts which have been approved, you have

launched 149 so far, so the balance 57 products, would it be fair
to assume that this would be mainly oral solids?
Pranav Amin: In terms of the total approvals?
Abdulkader Puranwala: No, no. I'm talking about the products which are yet to be

launched close to 57 products...
Pranav Amin: Yes. as I said, we'll launch about 10 products in this quarter. Roughly half of them, in my opinion, would be oral solid, the rest would be some of the new areas.
Abdulkader Puranwa la: Understood. Understood. And sir, in terms of your animal health business in India, so for the last couple of quarters, you have seen a quite good amount of traction. So in the next 3 to 4 years, I mean, how do we see this business in terms of the overa ll contribution to the India business? And if you could throw some light in terms of the segments which are currently working well for us?
Shauanak Amin: Yes. So in the a

nimal health business, we expect to see a continuation of the momentum. As you're aware, we added a new division in the livestock space last financial year, and that's obviously giving us a little more traction and momentum in terms of sales. Conservatively, we should expect to be in and around the CAGR that we've been generating for th e last 3 years, we expect that momentum to continue on t he India business .
In terms of levers that's really driving this business, li ke I said, it's -- some of it could be attributed to manpower expansion, some of it is through some new launches a s well a s, operational ex ecution and discipline, which is a more a pan -India business strategy. I t's a combo these 3 things that's really helping us move.
Abdulkader Puranwala: Understood. And my final question is also on the branded portfolio in India. So if I look at one particular slide on the

therapeutic performance, your gastrointestinal growth has slowed down a bit as compared to the market growth. So any thoughts or color there?
Shaunak Amin: Sorry, could you repeat the question?
Abdulkader Puranwala: Starting, with respect to your gastrointestinal portfolio in India. If you look at one of the slides where you have given a comparison between the company growth of this portfolio as well -- versus the market, the growth has been slightly below the market growth. So any thoughts or color you'd like to share, which would help us read to those numbers?
Shaunak Amin: sometimes you just have a little bit of submarket segregations of where your stakes a little more, those markets don't do as well. I don't think it should be a major concern.
Ajay Desai : See, broadly, there is no gap, like we grew at 12% and the market growth is also 12.6%. So broadly, we are in the line with the market.
Moderator: The next question is from the line of Bhavesh Gandhi from Yes Securities.
Bhavesh Gandhi: I have one question on the U.S. business. So any updates on the approvals that we had g ot in Q1 , So any update on the 3 products, whether they will be launched or we're yet to launch?
Pranav Amin: we launched 2 products in the quarter, and we will launch about 10 in this quarter and some maybe or three take because they're not day 1 launches , so they'll all be launched within in a period of time.
Moderator: The next question is a follow -up question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: So this on the API side, only to understand this is it to do with the inventory in the system, or this is more customer specific?
Pranav Amin: Yes, the lower sales due to -- I mentioned a couple of quarters

back that while the API business over a 5 -year period has grown quite a lot. W e had few customer level shortfalls in the pickup.T hat is due to various reasons. One, business was very lumpy, that's why it will come up by the end of the year. The other one is one of the customers had an FDA issue, which is why there was a little lower offtake. And third is th ere was some pricing pressure that we saw, which we lost some business. But I hope that by the end of the year, API business will go back up to growth, and I hope that this business will expect it to grow by 10% year -on-year after this.
Tushar Manudhane: Is that FDA issue resolved so that his offtake is back on or it will be subject to inspection?
Pranav Amin: Issue is not at our level. It is at a customer level. I t's not resolved as yet. And I believe that market share has got transferred to somebody else.
Tushar Manudhane: Understo od. So effectively -- sorry to d rag on this, but effectively for us to scale up the business will be subject to resolution of FDA issue for the customer or any which case, till the customer will

be able to sell more in the market?
Pranav Amin: It's just one customer. I believe we'll make that up with other business as we go along.
Tushar Manudhane: Understood. And sir, secondly, on the gross margin front, where the share of API business overall over the last -- you may look at year -over-year or quarter -over-quarter, the share of API is being reducing, but the gross margin has been largely stable at least for quarter -over-quarter if I think about?

R K Baheti : Yes, that's right. I have said earlier also tha t we'll be happy with 70%-plus kind of margins. For every quarter, it will be some product mix, specific consumpt ion patterns. On a long term trend, we would continue to be 70%.
Moderator: The next question is from the line of Bharat from Equirus.
Bharat: I just wanted to understand on lenalidomide launch plan. So when we are going to launch that product? Is it going to be towards FY '26 May or sometime later?
Pranav Amin: No, we're going to be much later. We were not in the first cou ple of waves. W e're still a good couple of years away from that.
Bharat: Okay. But will it be a sizable opportunity for us whenever we launch it?
Pranav Amin: No, no. it won't be because we'll be too late to the market. So that's not a product that will be siza ble for us.
Bharat: And is it based on some settlement? Because as far as I know many companies have settled in such a way that they were going to launch before everyone could come. So before this volume restrictions is lifted. So are you seeing some of th ose will be getting some value share?
Pranav Amin: No. we were very late on this product. So here's a whole bunch of people before us. So our settlement is much later, and I don't expect there'll be much of market left by the time we get in.
Bharat: Okay. And as far as talking from the perspective of U.S. business, now what will be our top 4 or 5 to the product composition of the U.S. business what proportion will be coming from these top four or five products?
Pranav Amin: percentage of revenue?

Bharat: Yes. U.S. revenue, top 5 or top 10. I'm just trying to understand the concentration of the U.S. market.

Pranav Amin: So I think the concentration for us has come down from what it used to be back in the days of the starting. So I don't have the exact figur e. I'll send it out to you offline. The top 5 also keeps changing depending on the opportunity, but I believe the concentration has come down quite a bit.
Bharat: So actually, the reason to ask is because we have talked again a double -digit price erosion w hile our peers are yet talking about that price erosion actually been very moderating a lot. So what is leading to the sort of price erosion for us? What difference we're seeing in the market?
Pranav Amin: Maybe we sell at higher prices than the others, I don't know. But that's what we're seeing in the market product to product.
Bharat: Right. And it is across the portfolio, not some specific products, right?
Pranav Amin: See, the price erosion is, you extrapolate it, right? Because a few products that will be double -digit; few products, it will be stable. Some haven't lost anything. So it's tough to say. That's why when you all ask for the price erosion, and when I do see price erosion, I'm seeing double digit. I'm not seeing single -digit price erosion. And of course, some products, we don't see price erosion.
Bharat: Yes. But at an aggregate portfolio level, you are seeing double digits?
Pranav Amin: Yes. We're seeing price erosion.
Bharat: Right. And you talked about some lumpy revenue during this quarter. So are you even calling out the number as well for that?

Pranav Amin: No, we haven't q

uantified a number. It just happens sometimes. Once in a while, we'll get a onetime or maybe some supply base or some third -party supply. So we get that once in a quarte r. And it's -- I think every year, we get it. Once every few quarters, we get it. So it's just led to this.
Bharat: Right. And our overall U.S. business margins would have taken a hit largely because of new facilities. How long do you think it will take fo r us to turn our overall U.S. business after deducting for R&D expenses to turn profitable?
Pranav Amin: So the U.S. business has always been profitable for us if you take our R&D business out. It's just that the new facilities right now, new facilities ar e shared across all our markets. If you add the new facilities then there that in spite of that, the generics business is still positive, still profit -making in spite of that.
Bharat: Sure. And last one, on the other expenses, we have again seen other expenses shooting up dur ing this quarter. So any number to call out or anything there sitting, which might be one -off?
R.K. Baheti: You would have seen some increase probably on a Q -o-Q basis, but on a Y -o-Y basis, it's like a consistent increase. So some expense are a little more cyclic than others.
Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.
Gagan Thareja: I think in your intr oductory comments, you indicated that gross borrowings have gone up from close of fourth quarter to now. Any explanations there? Is the working capital gone up?
R.K. Baheti: Yes. A little bit of working capital has gone up, that is because of new launches, which Pranav mentioned , we have to create enough inventory. And also multiple plants are now in stream. So

obviously, the inventory levels at each of these facilities would add up to the increase in inventory.

Gagan Thareja: In terms of days sales, invent ory would also have gone up other than apart from being in absolute values being up?
R.K. Baheti: Number of days have also have gone up because the sales will follow. Inventory buildup is pre ceding the sales are happening. I believe that by end of this fin ancial year by March '25, it should be back to normal, again.
Gagan Thareja: Okay. All right. And the tax rate also seems to have gone up year - on-year. What would be the full year tax rate roughly to work with?
R.K. Baheti: We ex pect full year tax rate to be at around 17% on a standalone basis. Depending on the subsidiary company's prof its and taxes there on .
Gagan Thareja: Right. And if I look at your standalone numbers there's a very sharp jump in profits, which d oes not -- obviously not -- does not show up at a consolidated level, any explanation there?
R.K. Baheti: Largely the same reason that we have built up inventory in the U.S. for the new launches. And those products are now when they get on the ma rket, it w ill be sold, A s of now, it's an unrealized profit in stand -alone books.
Gagan Thareja: Okay. And for India, any addition to sales force that you have planned this year? And what is the current sales force count?
R.K. Baheti: We have done some additions a lready. We have created divisions and new division in Gynec. We have done a new division in Cardiac. So now, t here are no major expansions planned this year.
Gagan Thareja: And what's the total sales force count as of today.

R.K. Baheti: 5,500 -plus.
Gagan Thareja: And the PCPM would be how much?
R.K. Baheti: Sorry?
Gagan Thareja: The yield per month per man would be how much?
Ajay Desai 3.8 lakh per month.
Moderator: The next question is from the line of Harshit Dhoot from Dymon Asia.
Harshit Dhoot: Two questions from my side. First one is on the Entresto. We have received approval on Entr

esto. I just want to understand on the launch time lines and the settlement terms or litigation. How to understand when we can launch this produ ct?
Pranav Amin: Yes. On Entresto, we have settled already with the Novartis. I think we're just awaiting the outcome of some of the others, what's going on. So we're on a wait -and-watch mode. Let's see if someone launches, then we'll decide if it makes s ense for us to launch based on a settlement, but we've already settled.
Harshit Dhoot: But if the other guy was not able to launch, then by when we can launch at earliest?
Pranav Amin: As per settlement, it really depends. It's tough to say and but we would wait for somebody else to launch because we can't launch right away. As per the settlement, our launch is later. But if somebody else launches, then we may get an opportunity to launch. With this, next couple of days, a couple of hearings going on and we 'll get a better idea in a couple of weeks' time.
Harshit Dhoot: Okay. Got it. And one more thing on this. Is the settlement related to the volumes or how it is?
Pranav Amin: No. It's based on IP.

Harshit Dhoot: Okay. Okay. Got it. And the other part on th e domestic business, excluding the Animal Health business, what kind of thoughts do you have in mind? Can you also form the IPM market by 200, 300

bps, excluding animal health business?
Shaunak Amin: Yes. that is the objective. We ha ve always maintained t hat the India business under normal circumstances, over -- not on a quarter -to-quarter basis, but over a long -term consistent basis, we expect to outperform the IPM. And I've mentioned this in the past that my target is to deliver a few basis points higher than the IPM.
Yes, it becomes a bit of a challenge, like it has been in Q1 and some of the quarters of the previous financial year when the RPM and the IPM, there was a big dissonance in terms of growth. I don't want to get into the multiple reasons of w hy the market grows slowly. But against a normalization of the market, ex of any large base, unmanaged base impact or some extreme external circumstances like climate and such. if RPM is growing in line, we expect to outperform the IPM by at least a coupl e of basis points consistently.
Harshit Dhoot: Excluding Animal Health business, right?
Pranav Amin: Yes, excluding Animal Health business.
Harshit Dhoot: Okay. And the last one on the book -keeping question. Again on the gross margin front, anyways doing 70% -plus from last 8, 9 years, right? So this quarter, we were around 75%, last quarter also 75%. I just wanted to qualitative aspects on that. How should we read the gross margin in terms of mix when U.S. Become heavy, then it will build more upwar ds or downwards? So just a qualitative statement on that. The 70% -plus is a big range, right? So just more comments on that, sir?

R.K. Baheti: As I said, we constantly monitor it, and we'll be happy with anything which is 70% -plus. It has been between 70% and 74%. So, now for a specific quarter, it depends on our realization that is the top line, the cost of material, the consumption pattern, product mix of production and so on. W e don't get into quarter - on-quarter discussion. Overall, 70% -plus is good for us.
Harshit Dhoot: Okay. And in terms of the geography mix, which can you know the margin upwards or which can put pressure on margins? So if U.S. becomes highly, which will be next quarter, then we can see some acceleration in gross margins or it will be something like flattish? Just wanted to understand how gross margin is getting impacted by mix?
R.K. Baheti: Each of these factors affect gross margins. Price erosion in U.S. will affect the gross margins. Price rise in India will affect the gross margin. Cost increase impacts

the gross margin. Any of these things or all of these things can happen or may not happen.
Moderator: As there are no further questions, I would now like to hand the conference over to Mr. R.K. Baheti for closing comments.
R.K. Bahet i: Thank you, everyone, for joining the call and always pleasure interacting with you and look forward to see you again at our Q2 H1 conference call. Thank you all.
Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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Date: 12th November , 2024

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 7th November , 2024
Ref: Our Intimation dated 18th October , 2024
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 7th November , 2024 .
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited
Q2 FY '25 Earnings Conference Call "
November 07, 202 4

MANAGEMENT : MR. PRANAV AMIN–MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR - FINANCE & CHIEF FINANCIAL OFFICER
MR. NILESH WADHWA – HEAD - INTER NATIONAL BUSINESS AND STRATEGY
MR. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT -FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '25 Earnings Conference Call of Alembic Pharmaceuticals Limited.
We have with us today, Mr. Pranav Amin, Managing Director; Mr. R.K. Baheti, Director, Finance and CFO; Mr. Nilesh Wadhwa, Head, International Business and Strategy; Mr. Ajay Kumar Desai, Senior VP, Financ e.

As a reminder, this conference call is only for analysts and institutional investors. All participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assi stance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference call is being recorded.
I now hand the conference over to Mr. Pranav Amin. Thank you, and over to you, sir.
Pranav Amin: Thank you. Good evening, everyone. Mr. Baheti is here with me, he ha s got a little soft throat, so I'll just read out his part.
Thank you all for joining the second quarter results conference call. I'm sure you will have received the results by now. However, let me briefly take you through some of the numbers for the quarter ended September '24.
During the quarter, total revenue grew 3% to INR1,648 crores.
EBITDA is at INR 257 crores, which is 15.6% of sales, and it's grown by 18%. Net profi t grew by 12% to INR153 crores.
EPS for the quarter is INR7.79 per share versus INR 6.95 for the previous corresponding quarter.
The gross borrowings are INR 995 crores compared to INR 784 crores on September 2023. The company has INR 122 crores of cash on hand versus INR 141 crores of cash on September 2023.
I'll just give a brief about the India business on behalf of Shaunak.
The India branded business grew 6% to INR 609 crores for the quarter.
It had good growth in specialty therapies such as gyneco logy, 8% ; cardiology, 11%; antidiabetic 18%; and 13% in ophthalmology.

The animal health business again continues its robust growth, and it grew 20% for the quarter, with a basket of strong brands driving the outperformance.
We had 3 launches in India during the quarter, and the new launches continue to do well, along wit h a lot of promising future launches across key segments.
Coming to the international operations.
We had a surprise inspe ction from the U.S. FDA at our O ncology facility, which passed without any Form 483.
The U.S. business continues to see price erosion, but we partially offset that with an increase in volumes and new launches. We had about a 25% growth in t he U.S. volume .
We continue to build momentum with new launche s and should hopefully see better growth in H2 with a lot of our launches coming up and being a little more backended. We should launch about 10 products in H2 as well.
Our R&D expense was 8% of sales at INR 133 crores for the quarter.
We filed 1 ANDA.
We also received 9 approvals and launched 8 products in the U.S. during the quarter. And as I mentioned, we will launch about 10 products in H2 as well.
In terms of financials, the U.S. generics grew 5% to INR 467 crores for the quarter.
The ex U.S. gene rics was back on growth at 18%. We did have some supply related issues in the first quarter and part of second

quarter. So I expect this part of the business to continue growing well H2 also .

The API business degrew by 15%. This is a trend that we've seen in the last couple of quarters. We've seen some price erosion in the API business and have lost some key accounts. However, the long-term outlook on the API business still looks good and it's a high-margin business for us.

With that, I would l ike to open the floor for Q&A. Thank you.

Moderator: Thank you very much sir. Our first question is from the line of Rashmi S. from Dolat Capital. Please go ahead.

Rashmi S: One question on the domestic business. We are seeing a very strong growth in your animal health care business. But we are seeing a very -- I mean, we are seeing a growth slowdown in the Special

ty segment also. Like earlier, we anticipated that we will be growing this into the double digits. So when can we expect this growth to come bac k? And what is leading to this slow growth in the Specialty segment?

And in Acute segment, we have seen a decline, and I understand that we have a high base of Azithral, but if you can give more clarity on this part of the business also at Azithral, how a re we doing? And for the full year, what should we expect in terms of the overall domestic business?

R K Baheti : Couple of parts in your question. So let me try to answer one by one. H2 -- I mean, H2, we continue to expect to grow better than the market on overall basis, particularly the Specialty segments. Antibiotics, yes, Acute has degrown -- not degrown has been flat, but we are still better than the market in our RPM. So that's the situation in the market. But our efforts con tinue and we hope that we should post a better performance in H2.

Ajay Desai : And Rashmi, just to add on the specialty side of the business, basically for quarter 2, market growth was also in single digit, and we performed in line with the market.

Rashmi S: Okay. And what abo ut your ex Azithral, how much growth we have done in Acute part of the business?

Ajay Desai : So basically, on cough and cold side, there is a growth in single digits, but on anti -infective side and you know majorly it is driven by Azithral, the impact is getting felt. Yes.

Rashmi S: Okay. But for the overall FY '25, the growth should be like in the high single -digit sort of for this year?

R.K.Baheti For that kind of growth in whole year , we have to do 15% growth in H2, w hich may not be possible . We should do a high single - digit growth at least in H2.

Rashmi S: Got it. And then going ahead in FY '26 and '27, how should we look at it? What are the initiatives...

R. K. Baheti : We are not giving guidances.

Rashmi S: No, I'm just asking that what are the initiatives that you are t aking to drive domestic growth like in terms of adding market field force or new product launches, what are you focusing on more volume growth, price hike...

R. K. Baheti : Growth not driven by increase in number of field force. It's more driven by better productivity out of our existing team.

Rashmi S: Yes. But anything like any focus on volume growth or price hike or anything...

R. K. Baheti : No, no. I do not like to get into details at this moment.

Rashmi S: Okay. And second question is on the U.S. busin ess. We have done very good number of launches. And what is the expectation

in the second half? The current run rate definitely would pick up in the second half. So any guidance on the U.S. part of the business for the full year?
Pranav Amin: Yes. I don't have a guidance for you, but H2 will be much stronger for us compared to H1. A coupl e of reasons for that. L ot of our launches are back -ended and they will start picking up -- we will start picking share only in this quarter onwards. So H2 will definitel y be much stronger for us in the U.S. market as it will be for the ROW market as well.
Rashmi S: Okay. And my last question is on gross margin. Gross margin, despite -- I mean India business has not done well, we were able to maintain it at 74%, which is m uch better than last year. So is it that it's majorly driven by the U.S. segment and your non -U.S. segment? And in case of India business comes back, at least in line with the IPM in second half, how should we see the gross margins in your second half of t he year?
R K Baheti : I've responded to that question multiple times in the past that we are happy with anything which is 70% -plus and 1.5% margin here and there doesn't make big difference. It would depend on the product mix of the quarter. It c

an depend o n new launches which we do, it can also depend on ratio of oral solids and non -oral solids in the U.S. So I think 72% ± is a good range to be in.
Moderator: Our next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: Pranav, my fir st question is on the U.S. price erosion. So you mentioned you continue to see this. Can you comment like has there been any change compared to, say, last few quarters in terms of intensity of price erosion?
Pranav Amin: I think it's the same. To be honest , it's just product specific, if something happens. It's the same routine price erosion that we continue seeing, it could be anywhere between high single digits

to low double digits. That's what we're seeing in terms of the market.
Damayanti Kerai: And wha t are your expectations on pricing part? Will similar level will continue or we can see some meaningful changes in coming quarters?
Pranav Amin: The fundamentals ha ven't changed. So we continue to see pricin g pressures. As I mentioned from the high margin that we were selling some products has come down. So the impact will get a little lesser, but I expect H2 to be much better for us because we have a bunch of new launches that will start picking up st ream in this quarter and the next quarter as well.
Damayanti Kerai: So you mentioned around 10 new launches in second half, right, or that's for full year?
Pranav Amin: Yes. 10 new launches in the second half and also, but the first -- the launches -- 8 launches that we 've done in this qua rter, as you've seen historically, Alembic will always gradually ramp up our market share. I think the same thing will happen. H ence, you will see that 8 launches that we've launched this quarter plus the 10 in H2 as well, b oth these put together.
Damayant i Kerai: Okay. That's clear. And 1 question on R&D. So earlier, you indicated INR 550 crores of R&D for this fiscal. Do you maintain it or there is any change in your expectation in terms of spend?
Pranav Amin: It will be a little bit on the lower side, w e would be closer to the INR500 crores, INR520 crores kind of levels.
Damayanti Kerai: Okay. And again, if you can remind where the majority of R&D is going right now in terms of formulations or...
Pranav Amin: So I would say about 70% of it is formulations and about 30% of it would be on the API side.

Damayanti Kerai: Okay. And my last question is on your API. You mentioned you lost some accounts. So those are permanent losses or what has led to that?
Pranav Amin: Yes. It's a fundam ental busines s shift. W hat has hap pened is we've seen pricing erosion in the API business. As you know, our API business over the last 15, 20 quarters has been growing very significantly, and it's a very high -margin business for us. So we lost some busines s. Some partners have put in an alternate source. We are still th e part of it. We may recover it . But I expect that part of H2 will also be at these levels of the API business and hopefully, next -- towards the end of the year or next year, we will start getting back to growth in API.
Damayanti Kerai: So API should be recovering from next fiscal, most likely?
Pranav Amin: Yes, I believe so.
Moderator: Our next question is from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader Puranwala: Sir, just a couple of questions, starting with your U.S. business. So among the 8 products what you have launched in this particular quarter, any flavor you would like to add on how the launches have been. Is it in line with your expectations, when you talk about a very strong second half of '25?
Pranav Amin: Yes. I expect H2 to be much stronger for us, while on the H1, Q1 and Q2, we did launch some products and I'll give an ove

rview of the international generics what happened in H1.
We had some supply co nstraints in H1, which we were very aggressive with picking up share in the market. We had the ROW business also which didn't grow as much in the first quarter. It's back to about 18% growth in the second quarter. This has a

strong order book, and I expect th at the H2 will remain at these similar levels 15% to 20% growth, at least, for the ROW business.
The U.S. generics also we've ramped up. Generally, as I told Damayanti earlier that we generally slowly ramp up our market share. So you'll see the benefit of that coming in H2 and a couple of new launches as well. So that should help the U.S. business ramp up as well.
Abdulkader Puranwala: Understood. And then second is on filing. So if I look at the H1 numbers, you have filed 4 products for the first half. Ag ain, I know what do you aim to file in the second half? And just if I compare with your R&D. So your R&D, it's still kind of flattish if I compare with H1 '24, but the filing count has not been that significant. So...
Pranav Amin: Yes. So it' s a good quest ion. W hat happened is , a couple of years back when we started tapering off R&D spend, a lot of the projects were a lready in the pipeline, s o you will see a lag in R&D filings.
I mean this year, we will see a lag in R&D filing because some R&D filings, num ber one, are getting pushed back to complex.
And number two, we had a slight lag when we started reducing the cost. So we have let go some p rojects. So there will be a lag.
From next year onwards, we will get back to the higher 15 -odd ANDAs that we've been filing.
Abdulkader Puranwala: Understood, sir. And sir, final question on the other expenses. So just to understand, is this the run rate to what we can peg for the quarters ahead or does this includes certain one - offs or any further color to that?
R K Ba heti: No, there are no one -offs, except that some expenses particularly

in the India business, typically, Q2, Q3 have higher expense in promo and marketing than Q1 and Q4. So apart from this , there

are no one -offs. But if you compare Q2 ver sus Q2 of previous year, it will be similar numbers.
Moderator: Our next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, with respect to this API business, we've lost some accounts. So if you could just ma ybe probably elaborate the reasons for this?
Pranav Amin: Yes. I t's just a matter of price erosion and competitors offering lower prices, and we moved some, I think. There are a few key accounts that we lost is built up which occurred, but we're seeing price erosion. Unfortunately, the data, export data from India is very opaque and people have taken advantage of that. So that is what has caused part of this.
But we're working on it to get some of the business back that we can. As you know, we do supply a nd we'd like to keep higher margins. We do like to supply , stress a lot more on the quality and timely deliveries and we're supplying at higher prices. We're also seeing China get a little more aggressive on the API side as well.
Tushar Manudhane: Sir, is this to do with the inventory in the system or the API portfolio that we have or despite normalized inventory, we are seeing further price erosions?
R K Baheti : No. Inventories, Tushar, have been built largely ahead of these planned launches. So these are planned...
Tushar Manudhane: No. No, not for the -- not at the company level, sir? I'm referring to the inventory of those products at the industry level.
R. K. Baheti No, no, I'm talking about inventory for the International business largely has been built for planned launches.

Tushar Manudhane: No, no, sir, I meant to ask that the lost business, particularly for the API side. So like maybe the other guys are able to -- are willing to supply at lower prices. So just trying to further understand that is it the inventory at the industry level itself is still so high, but the other players are coming and willing to sell at a lower prices, which we are not -- we don't want to do, is that the case?
Pranav Amin: No, no. It's just purely related to pricing. T hese products are used by others as well. So I'm not worried about the inventory per se.
It's not a concern. It's just that they move -- we are still part of their active filing, right? Because DMF is part of the active ANDA or the dossier that we have. It 's that that they move to a second vendor. Sometimes, buyers do it to getting a better price when they keep switching between 2 vendors as well.
Tushar Manudhane: And lastly, this is to do with supply to U.S. market or ex U.S. market for API business?
Pran av Amin: API is global market. So it pretty much goes all over the world. So it's -- it's U.S. as well as Canada, Europe, Brazil, everywhere. We're seeing a couple of products. There were 1 or 2 customers, which were selling in the U.S., but they have an FDA issue. So that has a lower offtake from us. The rest is just pricing pressure and some customers have moved to another buyer. And the third issue is our buyers themselves have lost market share in some products.
Moderator: Our next question is from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: Just 2 products in the U.S. market. I wanted to know if it is something we can expect in the next 12 to 24 months. One is bosutinib and the other is olaparib?

Nilesh Wadhwa : So, yes, I thi nk these launches are expected, but it will go as per the settlement.
Bino Pathiparampil: Yes. I mean, could you give any color in terms of can we expect in the next 12 to 18 months or is it beyond that?
Moderator: Sorry to interrupt, sir, if you can come a bit closer to a mic.
Nilesh Wadhwa : So these will go as per the settlement we have. D ate cannot be disclosed right now.
Bino Pathiparampil: Understood. And on olaparib, is there a settlement already or is it still under litigation?
Nilesh Wadhwa : Yes, ol aparib is under partnership.
Bino Pathiparampil: Yes. I'm wondering if you have settled it already or is it still under litigation?
Nilesh Wadhwa : Still under settlement.
Moderator: Our next question is from the line of Gagan Thareja from ASK Investment Ma nagers.
Gagan Thareja: Yes. Sir, the first one is on your operating cash flow, which I think is negative year -to-date for this year. There's a rise in working capital. There's also an increase in debt sequentially as well. So can you elaborate on this?
Pranav Amin: Yes, I'll just start on the business side, and then I'll let Mr. Baheti talk about it.
So business side two things happened. As I mentioned, Q1, Q2, we had a lot of supply constraints in the market. These supply constraint caused us to build up more inventory. So this -- and as I said, that H2 will be more robust for both U.S. as well as Europe. So we should see a little more normalized.

Number two, we have a lot of launches coming up, and we've been planning for that. So those launches is somet hing that we built up inventory. Those are two of the reasons why we had a little higher inventories, which has led to a little higher debt.
R K Baheti: Yes. And in September quarter, debt spiked a bit because of the dividend outflow, and it will settle down over the year .
Gagan Thareja: Right, sir. Can we expect to maintain our working capital days and cash conversion cycle for FY

'25 at same level as FY '24 at the close of the year?
R K Baheti: Probably that will be a close call. But going forward, if we talk of FY '26, I think we should be back to normal level
Gagan Thareja: All right. And on the domestic business, is it possible to understand I mean, it generally seems that across -the-board acute heavy portfolio companies are struggling for growth. W hile it's understandable that you grow -- your growth is in line with the covered market. Is it possible to further drill down and understand why the covered market in Acute segment seems to have grown so weekly across the board for Indian companies?
I mean, as a customer, I don't see any reduction in incidence of infectious diseases. Personally speaking, my experience has not been any different this year, if anything worse than last year?
R K Baheti: Actually, it is because this time monsoon was little late. June was bad. So the offtake from the stockist was low. July onwards it picked up. But again, the footfall with the doctors for acute has gone down.
If you look at the market share, we have not lost the market share.

We continue to perform better than the market. We continue to improve ; maybe a small percentage -- a percentage basis point, but we continue to improve on our key products market share. So

that way, we are really not worried, but yes, market has be en slightly slow.
Gagan Thareja: Okay. And would it had something to do with trade generics also? I mean do you believe that overall branded generics in Acute segment would have additionally lost share to trade generics.
R K Baheti: Possible. I mean, I wou ld not say it's still significant. But in pockets, some regional players can play as disruptor , trade generics can. But -- overall all India basis, not much difference.
Moderator: Our next question is from the line of Harith Ahamed from Avendus Spark.
Harith Ahamed: I see a tangible CWIP of almost INR650 crores on the balance sheet. Can you share which facilities this is related to? And if we are capitalizing any costs currently like we used to do in the past?
R K Baheti: We have 3 major projects around as of now in hand, one is a new formulation facility for domestic market, which is coming up near Indore. That should be completed by the end of this financial year. The second is peptide block, which we a re building at our existing API facility, and t he third is couple of line extensions which we are doing at F3, 2 more lines we're adding like I shared this previ ously also. Currently, we have 3 operating lines, we're adding 2 more lines to, one will be operational, I think, by end o f this year or early next year.
Harith Ahamed: Okay. And in your annual report, you talked about 2 filings in the peptide space. So can you comment whether these are indeed -- these are for GLP -1 products?
Pranav Amin: The GLP -1s, as you know, is an interesting area, and it' s a good future that we're seeing. And we're entering some of these, both in formu lation and API perspective. H ence, we have to build this

capability for in -house APIs. We've got R&D developed. And some of the products we're going to tap with day 1 as wel l.
Harith Ahamed: But the 2 filings that you have already done, are these for GLP -1 product?
Pranav Amin: Sorry, I didn't get, the GLP or how many filings we've done?
Harith Ahamed: In your annual report, you mentioned a couple of filings, 2 NDAs filed for peptides. So I was wondering if these are GLP -1 products.
Pranav Amin: No, the ones that we filed are not GLP -1, they are the peptides.
Harith Ahamed: Okay. And when I look at your number of MRs and calculate the PCPM, we've been around that 4 lakh PCPM f or some time. So any divisions that are underperforming where we c

an expect improvement or any other measures that we've undertaken, which can drive an improvement in our PCPM and our domestic margins?
R K Baheti: We don't look at the underperformance or overperformance by the average of 4 lakh or 3.5 lakh. We look at the performance from the budget which we have given to them. So if any new division or any new product which we introduced would have a lower PCPM to start with, and that is not something whi ch is worrying. So there are multiple factors, which we evaluate when we evaluate performance of the people.
But having said that, I agree that there is a scope for improvement in our MR productivity and that's what we are wo rking on. I n

response to one of the earlier questions I said that the ne xt level of growth will come from productivity improvement and not increasing the number of people.

Moderator: Next, there's a follow -up question from the line of Rashmi S. from Dolat Capital.

Rashmi S: Yes. One bookkeeping question on other income, that seems to be pretty high during the quarter. So does it include any forex gain or any one -off?

R K Baheti: Yes. So there were some forex gain this quarter.

Rashmi S: And if you can quan tify that?

R K Baheti: That would be about INR10 - 12 crores

Rashmi S: INR10 crores to INR12 crores. Okay. And when I see the balance sheet, the short -term borrowings have jumped up from INR450 crores to around INR995 crores. This would remain at the same level until the end of the year, or any repayment is planned?

R K Baheti: So I responded to this in previous question saying that Q2 typically would have a higher borrowin g because of a chunk of dividend outflow.

Rashmi S: Okay.

R K Baheti: And t he borrowing level wil l get reduced over a period of time. Also, as Pranav said, we have built some working capital, which should also get consumed before the end of the financial year. So hopefully, the borrowing level will be much lower by -- before end of the year.

Moderator: Our next question is from the line of Amlan Das from Nomura.

Amlan Das : Sir, probably I missed in the opening remarks, what was your R&D spend for the quarter?

Pranav Amin : INR130 crores, it was about 8% of sales.

Moderator: Our next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Sir, my question was on the GLP front. You are saying that we have a couple of products where we'll be like -- we'll be planning to launch on the first day. So just wanted to understand, are there some of the large products like Sema or how relatively lower - revenue products?

Pranav Amin: So we don't really give details of what we launched. But one thing I can say that H2 is going to be a much better for us for the U.S. as well as ROW business. As I mentioned that ROW will be better because in Q1, we h ad some supply constraints. W e expect growth in H2.

And in U.S., as I mentioned, we launched 8 products in Q2, and we gradually start picking up, ramping up market share -- we have some supply constraints. We also have about 10 launches in H2 as well. So with all this put together, H2 will be a much stronger business for U.S. and ROW generics.

Ankit Gupta: Sure. So my question was particularly on the GLP given the kind of growth the innovators are seeing in this segment. So like -- as you said, we are also planning to launch these products. So how is the competitive intensity there? And are we also planning to launch, or have we filed for some of the large products like Sema?

Pranav Amin: Yes. we will launch -- we will target semaglutide and tirzepatide both. There's still time of tirzepatide and the launch is still some time off. Sema, we will not be in the first wave, we will be a little late. it's both interesting produ

cts. So we will -- they're both in aggregate.

Ankit Gupta: And sir, how do you see the competitive intensity there? These are very big blockbuster products...

Pranav Amin: It's a big product and the indications are increasing day on day off. So we expect volumes also to continue growing. There's a lot of people working on this as well. So it will be competitive for sure. It's a good opportunity and you need to be present in this opportunity.
Ankit Gupta: And just like -- like are we also planning to liraglutide?
Pranav Amin: No, liraglutide we're a little late, so we haven't filed that.
Ankit Gupta: Sure. Sure. And this will be manufactured by us or will be outsourcing to some other ARC?
Pranav Amin: Mr. Baheti mentioned earlier that we've set up a peptide facili ty, purely as R&D. We're setting up a facility to do peptide as well as the GLP -1 peptides, so we will manufacture in -house.
Ankit Gupta: Okay. Okay. So just wanted to get your sense, given this, these are a relatively new area for us and these are peptide products which are difficult to manufacture. So do you think we have developed enough capabilities to manufacture them in -house?
Pranav Amin: Yes. That's why we did the capex . We did the R&D way before this, the peptide R& D we've been doing for 4 - 5 years now . So we do have confidence in that. And I think it's a good segment, as I mentioned, it's not just Lira, Sema and tirzepatide. We will see more GLP -1s coming because we're seeing indications in the market improve. So we w ant to be present in this segment.
Ankit Gupta: Sure. And just one question on this. Sema is like are we planning to launch Sema in Canada? Also I think that patent is getting expired in January '26. So will we be launching there as well?
Pranav Amin: as I mentioned, Sema will be a little late. We haven't disclosed marketwise what our strategy is, but we'll be a little late. The following ones will be in time for all the markets.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Pranav Amin for closing comments.
Pranav Amin: Yes. Thank you, everyone. As I mentioned, it was a mixed bag. API was a little bit slower for us this quarter, but the other businesses are looking good. H2 should be a much stronger finish for us, especially on the back of the ROW and the U.S. business, and look forward to talking to you next quarter. If there's any further questions, you can please reach out to us. Thank you, and wish you all the best.
Moderator: Thank you. Ladies and gent lemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

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Date: 11th August , 2025

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 5th August , 2025
Ref: Our Intimation dated 21st July, 2025
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 5th August , 2025 .
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited Q1 FY'26 Earnings
Conference Call "

August 05, 2025

MANAGEMENT : MR. PRANAV AMIN - MANAGING DIRECTOR
MR. SHAUNAK AMIN - MANAGING DIRECTOR
MR. R. K. BAHETI - EXECUTIVE DIRECTOR
MR. G. KRISHNAN - CHIEF FINANCIAL OFFICER
MR. AJAY KUMAR DESAI - SENIOR VICE PRESIDENT
(FINANCE)

Alembic Pharmaceuticals Limited
August 05, 2025

Moderator : Ladies and gentlemen, good day and welcome to Q1 FY'26 Earnings Conference Call of Alembic Pharmaceu ticals Limited.
We have with us today Mr. Pranav Amin – Managing Director , Mr. Shaunak Amin – Managing Director , Mr. R. K. Baheti – Executive Director , Mr. G. Krishnan – CFO , Mr. Ajay Kumar Desai – Senior Vice President (Finance).
As a reminder, this conference call is only for analysts, institutional investors. All participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R. K. Baheti. Thank you and over to you, sir.
R. K. Baheti: Thank you everyone for joining our 1st Quarter '26 Conference Call. I am very happy to introduce my colleague, Mr. G. Krishnan, who has joined us as our CFO, effective 7th of July 2025. And I am pleased to hand it over to him for the opening remarks. Krishnan.
G. Krishnan: Thank you. Thank you, Mr. Baheti for the introduction. Good afternoon, everyone. This is my First Earnings Call interaction with all of you as a CFO of A lembic. I am truly pleased to be here and it is an honor to join a company with such a rich legacy of innovation, operational excellence, and strong stakeholder trust.
Over the past few weeks, I have been spending time engaging with various teams, understanding our business levers, appreciating the disciplined approach that the company brings to execution. So, I look forward to working very closely with the leadership te am to continue driving sustainable growth, operational efficiency, and long -term value creation.

So, now let me briefly take you through the numbers for the quarter ended June 30, 2025 :
We delivered a good start to the financial year. Total revenue for the quarter grew by 10% year -on-year to Rs. 1,711 crores.
Growth was broad -based across businesses despite pricing pressure in US Generics and API.
Gross margin that is net of material co st improved from 74.8% in Q1 last year to 76.2% in Q1 this year, primarily driven by product mix and we also embarked on cost improvement programs in manufacturing operations that drove the margin uplift.
EBITDA margins before R&D expenses were at 25% of revenue at Rs. 424 crores for the quarter. It grew by about 23% over the last year, reflecting a revenue growth, better gross margins, and improved utilization in some of the facilities that were launched last year.
R&D expenses increased by 26% compared to the previous year to Rs. 145 crores and this is in line with the full year guidance that we gave at the beginning of this year, which is supposed to be around Rs. 600 to Rs. 650 crores in R&D expense.
EBITDA after R&D expense was at Rs. 288 crores, whi ch is 17% of revenue and grew by 20% year -on-year.
Profit before tax grew by 21% to Rs. 191 crores. Net profit growth was at 15% to Rs. 154 crores.
EPS for the quarter stands at Rs. 7.85 per share compared to Rs. 6.84 for the previous year.
Working capit al as of June was broadly similar to what we had in March. We had better collections, which was partially offset by increase in inventory in line with our strategic approach on managing working capital.

Borrowings, the gross debt was at Rs. 1,185 crores, while net debt stands at Rs. 967 crores for the quarter as of June 30th.
With this, I have given a broad overview of the financials and I will now request Shaunak to take you through the India branded business. Over to you, Shauna k.
Shaunak Amin:

Good afternoon, everyone. This quarter on India business , we under delivered with only a 5% year -on-year growth, with reaching Rs. 599 crores in revenue for the quarter.
There are some Speciality areas which have shown some momentum, but in terms of building a more robust, sustainable business to deliver a strong double -digit growth, there have been some challenges which we have tried to tackle, including adjusting some underlying factors as well as having a far more vigorous and robust mechanism of what we build, how we capture in -market inventory also along with that a more vigorous alignment to UC PMP norms that we have to follow as an industry. Apart from these, we also understand that certain execution levels are not up to standard and we are working on those and trying to move people, but getting 7,000 plus people to move overnight does take a challenge, but we are definitely working on it. We have a very clear idea on where the gaps are and w hat we need to do to get back into a double -digit growth number that we have promised for the year. We are working on it on a daily basis and I am sure that very soon we should start s eeing some of these start to flu sh out in terms of our growth numbers.
Animal Healthcare continues to do well because of our robust execution in that area, and we hope to match the rest of the product categories to that level, that standard of growth going forward. Thank you. I will pass it on to Pranav now. Thank you.
Pranav Amin: Thank you, Shaunak.

I am pleased to present the performance of the 1st Quarter of FY '26 for the international business and the API. We began the 1st Quarter on a strong note. It was driven by a 21% increase in the rest of the world generics, reflecting a strategic expansion and execution across the geographies. Despite ongoing pricing pressure in the US, our US business also grew by 13%, supported by volume gains.
We launched four products in the market and we also picked up market share in some other products. We expect the US to continue growing in the next couple of quarters on the back of some interesting launches as well.
The API business was flat. I have said that it has been a little muted due to some issues due to data avail ability in India and was flat at Rs. 261 crores for the quarter.
As we ramp up the utilization of our new manufacturing facilities and continue to drive cost optimization initiatives, we expect to benefit with improved operating leverage, which will help our margins as well.
We filed 2 ANDAs during the quarter. We received 6 approvals and launched 4 products in the US. We expect to launch 4 to 5 more produ cts in Q2 of this year as well.
With that, I will open the floor for Q&A.
Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Mr. Tushar Manu dhan e from Motilal Oswal. Please go ahead, sir.
Tushar Manudhane: Sir, just on domestic formulation while there was an underperformance , but if you could throw some light on specialty segment in particular, while after many quarters we have seen muted performance for this quarter. That was first. And s econdly, in terms of you highlighted rebuilding the team, if you could just elaborate in terms of what exac tly are you trying to do here?

Shaunak Amin: Yes, what I was trying to allude to is that the way we build sales, we are trying to keep it far more strict compared to what the Industry norm is as well as where we used to be in the past. In terms of our primaries versus seconda ries, we also implemented a mechanism to capture secondaries from the market automatically. So, we have a better control on what our inventory levels in market. Some of that also impacted our sales in Q1. But largely, l

ike I said, w e have to focus more on execution.
We are more committed to driving underlying growth through our prescribers and prescriptions for a sales that is more sustainable in the future.
Tushar Manudhane: Is this impacting a particular therapy or this has been ac ross the therapies?
Shaunak Amin: No, this is across the therapies. It's for the whole organization. So, there is no specific therapy which will have it. But like I said, we are quite confident we have full visibility on what's going on. And we are quite confident of where the gaps are and what we need to do to address these.
Tushar Manudhane: And sir, A cute has been better. So, any particular attributes to this?
Shaunak Amin: Acute were coming off, if you know the history, we came off a very high base. And then last year market was extremely low base . So,from a base point of view, there is some advantage there. But again, like I said, a little better execution on the Acute side also, along with some better stability in the market has allowed us to do this.
Tushar Manudhane: Got it, sir. That is it from my side. I will come back in the queue.
Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Stock Services. Please go ahead, ma'am.
Nirali Shah: Yes, thanks for the opportunity. I have two questions. First is on the peptide front. So, now that we have a dedicated block, which is a commission and correct me if I am wrong, we have allocated almost

35% of R&D towards this peptide and complex injectables. I just wanted to know if you could update us on the timeline for the first peptide filing. Also, any update on filing for Semaglutide and R oW markets? And like you had indicated about Tirzepatide, so we are planning for a day 1 launch in US. So, any filings or any progress on that front?
Pranav Amin: We haven't said that we've allocated 35% of R&D to peptides. I think that's no t what we've said ever. But yes , peptides is something that we are looking and pursuing. What I have said is that we were late for the first peptide, which is Semaglutide for the US market. So, we won't be there in the first wave of launch for Semaglutide . Tirzepatide which is the second one, Mounjaro , is something that we are looking at and t he follow on GLP -1s that we are doing. Apart from that, we have other peptides in the system as well that we are working on, which are going into some of the complex injectables.
Nirali Shah: Yes, understood. It's like you mentioned, we are late for Semaglutide , but we were aiming for Ro W markets.
Pranav Amin: Yes, so we are looking at some of the R oW markets for Semaglutide . As I said, we were a little late for the first wave markets. After the second wave markets is something that we will pursue.
Nirali Shah: Any specific, if you can name which R oW segment are you looking at, which market?
Pranav Amin: I would not like to name them right now because I just want to get the filings done and ensure that the regulatory strategy is in place before we give a comment on that.
Nirali Shah: Okay. And my second question is, you had earlier indicated that we do have limited competition injectable launches, which will probably start contributing by FY '27. So, any launch expected in FY '26 and if you can elaborate more on the segments, are they niche segments or any complex dosage forms?

Pranav Amin: Yes, we have a few complex injectable filings that we will get. One approval that we did receive, it's in the public domain, is on the Doxorubicin product. Like that, w e will get a few more as we go along, slowly, slowly, as we keep getting approvals.
Nirali Shah: Okay, understood. Thank you.
Pranav Amin: Thank you.
Moderator: Thank you. The next question is from

the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Yes, hi. Thank you for the opportunity. My question is again on India business. So, Shaunak, you mentioned you are clear about the gaps and you are working towards fulfilling those gaps, etc. So, according to you, how long it will take before you can catch up with the market growth rate first and then may outpace the IPM growth? So, approximately, this will be how many years of effort according to you?
Shaunak Amin: No, what we are talking about is not years. We are talking in mon ths in terms of timeframes.
Damayanti Kerai: So, when do you see your India growth going back to say a market level growth?
Shaunak Amin: I can't give you exact comment, but like I have said, some of these things, India is a big country, executing in the country is challenging. To get to 100% of execution for every district in the country is that we cover. I can't give you exact timeframe, but like I said, it's a matter of months that we start seeing double -digit growth and beating or matching market g rowth.
Damayanti Kerai: Okay, but you're confident about the steps which you might have outlined and which will help you to really pick up from here on?
Shaunak Amin: We have benchmarked couple of the top of 2-3 companies which we feel have set an example of this and a lot of the work we've done is

based on those benchmarks and in terms of companies which we feel are UCMP compliant and have been able to deliver strong growth over the last few years. So, we have be nchmarked those kind of companies and we have worked on operations to ensure that we meet those benchmarks and we can get the people aligned to drive double -digit growth.
Damayanti Kerai: Okay, and on the people part, you don't need to add any more?
Shauna k Amin: No, we don't need to add any more people.
Damayanti Kerai: Okay, so it's basically more execution, more expansion ?
Shaunak Amin: Yes, it's more about better execution, like I said, in every district, in every headquarter we cover in the country.
Damayanti Kerai: Okay, that's helpful. My second question is on international business. So, first on the US, Pranav, just want to understand, you have seen, pickup in the US sales despite price losses which you mentioned due to volume expansion etc. So, a couple of your peers have mentioned that in the US they are seeing channels de -stocking a bit. I think in anticipation of this tariff etc . they were stocking up and now it's getting unwind. So, do you see the similar situation?
Pranav Amin: No, we haven't seen as yet. At least channels stocking or de -stocking, we haven't seen because it's been so uncertain, right? Sometimes you're talking about tariffs and there is no tariffs and there is tariffs. We have not seen that. At least from our buye rs, we haven't seen it so far. Where we saw growth in the US is, as I know, as I said, we launched four products. Apart from that, some of the other older products, where there was some uncertainty in the market is where the buyers came to us and we manage d to pick up accounts at a pricing that worked for us.
Damayanti Kerai: Okay. And going ahead also, while the uncertainty remains on the tariff part, you will be focusin g more on new launches, right, t o see pickup from... ?

Pranav Amin: Yes, exactly. I think . So, on the tariffs, there is nothing you can do about the tariffs. I have a theory that it's going to be tough for pharma, right? Because what's going to happen is the issue is going to be on the high volume, wafer -thin margin products, where you wi ll have an issue with the tariffs. And by putting tariffs there, because of wafer -thin margins, they are not going to be viable to manufacture in the US as well. So, that'

s the catch -22 that's going to come. As for us, we are continuing with what we do, just trying to get whatever products we can, work on better supply chain, work on being a better supply chain partner. And as we get a little more complex and a little more injectable business, that will help a little bit as well .
Damayan ti Kerai: Sure. And some of your peers are again focusing on increasing a bit of manufacturing footprint in the US as a risk management strategy. Any thoughts from your side?
Pranav Amin: No. Okay let's put it this way. Increasing manufacturing footprint i n the US just because of tariffs is something, in my opinion, not something that we are considering. If there was a strategy based on US government business or something that you can get at a better pricing, then we would look at a manufacturing strategy i n the US. But purely for the de -risk perspective, it doesn't make sense to allocate so much capital for setting a manufacturing in the US. And again if there is going to be more generic pricing and competition. So, we are not approaching it from that angle .
Damayanti Kerai: Okay. That's helpful. And my last question is on your API business. So, you mentioned pricing erosion is something which impacted the performance during the quarter. So, it is something specific to your portfolio or it is an industry -wide phenomenon which you are observing?
Pranav Amin: Yes, it's a good question. I think it's an industry -wide phenomenon and it's not the quarter , it's over the last 6-7 quarters. If you see our API business has been quite muted and it's de -grown. Because the API business, our API business over the last decade or so has been a

fantastic business. Very high margin business, very high EBITDA business for us. And so what's happening is, because again, we had a record of compliance, we could get b etter pricing in the market. Now with this data that is getting leaked through Chinese traders, everyone knows what price you're selling it at, to which buyer. And that's really caused a lot of appeal and a lot of uncertainty in terms of our pricing.
Damay anti Kerai: Sorry Pranav , what is this update from Chinese players you mentioned? Can you elaborate a bit?
Pranav Amin: As I mentioned, there is a lot of data that is leaked by Chinese traders who give data about all exports from India. That is what is cau sing this. It's not just pharma, it's every sector they have data from. And that is what is causing this issue in the API business.
Damayanti Kerai: And how do you see this business in coming quarters? Maybe in near term we can see similar trends to continue, but any scope of improvement?
Pranav Amin: Of course , we will continue doing well. See, it's just the pricing that is coming to the issue, right? The pricing is coming in and we may have lost some accounts, but the inherent business and our stre ngth of being a good supply chain partner, development partner that continues, right? So, you'll see it. I think it's in a couple of quarters it'll be tough and then slowly we will start growing again from there.
Damayanti Kerai: Okay, sure. Very helpful c omment. Thank you. I will get back in the queue.
Moderator: Thank you. The next question is from the line of For am Par ekh from Bank of Baroda Capital Market. Please go ahead, sir.
Foram Parekh: Thank you for the opportunity. My first question is on R oW market. We have been doing very well in this region. So, is it possible for the

management to give us a detailed idea? I mean, what's going right in this region?

Pranav Amin: Thank you. Yes, the R oW part of our business has been a good business for us. If you see over the last decade or so, the CAGR has been well over 15%, almost 20% if I am not mistaken. It's been a very good business. It's nothing, no rocket science per se. Just the clarity and strategy in terms of what markets we wanted to go and number two, in execution in terms of supply chain. At the heart of everything, what's worked for us has been the supply chain execution. Some good supply chain execution has led us to good partners who trust us with the products. And we've been able t o supply and grow in these markets with a better margin profile.

Foram Parekh: So, this kind of growth rate, is it sustainable going forward also?

Pranav Amin: If you see Q1 of last year was a little muted quarter for the R oW business. That's why this qua rter, it looks much higher. But having said that, I expect for the full year, we will grow. We will grow close to about 10%-15% at least in the R oW market s.

Foram Parekh: Okay. And my second question is on the raw material cost contribution, which has come quite low in this quarter, which has aided in growth margin. So, going forward, how should we look? I mean, should we look at this contribution as the base or a benchmark and go about it? How should we look at it?

G. Krishnan: See, raw material cost is a combination of product mix and how things happen between API and generics . So it will be anywhere between 25%-30% depending on which quarter you're looking at and how the product mix is going on. And historically, we've been in tha t range. We will continue to be in that range going forward as well.

Foram Parekh: Okay. And lastly, on the ETR, if you can just guide us for full year ETR rate?

G. Krishnan: Current quarter, we are at around 19%. I think we will be in the range of 17 %-18% overall for the full year.

Foram Parekh: Sure. That's helpful. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Sanjay from Renaissance Investment Managers. Please go ahead, sir.

Sanjay: Thank you for the opportunity, I have a question on the US generic business. You know, excluding the oral solids, you've got about 70 ANDAs across Derma, Opthal , and Injectables . For these 70 ANDAs, how m any products have been launched a nd broadly, if you can indicate what would be the contrib ution to your US revenues?

Pranav Amin: The US revenues as a total from all our businesses is about 29% of business. In terms of the products that are launched, Nilesh, can you just, I don't have the data with me, can you just mention?

Sanjay: I am referring to only these, the 70 ANDAs across non -oral solids.

Pranav Amin: Non-oral solids. Okay. Sorry. We don't give a revenue breakup between the non -oral solids and OSDs .

Nilesh Wadhwa : We will get back to you offline. We don't have it handy .

Sanjay: Okay. Could you indicate like how many products have been launched out of these 70 so far?

Nilesh Wadhwa : We can get back to you later on this one.

Sanjay: Okay . Sure. And my second question is, I probably missed the exact number. Can you just indicate you r gross debt and net debt?

G. Krishnan: Gross debt was at Rs. 1,185 crores as of June and net debt was at Rs. 967 crores.

Sanjay: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of S aion Mukherjee from Nomura Securities. Please go ahead.

Saion Mukherjee: Hi. Thanks for taking my question and good afternoon. Pranav, you mentioned about the tariff and its impact. I mean, it looks it's inevitable. I am just wondering, let's say if you have a 10% tariff tomorrow or 20% or even higher, how do you think the industry would be reacting? And I am wondering for Alembic, given your size of around $250 odd million with a wide basket of products, how in that scenario, do you think Alembic will be impacted? If you can just, you know, take me through your thoughts ?
Pranav Amin: There

is too many variables there. And it's very tough to say. We have to be very clear. As I said, you have to have clarity of thought what we want to do as a company. As I said earlier to the last comment abou t the tariffs earlier, that manufacturing in the US, for me, right now, it's not making sense. I don't see it. Because I don't want to do a large capital allocation for setting up a manufacturing in the US for the generic business, which we are already seeing pricing pressure. It really depends on what kind of tariffs come and what kind of pass -through you can do. Now, the pass -through that will go to the end consumer, it's not up to me, I would like to pass on everything. It really depends on what the comp etition also does. If everybody else says that, no, we will work on wafer thin margins, or we will reduce some margins, we want to supply to losses, then the business would get dumped. Then the business would, of course, be unviable. As far as we are concerned, we are cognizant of our bottom -line and i f we feel that it doesn't make sense to manufacture for the US, then we will walk a way from some of the businesses i f need be.
Saion Mukherjee: And currently, how would you think about your profitability, let's say pre or post R&D at the scale that you're operating?
Pranav Amin: So, our profitability right now across the R oW and the US is pretty good at a pre R&D level, of course, is a higher R&D allocation for the US market. So, at a pre R&D level, we hav e very healthy margins. At a post R&D level also, the US has a decent margin. The only thing that drags down the margins for the US to operate with the facility is the facilities

which are not fully utilized. So, as we go along, as we have more utilization from these facilities, that will aid the margins as well. But at a gross margin and at a net level, even after R&D, margins are pretty good for all the businesses.
Saion Mukherjee: And sir, there is no discussion on tariff with the trade and channel yet, is it? I mean, is the industry discussing any feedback you're getting?
Pranav Amin: Nothing. I think it will come down to who can negotiate or what kind of deals you can do. But as I said, if everybody else decides to take the brunt of the tariff hike, th en the trade is not going to accept one company going. So, it's a lot of conversations, but I think everyone's still varying. It's a lot of variables here right now.
Saion Mukherjee: Okay. Thank you. And all the best.
Moderator: Thank you. The next question is from the line of Mr. Tushar from Motilal Oswa l. Please go ahead, sir.
Tushar: Thanks. Sir, just on the US generic side whe re the launches have helped us track $60 million -$62 million dollars per quarter. But how do you think about this given th at, you have a good pace of launches in the coming quarters as well?
Pranav Amin: So, ye s. I think for the US business, the Q uarter 1 was a good quarter. Moving forward, Q2 also is going to be an interesting quarter. Q2, Q3 and Q4. And I expect to grow by at least 10% in the US business and all across in every quarter at least. We have a few interesting launches that are going to happen in the second quarte r as well. One just got launched. It's a big product Entresto. There is a fair bit of generic competition, but I think we should do okay on that product. And the US this year should have a good growth.

Tushar: So, specifically for Entresto, as I understand , the API, we don't have
API in -house and many other players have...
Pranav Amin: No. We have in -house API.

Tushar: Okay. Thank you. So, any price erosi on we have seen in this product inhouse ? If you could share some?
Pranav Amin: Entresto?
Tushar: Yes.
Pranav Amin: So, there is price ero

sion, of course, because it was an innovative product and generics have gotten --the launch just happened a couple of weeks back. But ye s, there is a fair bit of price erosion. But it's still a decent market. Let's see over the next few weeks, how it shapes up with more entrants come in and they try picking a business.
Tushar: Got it. Thanks for this.
Moderator: Thank you. The next question is from the line of Gagan T hareja from ASK Investment Managers. Please go ahead.
Gagan Thareja: Yes, good evening. So, the f irst question is pertaining to the tariffs. First of all, there is some, at least in my mind, there is some confusion as to whether the 25% duties tariffs that were announced, do they exempt pharmaceuticals? In your assessment, do they exempt pharmaceuticals?
Pranav Amin: Yes, as what we have seen. Currently , it seems that pharmaceuticals is exempted.
Gagan Tha reja: And therefore, are you saying that, it's only through Section -232 that subsequently tariffs will be announced?
Pranav Amin: Exactly.
Gagan Thareja: Okay. Because the second one is, under the HTS classification for tariffs, the determination of the country of origin, is dependent upon where the substantial transformation of the product happens. So, if the API, comes from China, or if you have a multi -API product where significant share is coming from China and some is coming from India,

does it mean that the tariffs on the product will depend upon the source of API? And therefore, again, some degree of complexity there?
Pranav Amin: I don't think so, because if that was there right now in the US. See, so anyway, right now, in terms of genetics, there is just not enough capacity, forget in the US, all over the world, to deal with the formulation generic volumes. Now, if you put the API into it, then where are you going to get the product from? API, there is almost nothing, no API manufacturing, generic API manufacturing facilities in the US, it's a dime a dozen. I mean, hardly you can count them on your fingers. So, I don't believe that API will come. If that comes, that'll be, it'll be catastrophic.
Gagan Thareja: No, my point is, while that itself is a question by itself, my question is that, let's say you have a product, manufactured by an Indian company which s ources its API from China, okay. Under the tariff, HTS tariff code, the tariff is determined by the country where the substantial transformation of the product has happened. In which case, if the API is sourced from China, or the final formulation, it woul d be a reasonable inference that substantial transformation has happened in China, and therefore, the formulation tariffs applicable to China are applicable on the product, or is it the formulation tariffs applicable to India which are applicable on the pr oduct?
Pranav Amin: From India only, not China.
Gagan Thareja: Okay, all right. In terms of you r US business, can you perhaps give some idea as to how do you see the full year panning out this year, especially given in context of the number of approvals you had and as they scale up going ahead?
Pranav Amin: Yes, I expect the US business to grow for the full year anywhere

between 10 % to 15 %. We have a whole, We've launched about four products from the US in Q1, and the rest of the year we will launch another 10 to 15 products. We should have a fair bit of launches in the US market and we will pick up some share, we believe. So, I believe

about 10 % to 15% is what I'd expect for the US business to grow this year.

Gagan Thareja: Okay, and how should we think of the India business? I mean, the 1st Quarter you indicated, was a bit subpar and you had some constraints around the U PCMP . Is the whole year going to be a bit impacted by these chang

es or you think recovery is in the works in the next quarter or two?

Shaunak Amin: No, it's, like I said, it's a part of the process. It's not a year -long thing, it's not a yearly thing. Like I said, it's a matter of months because we are working on it SOS to resolve it , like I said, our time frames are in a matter of month s, not in the years.

Gagan Thareja: Finally, sir, can you give the g ross debt numbers and also how you see the debt sort of panning out through the year and at roughly what numbers you could close the year?

Krishnan : So, you meant on gross debt? So, gross debt was at Rs. 1,185 crores, I mentioned earlier. Net debt was at Rs. 967 crores. So, this is still close to what we had at the end of March in terms of the gross debt. So, we see that of course, the debt movement wi ll depend on how the working capital ranges during the quarter. So, we will be mindful of what we need to borrow going forward.

Gagan Thareja: But is it reasonable to presume that going ahead, the debt can reduce and reduce substantially in the year?

G. Kr ishnan: Maybe we discuss that in the next quarter. We will see how the trajectory of business growth is and what is the need for investing in working capital in the next few quarters, considering the dynamics in the US market specifically. So, we need to w ait and watch. I will hold my comment on how the net debt will move, whether there is going to be a drastic reduction or not, we will get to see in the next couple of quarters.

Gagan Thareja: Okay, thank you. I will get back in the queue. Thanks for taking the questions.

Moderator: Thank you. The next question is from the line of the Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hi, thank you for the opportunity again. Pranav, you mentioned in some of the plans, utilization is right now very low. So, at the network level, at what utilization your US plants are operating at? And how do you see this moving?

Pranav Amin: We don't give plant -wise utilization, but just to give you a flavor, the formulation plant F1, which is our largest plant, that's at practical peak capacity. So, at a practical capacity, running at full capacity. The API plants are running pretty full as w ell. It's the injectable , Derm and the Onco and the new OSD facility, which is actually the new OSD facility is ramping up now and that's at a decent capacity utilization. It's just the injectable and the Onco and the D erm facility, which are a little lowe r in terms of capacity utilization.

Damayanti Kerai: Okay. And then my second question is, during the quarter, your depreciation expense moved up notably. So, is this the new base to look for?

G. Krishnan: So, in Q1 of this year, we commissioned our indoor plant, the new manufacturing facility for blended business and that has added to the depreciation of cost.

Damayanti Kerai: Okay. So, current quarter represents the new base to look for the depreciation.

G. Krishnan: More or less. That is right. But we also guided for a CAPEX of about Rs. 400 crores at the beginning of the year. So, you may have to, of course, it will not happen all in one quarter. So, as and when it gets capitalized, that will also flow through into the depreciation.

Damayanti Kerai: Okay . Can you remind us where is this new, sorry, where is this CAPEX getting deployed?

G. Krishnan: So, like we said in the last quarter call as well, most of the projects have got completed in terms of capacity augmentation. This CAPEX is going to be more towards maintenance , replacement and debottleneck s wherever it requires .

Damayanti Kerai: So, majorly for maintenance and maybe very little towards the expansion or any upgrade part ?

G. Krishnan: Yes. That's right.

Damayanti Kerai: Okay. That's hel

pful. Thank you.

Moderator: Thank you. With this, that was the last question for this session. I would now like to hand over the conference over to Mr. G Krishnan for closing comments.

G. Krishnan: So, thank you for all the questions. I hope you got clarity on o ur performance relating to Quarter 1. And in case there are further follow up questions, please do reach out to the team. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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Date: 11th November, 2025

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 4th November, 2025
Ref: Our Intimation dated 27th October, 2025
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 4th November, 2025.
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited
Q2 FY '26 Earnings Conference Call"
November 04, 2025

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M R. G. KRISHNAN – CHIEF FINANCIAL OFFICER
M R. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT - FINANCE

Moderator: Ladies and gentlemen, good day and welcome to Q2 and FY '26 Earning Conference Call of Alembic Pharmaceuticals Limited. We have with us today Mr. Pranav Amin, Managing Director, Mr. Shaunak Amin, Managing Director, Mr. R.K. Baheti, Executive Director, Mr. G. Krishnan, Chief Financial Officer, Mr. Ajay Kumar

Desai, Senior VP, Finance.
As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Krishnan for his opening remarks. Thank you and over to you Mr. Krishnan.
G. Krishnan: Thank you and good evening everyone and thank you for joining the second quarter results conference call. Let me briefly take you through the numbers for the quarter before handing it over to Shaunak.
So, moving on, we continued the good start for the year into the second quarter. Revenue for the second quarter grew at 16% year-on-year to INR1,910 crores. Growth was across the business, driven by higher volumes and new product launches and expansion in ex-US markets, despite continued pricing pressure in US Generics and API.
Gross margin was at 73% for the quarter, remaining almost flat compared to the previous year.
EBITDA before R&D expenses were at INR 503 crores for the quarter, representing 26% of EBITDA margin compared to the 23% of previous year, reflecting better operating leverage, resulting in year-on-year EBITDA growth of 32%.

R&D expenses increased by 41% year-on-year to INR 187 crores for the quarter. These figures are in line with the guidance that we had given for the full year of about INR600-650 crores earlier.
During the quarter we also completed the acquisition of Utility Therapeutics, marking our entry into the US branded drugs market with Pivya, a product targeted for urinary tract infections and granting marketing exclusivity in the US. The transaction includes an upfront payment of about $4 million, milestone payments of $4 million each linked to the US launch of Pivya achievement of specified revenue milestones along with a profit sharing arrangements with the sellers.
The net working capital stood at INR2,921 crores compared to INR2,734 crores as of March 25 and this increase is a factor of increased operating intensity driven by new launches and the new facilities that we opened in the last few years and volume driven growth.
Net debt as of 30th September was INR1,280 crores compared to INR 967 crores in June '25. The increase in net debt was a reflection of borrowing, to fund working capital and the acquisition of Utility Therapeutics and correspondingly the interest cost increased from INR 71 crores to INR 76 crores for the quarter.
We expect the net debt levels excluding Pivya launch to gradually reduce in FY '27 considering the successful launch of new products and growth from new facilities in our core business.
The profit before tax for the quarter before exceptional items grew by 34% year-on-year to INR225 crores.
Profit after tax but before exceptional items grew by about 30% year-on-year to INR185 crores.

Adjusted for the exceptional item pertaining to insurance claims received in the previous financial year that is in the quarter 2 of FY '25, the profit after tax growth was at 20%.

Moving to the half yearly results,
Revenue grew at 13% year-on-year to INR 3,621 crores reflecting growth across businesses.
EBITDA before R&D spent for the period was at INR 927 crores resulting in EBITDA margin of

26% and year-on-year growth of
28% again reflecting the EBITDA growth is a reflection of strong revenue growth and improved capacity utilization across facilities.
EBITDA post R&D expenses was at INR 613 crores which is about 17% of revenue.
Profit before exceptional items for first half grew by about 22% to INR339 crores and profit after tax adjusted for the insurance claim I just mentioned was at about 18%.
With this, I have given a broad overview of the financials for the quarter and for the first half and I now request Shaunak to take you through the India Branded Business.
Shaunak Amin: Thank you Krishnan.
For the India Branded Business, we delivered revenue of INR639 crores for the quarter with a 5% year-on-year growth. Within this Gynecology, Ophthalmology, Animal Health have demonstrated an accelerated performance
The Cough & Cold segments grew in line with markets with robust operational execution.
We introduced 2 new products in this quarter.

With the implementation of GST 2.0 to ensure benefits of lower GST rate get passed on to the end users. The billing was paused for a few days to facilitate this migration of the channel to the new GST regime. This led to a compression of the billing cycle especially in the East Zone due to festive seasons resulting in a marginal impact on growth of the quarter for India Business.
I will hand over the discussions to Pranav for his presentation on International Business.
Pranav Amin: Thank you, Shaunak. I am happy to present the Q2 performance for the International Business.
Our Q2 performance reflects the continued momentum as we strengthen our presence across key markets and achieving growth in both formulations and API.
The performance was driven by a 31% growth in the rest of the world markets which reflects our strategic geographic expansion and focused execution. Despite continuing pricing challenges, our US business grew 21% supported by higher volumes whereas the API business grew by 15%. We continue to maintain sharp focus on profitability and operational excellence.
We filed 2 ANDAs during the quarter and cumulative ANDA files were at 269.
We also received 6 approvals and 1 tentative approval.
We launched 3 products in the US.
We cumulatively have 226 ANDA approvals including 21 tentative approvals and we expect to launch 4-5 products in Q3 and another 4-5 in Q4 of this year.
Our R&D investment this quarter at around 10% of revenue reflects our commitment to building a strong pipeline for future

growth. We continue to focus on complex and high value areas such as injectable, peptides, oral solids and drug discovery with an emphasis on early entry opportunities like First to File, Day 1 and NCE-1 launches.

Our annual R&D guidance was given at INR600 crores to 650 crores at the start of the year. We continue to have the same number in mind. We will invest towards marketing and approval in the product launch of Pivya which will mark our foray into the branded segment in the US market.

We expect to start this late Q4 of FY '26. Pivya would target the stable 30 million prescriptions in urinary tract infections which has had little product introduction for more than a decade. This will have an impact on near-term profitability but we are confident of the medium to long-term market opportunity that the product will help us capture.

With this I throw the floor open for Q&A.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Damayanti Kerai from HSBC Bank. Please go ahead.

Damayanti Kerai: Hi, thank you for the opportunity. My first question is I just want to understand the R&D bumper better. So Pranav if you can help us understand although you are maint

aining the guidance but where the majority of spend went during the quarter that led to sharp increase in the R&D? Which segments of product categories if you can elaborate?

Pranav Amin: Yes. If you see on H1 basis if I am saying a guidance of INR600 crores to INR650 crores then on H1 basis we are within the amount that we had said. We are not too far off. Quarter wise we are 10% but I think at the end of the year we will be around 8% kind of levels.

In terms of where it went, predominantly most of it is on the formulation development, a lot of it being on the injectables and complex injectables also which as we gradually increase our injectables and complex injectable filing that is also kicking in for us.

Damayanti Kerai: So is semaglutide or any other peptide also part of this expense?

Pranav Amin: We have set up a peptide lab and we do have bunch of products and GLP-1 under development. Semaglutide being one of them. Having said that, we are not there in the first phase of launch for semaglutide in the Canadian market and even in the US market. However, we are working on Mounjaro Tirzepatide and we believe we will be in the first phase of that in many of the markets.

Damayanti Kerai: Okay. My second question is on your branded foray in the US market. So you mentioned some investment will go towards that portfolio. So very broadly how much or what kind of investment are planned for that category?

Pranav Amin: This is a little bit more of a mid to long term play, because as we build out a field force, It will be like an umbrella shape in terms of the revenue that will be generated. So initially, we will have a field force which will be promoting the product and it will take a couple of quarters for it to ramp up.

So for couple of quarters we may have a little bit of a profitability hit because of this. But as we go along, as I said, it's like an umbrella curve and you will see a significant ramp up as we start generating prescriptions.

Damayanti Kerai: Okay. That's helpful. And my last question is if you can comment on what has led to very strong growth in ROW market and API. Specifically API, I understand demand had been muted for, I guess, not only you, but across the market for last couple of

quarters. But I think your performance is very exceptional. So if you can help us understanding that.
Pranav Amin: Good question. Thanks, Damayanti. So two things. One is the ROW generics. For us, that is part of the business. If you see over the last 7 to 10 years, we have grown by a CAGR of almost 20%. So that has been a very good growth market for us. This year also we will end up growing by about 15% to 20%.
This quarter, 30% growth is a little exceptional because last year H1 had a low base compared to H2. H2 has a much higher base last year because last year during H1 we had some supply difficulties. We will grow in H2 as well, but it won't be as high. But at the year end, we will be about 15% to 20% in ROW generics.
As regards API, yes, it is still not as rosy. If you see the last 8 quarters even we have had, we have been sluggish in terms of growth for API. And just at a lower base, this quarter we ended up having some more development quantities in some areas. API is still challenging. I think for the year we will grow at about 10%, but yes this was a good quarter. It was an exceptional quarter.
Damayanti Kerai: Okay. Fully around 10% growth. It's something more visual.
Management: Yes.
Damayanti Kerai: That's helpful. Yes. Thank you for your response.
Moderator: Thank you. Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Service. Please go ahead.
Tushar Manudhane: Yes. Thanks for the opportunity. So again, on this utility therapeutics, if you could sort of elaborate in te

rms of number of MRs or field force you want to set up. And in addition to this, what kind of portfolio you intend to build up? Is that going to restrict

only to urinary tract infections? If you could throw some light in terms of these aspects?
Pranav Amin: Yes. So what we will do with definitely is we will gradually ramp up the field force. We will start with some of the high prescription areas. This is in women's health. So we will target the women's health area. We will start with a smaller field force to initially see how the ramp up happens.
We'll go with high prescribing doctors and we've already identified the territories. We will start with that field force. And as we move along, as we start generating sales, we will increase the field force to go for more doctors as well. In this same area, we will look at in licensing and more products as well.
But first, we want to stabilize this product, Pivya, get the sales going off the ground, but actively we're scouting around for other opportunities as well. I believe this can be a good de-risk from the generic business and the pricing challenges that we have in the generic business. And we can build a good franchise in women's health. And that's something that we're going to aim to do.
Tushar Manudhane: At least, sir, let us say, for the next 12 to 18 months or 12 to 24 months, how much sort of an additional operational cost one would factor before we start seeing meaningful traction in the revenue?
Pranav Amin: It will take couple of quarters at least. If we start end of this year, Q1 FY27 will be the first full quarter of launch as per the schedule that we have currently as per our plans. So it will take a couple of quarters at least to get it going. And then the revenue will ramp up. As I mentioned to Damayanti, it'll be a little bit like an umbrella curve, J-curve. We'll go up much faster as we start generating prescriptions.

Tushar Manudhane: Got you. So considering this aspect and subsequently reasonably good traction in, say, non-US as well as US market and API, any guidance you would like to give for FY26 or second half of FY26 EBITDA margin?
Pranav Amin: For EBITDA margin, the only guidance I have given in the past and I continue to stay by that. If you see fundamentally what will happen over the next couple of years, we will see an improvement in EBITDA margin moving forward. So it could be the quarter-on-quarter, you may see a variation. Next year, next-to-next year, we would like to go to the 18%, 19% kind of levels. In the next couple of years, get to a 20% EBITDA level
And that will happen with growth across all the sectors. I think with India business, we'll come back to growth, animal healthcare is already doing well. Gynecology, ophthalmology are doing well. And once the main business also starts getting back on growth, the other aspect is the US growing.
We have some facilities like the injectable and the onco facilities which are not as fully utilized as of now. As that utilization goes up, that will help push up their margins as well. So I'm pretty confident that in the next couple of years, we will bump up towards the 20% kind of levels.
Tushar Manudhane: Okay, well, thank you.
Moderator: Thank you, sir. Our next question comes from the line of Bharat Celly from Equirius Securities Private Limited. Please go ahead.
Bharat Celly: Hi, thanks for the opportunity. Sir just wanted to understand on the US specialty side, so what sort of investments or levels we are looking to earmark towards this business? What sort of losses we can see maximum when we get into this business?

Pranav Amin: So Bharat, what will happen is these will be all in terms of upfront costs. As you know, we've acq

uired this for milestones, we've got a few milestones, total milestones will be 12 million paid over a period of time. And the operational cost is just the onboarding of the field force. That's what's going to be operational cost.
So we're going to try minimizing that, as I said that earlier, to Tushar that we will gradually start the ramp up of the field force. And as we start getting some momentum, then we will build up the field force a little more. Let's wait till Q1FY27 to see how the ramp up starts. And we'll get a much better idea as we move along.
Bharat Celly: Surely, and what gives us confidence that it can be a successful product, because we have seen multiple companies getting into specialty side and then rolling it back later on? So what gives us confidence over here?
Pranav Amin: Yes, what gives us confidence is in this segment, in women's health and UTI infection, there haven't been too many new molecules that have come out. This is a tried and tested product which has been launched in Europe and it's been there and commercialized in Europe for many years. So it's tried and tested. Number two, it works well in women who are pregnant. I think it's quite a safe alternative. So that gives an additional bonus.
And since there haven't been too many new introductions, we believe there's a niche that we can go to. We've done some surveys with doctors in the U.S. and we believe that there is an opportunity. In fact, once some of the medical professionals have heard about this, they have already started approaching us as to when we're launching the product.

So that gives us some excitement. I believe it will be an interesting area as the first foreign to branded segment in the U.S. And as we move along, we'd like to add more products to this as well.
Bharat Celly: Okay. And last one, what sort of losses we will have from the new injectable plant which we have commercialized over the last two and a half years?
Pranav Amin: We don't have losses per se. We do have unabsorbed overheads. And as we go along, the first half of this year, we've already seen a much better utilization of these facilities, which has also led to the margins going up.
And as we move along with the launches that we have in the pipeline for H2 and FY27, this will further impact on the top line, which will continue growing in the U.S. and the rest of the world markets, as well as the margin improvement.
Bharat Celly: Surely. And since we are investing into the new specialty side, there could be some margin pressure for at least FY26, FY27, right?
Pranav Amin: Let's see. as I said, Q1 and Q2 is where we feel it. I believe Q3, Q4 onwards, it will start getting normalized.
Bharat Celly: Any budgeted amount which you would have thought of to invest in the first quarters?
Pranav Amin: No, we haven't disclosed that. We haven't gone into those numbers yet.
Bharat Celly: Thanks a lot. I will get back to you.
Moderator: Thank you, sir. Our next question comes from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Hi, good afternoon. Just a follow-up question on ROW markets. Are these mostly Europe, most of the sales coming from Europe?
Pranav Amin: Europe is a big market for us. Our ROW business is broadly centered around 4-5 territories, which is Europe, Canada, Australia, Chile, South Africa and Brazil.
Bino Pathiparampil: Okay. Of which Europe, Canada, Australia, I mean, the regulated markets would be roughly what? Half or 70%?
Pranav Amin: 85%.
Bino Pathiparampil: 85% is regulated. Thank you. Thank you very much.
Moderator: Thank you, sir. Our next question comes from the line of Yash Singhee from Renaissance Investment Managers. Please go ahead.
Yash Singhee: Yes. Just a couple of questions. Firstl

y, on the Indian business, I wanted to understand how is the Azithral sales trending? As in, if that is still trending downwards and the rest of the pickup is mostly due to animal health?
Shaunak Amin: Sorry, could you repeat the question? I couldn't hear.
Yash Singhee: Just to understand how are the Azithral sales trending? So just to understand the way going in future, is it animal health and Gynec, which is picking up and Azithral still being kind of a driver for the growth?
Shaunak Amin: Yes. For Azithral, the base is stabilizing and we're starting to see upward movement of Azithral going forward at this point. Animal health continues to outperform. Gynec also will continue to outperform.

Yash Singhee: We can expect better than IPM growth as Azithral starts trending upwards with that.
Shaunak Amin: Hopefully, yes.
Yash Singhee: And on the US business, just trying to understand, despite a good US growth in this quarter, there's a Q-o-Q softness in gross margins. So anything that you can update on that?
Pranav Amin: In terms of gross margins, we've always guided there will be 70% plus gross margins. Q on Q would be just a matter of either product mix or something or the other. So At the end of the year, I believe the gross margins will be at the same similar levels that we've been guiding.
Yash Singhee: What range would you see?
G. Krishnan: It will be in the similar range of 70% to 75% that we've been guiding in the past.
Yash Singhee: Understood. Thank you. Thank you.
Moderator: Thank you, sir. Our next question comes from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.
Rahul Jeewani: Yes. Thank you, sir, for taking my question. So this 5% growth, which we saw in the India business during the quarter, you indicated that there were GST disruptions as well in terms of your booking of sales during the quarter. So can you quantify the impact which GST would have had in terms of domestic business growth for 2Q?
G. Krishnan: So as far as GST disruptions were concerned, we did pause the billing for a few days in the month. And we expected the orders to come back. I think that flow into October and we are yet to see how the October trajectory is looking like.

But what we got to believe is that the demand that switched over from September to October is something that should partially build the growth for Q3. But there will be definitely some extent of primary sales that would not have come back.
So, it's not straightforward to calculate what is the impact on the growth. But one factual aspect is that in terms of the festival related impact, last year, we had that in October, but this year, we had that in September. So that would have an impact, especially for the Eastern zone. But we'll have to wait and see how the October numbers pick up and how the primary versus secondary stack up. And we hope that the impact is not significant.
Rahul Jeewani: Sure, sir. So generally on the domestic business performance, while we have been outperforming market growth in, let's say, therapies like Gynec,Opthal and animal health, over the past couple of years, we seem to have underperformed IPM growth. So when do you expect the domestic business growth to first catch up with IPM, and then potentially start outperforming the market growth as well?
Shaunak Amin: Yes, we've maintained that in the past, there was a base effect post COVID for large part of our acute business. Going forward, we should be able to catch up with. Our represented market growth will actually start catching up with market growth soon. And when that happens, our internal growth also will start matching the market growth, which for the last few years, our represented market for acute business was underperforming compared to the overall

market growth.
Rahul Jeewani: Sure, sir. And any plans of adding on to the team in the India business?
Shaunak Amin: As of now, no plans.

Rahul Jeewani: Okay, sure. So and just one question I had with respect to the US business and capital allocation. So Pranav, we had, so we had, let's say controlled our R&D spends over the past two year period, where our R&D spends had moderated from 12%-13% to an 8% kind of a number.
Now this quarter, obviously, we saw an increase in R&D spend, but you have maintained your guidance for full year. But let's say from a two to three year perspective, what kind of an R&D spend are you budgeting in?
And when do we actually start seeing some better productivity on this R&D? Because at least in terms of the new launches for the US business, we haven't seen, let's say limited competition approval still coming in for us. Yes.
Pranav Amin: It's a good question, Rahul. To be honest, I don't think we will ever go back to the 12%-13%-14% kind of R&D spends that we were doing when margins and the returns in the US are much higher than what they are right now. So we will not go to those levels. I believe we will still be at that 8% kind of levels for R&D spend.
One of the reasons in the bump up is Q1 was a little lower. And it's just some, as we're filing injectables and some more peptides, you're seeing a little heavier kind of R&D spend that we're incurring. But I still believe, the guidance for the year will be at the INR600 crores-INR650 crores level. We won't exceed that. And moving forward also, we'll be at 8% level.
Rahul Jeewani: Sure, sir. And when do you start seeing some of these, let's say, differentiated and complex product approvals coming through for us as far as injectables and peptides are concerned?
Pranav Amin: Yes, so we have some peptides. We've got one peptide, which we've got approval for, but the GLP ones, there's still time for that.

We've done batches of tirzepatide, the Mounjaro right now, which has caused a little bit of a bump up in the R&D costs for this quarter.
And apart from that, some of the complex injectables, we will see some approvals coming up in the next couple of months, hopefully, that will be a little more meaningful. It won't be as big as some of the others, but it will be a little more meaningful with a little more limited competition.
Rahul Jeewani: Sure, sir. I will join back the queue. Thank you.
Moderator: Thank you, sir. Our next question comes from the line of Maulik Varia from B&K Securities. Please go ahead.
Maulik Varia: Hi, sir. Thank you for the opportunity. I hope I am audible. So a few questions from my end. I just wanted to understand, I think in the last quarter, we talked about certain hiccups due to the UCPMP implementation across the domestic geography. Can you provide some update on that, if that's completed, or is it still impacting the business?
Shaunak Amin: I'm not able to recollect what you're mentioning about the UCPMP on the India business.
G. Krishnan: I'm not sure, Maulik, we commented on that, on the impact. So I think we, in fact, have been following the policy quite ahead of time. So we don't see any challenges on that front.
Maulik Varia: And also, we launched generic interest too, I think in the later end of the first quarter. So how has that been picked up?
Pranav Amin: That's been picked up. Well, there was a lot of competition on that product, and pricing was much lower than what I would have liked or would have expected. Having said that, we have picked up a few meaningful accounts. We have a decent share on that.

Maulik Varia: Okay, so we commented that the growth in the second quarter was due to volume

s. So, would Entresto be a significant contributor to that?
Pranav Amin: Yes. Entresto would be.
Maulik Varia: Okay. Okay. And sir, although, I mean, in other expenses, apart from R&D expenses being high, we've seen other expenses reduced for the quarter on a year-on-year comparison. So what all aspects have been under control or maybe we've cut down on that?
G. Krishnan: See, the other expenses are predominantly fixed costs. While the year-on-year cost has increased, the growth is below the revenue growth, which is leading to a bit of operating leverage impact and that ties back to the improvement in capacity utilization that we have seen across business. So we should see it in that front. And it also going back to the point which Pranav mentioned, that as we see improvement in capacity utilization, we should see the margin expansion coming through, subject to the price impact. So it's more of a controlled fixed cost increase that we're seeing improve the margins.
Maulik Varia: Okay. Okay. And sorry, I would have missed it, but can you please repeat how much was the plant utilization for the new plant?
G. Krishnan: So we don't go at plant-level utilization and I don't see that as a necessity for doing financial model at a plant level.
Maulik Varia: Okay. Okay. Any broad-level color on the utilization number on a consolidated basis?
Pranav Amin: See, broad-level, the OSD plants are all running at optimal capacity utilization. F-4 has got a little bit of headroom for future expansion. API is all running at optimal capacity. It's just the three

new plants which are a little lower than – that too, in that certain lines are higher, certain lines are lower.
It's the injectable onco plants which are running a little lower than what we've anticipated. But you'll see, we've got a lot of back-ended products and launches that will come from these plants anyway, and I think, you'll see an impact of that in H2 itself.
Maulik Varia: Okay. So once the product approvals start coming in, we will see improvement in the utilization.
Pranav Amin: Yes. Exactly.
Moderator: Our next question comes from the line of Rashmee Shetty from Dolat Capital.
Rashmee Shetty: Yes. Just trying to understand more on the US business. When you mentioned that this quarter we have benefited from the volume, is it something that only new launches and the existing products have been benefited or we have also benefited from any one-off opportunity like we did in our earlier quarters?
Pranav Amin: Just the new launches, as was earlier mentioned, Entresto was a new launch. Apart from that, we had about three, four other launches that we did, and gradual ramp-up in some of the other products that we are supplying. But we haven't seen any shortages of one-time buy opportunities that we used to see earlier. The market is quite well supplied and there's a fair bit of erosion, so we're not seeing as many short-term supply-side opportunities.
Rashmee Shetty: Okay. So this number, what we have done in quarter two, do you feel that this is more sustainable in the subsequent quarters also?
Pranav Amin: Yes. Unless there's more erosion in some of the larger launches like Entresto. While we've already seen some erosion in Entresto

since we launched, but I believe that with the new launches, if we keep ramping up, we should be okay.
Rashmee Shetty: Okay. And on the India business, whatever explanation you have given, based on that, is it safe to assume that for this year, we will be underperforming the market growth?
Shaunak Amin: No. I think that's still half the year left.
G. Krishnan: We mentioned that, you know, we're looking at improved productivity that we are working through across the field force. So that should bring back more closer towards the market. I

think the full impact of that will be seen from next financial year.
Rashmee Shetty: Okay.
G. Krishnan: But I would like to, actually, you know, if you look at the, from purely from a modeling perspective, if you look at the growth for the second half of the financial year, you should consider the fact that the last year's second half was a higher base. We expect growth to continue in the second half of the year, you need to factor the higher base of the last year, when you do the projection.
Rashmee Shetty: Okay. Got it, sir. Thank you. That's it from my side.
Moderator: Thank you, ma'am. As there are no further questions from the participants, I now hand the conference over to Mr. G. Krishnan for the closing comments. Thank you and over to you, sir.
G. Krishnan: Thank you for joining the call. In case you've got any follow-up questions, please feel free to reach out to Ajay Desai and the IR team for any further follow-up questions. Thank you so much.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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Date: 11th February, 2026

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
‘Exchange Plaza’, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,
Sub: Transcript of Post Results Conference Call held on 5th February, 2026
Ref: Our Intimation dated 21st January, 2026
With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 5th February, 2026.
We request you to kindly take the same on record.
Thanking you,
Yours faithfully,
For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

“Alembic Pharmaceuticals Limited
Q3 FY '26 Earnings Conference Call”
February 05, 2026

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
M R. SHAUNAK AMIN – MANAGING DIRECTOR
M R. R.K. BAHETI – EXECUTIVE DIRECTOR
M R. G. KRISHNAN – CHIEF FINANCIAL OFFICER
M R. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT - FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '26 Earnings Conference Call of Alembic Pharmaceuticals Limited.
We have with us today, Mr. Pranav Amin, Managing Director; Mr. Shaunak Amin, Managing Director; Mr. R.K. Baheti, Executive

Director; Mr. G. Krishnan, CFO; Mr. Ajay Kumar Desai, Senior VP, Finance.

As a reminder, this conference call is for analysts, institutional investors. All participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. G. Krishnan. Thank you, and over to you, sir.

G. Krishnan: Thank you. Good evening, everyone. Thank you for joining the conference call to discuss the financial results for third quarter and 9 months ended December 2025. Let me briefly take you through the numbers for the period before handing it over to Shaunak.

So moving on, we continued the momentum that we had in the first half of the financial year into the third quarter. Revenue for the quarter grew by 11% year-over-year to INR 1,876 crores. The quarter saw broad-based growth driven by volume expansion, new product launches and increased traction in ex-U.S. markets, offset in part by pricing pressure in U.S. generics and API.

Gross margin was at 72% for the quarter compared to 74% in the previous year. The moderation was primarily driven by change in product mix and pricing challenges, partially offset by cost

improvement programs that we have in our International Business.

Pricing pressure in international generics, particularly in the U.S. and API business has persisted during the quarter. These headwinds were mitigated by sustained cost efficiency programs, helping us remain competitive in the market. As communicated earlier, our gross margin remained in the operating range of 70% to 75%. So hence, the gross margin of 72% for the quarter is something that we are comfortable with.

EBITDA before R&D expenses and exceptional items stood at INR464 crores for the quarter, representing 25% of revenue compared to 23% in the previous year, again, reflecting an improved operating leverage and prudent management of discretionary spending during the quarter, and hence the year-on-year EBITDA growth was at about 20%.

R&D expenses increased by 33% year-over-year to INR 165 crores for the quarter, and this is in line with the full year guidance of INR 600 crores to INR 650 crores that we had provided earlier.

Profit before tax for the quarter, but before exceptional items grew by 15% year-on-year to INR 205 crores, again, reflecting underlying revenue growth and margin improvement that we have seen during the quarter.

Profit after tax for the quarter before exceptional items grew by 21% year-on-year to INR 168 crores.

Pursuant to the changes under the New Labour Code, the company has recognized a onetime provision of INR42 crores towards employee benefits. However, this does not impact operating performance or any immediate cash flow.

Adjusted for this exceptional item pertaining to the Labour Code related impact, reported profit after tax was lower by 4% compared to previous year.

Net working capital stood at INR 2,944 crores, broadly near the September levels.
Net debt marginally declined to about INR 1,213 crores compared to the previous quarter.
Moving on to the 9-month results. Revenue grew at 12% year-on-year to -- close to about INR 5,500 crores. Again, growth was broad-based across all the businesses. EBITDA before R&

D
spend and exceptional items for the previous -- for the period was about INR 1,391 crores, which is 25% of the revenue and resulting in a 25% year-over-year growth. This reflects strong revenue growth and better utilization of facilities -- capacity utilization across facilities.
EBITDA post R&D expenses was INR921 crores, which is 17% of revenue.
PAT before exceptional items for 9 months grew by about 22% to INR505 crores.
While I have given a broad overview of the financials for the quarter, I now request Shaunak to take you through the India Branded Business. Over to you, Shaunak.
Shaunak Amin: Yes. Thank you, Krishnan.
The India Branded delivered a 6% year-on-year growth, reaching a revenue of INR652 crores for the quarter.
Gynaecology, Ophthalmology, animal healthcare segments have demonstrated accelerating performance.

Our anti-infective segment grew in line with performance, and we have launched successfully 4 new products in this quarter.
I will now hand over the discussion to Pranav
Pranav Amin: Thank you, Shaunak.
I'm pleased to present the performance for the third quarter of FY '26. The Q3 performance reflects continued momentum as we strengthened our presence across key markets and achieved growth in both formulations and API. The performance was driven by a 36% growth in ROW markets, reflecting our strategic geographic expansion and focused execution. The U.S. business grew 6%, supported by higher volumes and new launches in the last few quarters despite continuing pricing challenges.
We have executed a few out-licensing and manufacturing agreements as well that support our injectable and onco capabilities. These strategic contracts, along with the in-house products, will help us scale utilization in these new facilities over the next 12 to 18 months. We continue to maintain sharp focus on profitability and operational excellence.
We filed one ANDA during the quarter and cumulative ANDA filings were at 270.
Our R&D investment is approximately 9% of revenue, and it demonstrates our sustained commitment to pipeline development and long-term value creation.
The focus remains on complex and differentiated areas such as injectable, peptides, oral solids and drug discovery with an emphasis on early-entry opportunities, including First to File, Day-1 and NCE-1 launches.
We received 7 approvals in the U.S.

We launched 2 approved products in the U.S. during the quarter and cumulatively have 23 ANDA approvals and 20 tentative approvals.

We hope to launch another 4 to 5 products in the fourth quarter
of the year.
We're also on track to launch our first branded product in the U.S.
in February 2026. Sometime in Q4, we'll do it. Pivya is a first-line
oral antibiotic targeting uncomplicated urinary tract infections in
women with a track record of low treatment and emergent
adverse events. This will help us target this particular market in
the U.S.
While the launch will have an impact on near-term profitability, we
expect the product prescription share to scale up during the
course of the next 12 to 18 months. We are confident of the
medium- to long-term market opportunity that the product will help
us capture. Moreover, this helps us with a strategic shift towards
part branded business which we can ramp up hopefully in the
years to come.
With this, I would like to open the floor open for Q&A.
Moderator: Thank you very much. We will now begin the question and answer
session. The first question is from the line of Damayanti from
HSBC.
Damayanti: My first question is on India business. So Shaunak, we have seen
some improvement, but the growth seen so far is still below the
market growth rate. So when we are anticipating Alembic India
growth to catch up with the market growth? And what kind

of
progress you have seen versus last quarter when we spoke?
Shaunak Amin: Yes. So the India business is quite complicated, and to grow it on
a sustained basis requires a lot of interventions to make it happen.

Q1 of the coming financial year is where we feel we should be
back in line with the market growth rate.
Damayanti: Okay. So whether that will be driven more by improvement in
processes or you are looking forward to some meaningful
launches, et cetera, which can really help you to catch up with the
market growth rate?
Shaunak Amin: Launches continue to happen, but we're basing this to be more
back of operational execution to drive this growth in Q1.
Damayanti: Okay. So next fiscal is the time line where you think your India
growth will converge with the market growth rate?
Shaunak Amin: Yes.
Damayanti: Okay. My second question is to Pranav regarding your upcoming
launch of Pivya in the U.S.?
Pranav Amin: Yes.
Damayanti: So this is a branded product, right? And in this space, I think what
we have seen in the market, there were earlier launches, which
were good in terms of efficacy, but somehow there were a
problem on the reimbursement part, et cetera. That's why many -
- I'll say many brands went out of the market.
So what are your expectations in terms of reimbursement for this
product? And what preparations are currently underway? So what
makes you think, like, this will be a success compared to other
AMR products which were there in the U.S. market?
Pranav Amin: So the success is relative, right? what we're trying to build is just
some kind of incremental business. As you know, we've said
given the details about the licensing. It wasn't very expensive. It's
a higher royalty outgo for us. We believe there are a couple of
products already in the market, and we can position ourselves

well. There are some new ones which are very expensive. There

are some older ones which are genericized.
In terms of efficacy, we sit on a sweet spot. Let's see how it goes. It's still early days. Let's take a couple of quarters to see where we stand. In terms of the reimbursement and the co-pays and everything. U.S. team is working on that with the respective customers and the bodies.

Damayanti: Okay. But it's on track for launch this quarter, right, on -- in the fourth quarter?

Pranav Amin: Yes. It's on track for launch in this quarter. The MRs are being onboarded right now. The material is being shipped to the U.S. So we're on track for a Q4 launch.

Damayanti: Okay. And my last question is on U.S. business again, where we continue to see challenges on the pricing part. And then you mentioned some contracts on the injectable and onco space, which might help you in coming quarters, et cetera. So besides - - first, like, when these contracts will start appearing in your numbers? And when do you think U.S. will be back on growth track?

Pranav Amin: U.S. is already on the growth track as we speak. We are growing in terms of volumes. We're growing quite a bit with the pricing pressure. it's 6%. Last year, Q3, we had a higher base because we had a few more launches in Q3 of last year, a few big launches that bumped up Q3 last year.
But I expect the U.S. business to grow between 10% to 12% for the full -- on full year basis. And we are well on track for that. We have a few interesting launches happening in Q4 as well.

Moderator: The next question is from the line of Candice Pereira from Dolat Capital.

Candice Pereira: So just to clarify, the R&D number is INR165 crores, right, for this quarter?

G. Krishnan: Yes.

Candice Pereira: Okay. And will it remain in this range for the next year as well for FY '27 9% of revenue?

G. Krishnan: Sorry, your voice is a bit muffle

d. If I understand the question is, is it going to be at the same level for next year?

Candice Pereira: Yes.

G. Krishnan: we will guide sometime when we start the next year. But for the current year, we are seeing it about 8% to 9% of total revenue as R&D spend. And it's been at the similar levels for Alembic in the last few years. So for next year, specifically, we will discuss at the time when we do the quarter 4 results.

Pranav Amin: Yes. But by and large, we will be along the same numbers between that 8%, 9% kind of range generally.

Candice Pereira: Okay. Got it. And the other income is slightly higher this quarter. So is there any forex gain? And how much is it?

G. Krishnan: Yes. And forex gain should not be big. So yes, so the other income is about INR15.5 crores, and most of that will be forex gain.

Moderator: The next question is from the line of Rahul from IIFL.

Rahul: Sir, on the domestic business, can you talk about the challenges which we are facing because our domestic business growth has been quite tepid over the past 3 to 4 years. So we have been underperforming market growth. And in the past as well, we have talked about growth improving, but we haven't seen that playing

out. So just in terms of how our domestic business is shaping up

to be.
And do you think that with the kind of scale up in investments which we were doing for the U.S. business, over that period maybe the investments on the domestic business have been on the lower side due to which now we are struggling to grow even in line with market?
Shaunak Amin: No Rahul, I mean, I don't think there's an issue of underfunding the business. I mean, if you want to talk about something that maybe we were too conservative on, the whole doctor spend scenario in the context of UCMP, possibly we were too conservative and extremely sensitive to it relative to the market. That's what I understand.
So maybe that was one of the factors which has led to this. Ex of this, historically, Alembic has not been a high-growth company. But we wanted to fix the fundamental issues that have been plaguing us. That compounded with the post-COVID drop that we saw, rather the COVID bump that we saw for a large part of our large brands in the business, dealing with those -- when those markets prepped, it compounded the whole view. I agree with you, the growth has been tepid. But we're quite confident of this going forward.
Rahul: So some of your peers have also been actively expanding their rep teams in India in order to, let's say, drive penetration in some of the smaller Tier 2, Tier 3 markets. So while we are adhering to the ethical norms might have slightly impacted our growth. But do you think that there is a need for us to expand our field force in order to drive better penetration at the market level, which could help us to drive better growth going forward?

Shaunak Amin: I personally don't think at this point we are looking at any further large expansions. But that being said, yes, there is a large opportunity in the India market, assuming if things start going as per our expectations operationally, I mean, we would consider and look at those plans to take it forward.
On the point of the UCMP, I don't think it's a small bit. It's a very large bit. That's a large part of many companies where there is extremely high growth.
Rahul: Then if that is your stated strategy, that's not going to change going forward. So then our domestic business in the best-case scenario would, let's say, grow only in line with market or continue to slightly underperform market?
Shaunak Amin: I think, Rahul, we can take this offline. It is a lengthier discussion because we're talking of multitudes of company. But yes, the alignment UCMP possibly more companies are sensitive to it tod

ay than they were in the last 2 years.
Rahul: And a question with respect to the U.S. business. So while we have been aggressively investing in terms of R&D, so FY '25, we saw a slowdown in our R&D spend. But again, this year, there has been an acceleration. So when do we actually see our U.S. growth picking up from whatever complex opportunities, which we are pursuing.
So Pranav talked about injectable, peptides, even drug device combinations. So just some outlook in terms of how do you see the U.S. trajectory over the next 2- to 3-year period because, as I said, we have been aggressively investing behind this business?
Pranav Amin: No, Rahul, the U.S. business has been growing. What's happening is due to increased competition and competitive intensity, we are finding that the opportunities are becoming little less. Having said that, in terms of volume, we continue growing.

With some of the injectable that we're doing, we've got a few injectable opportunities, we're getting a few more. And over the next 2 years is when we should see a lot more of that coming up. Ophthalmic, we've done a pretty good job, and we've got a lot of market share in most of the ophthalmics that we've got and a lot of leadership positions over there. And injectable, the general injectable and complexes also, we'll do that over the next couple of years once we get the additional approvals.
Rahul: So do you think that the U.S. business can grow at a mid-teens kind of a constant currency rate going into '27 and '28?
Pranav Amin: Yes, it could. Ideally, I would like to go into the mid-teens like between 10% to 15%, at least I would expect the U.S. business to continue growing every year.
Rahul: And one last question from my side with your permission. So with respect to this branded product launch, sir, what kind of a margin drag should we factor in, let's say, for an initial period till the product starts scaling up?
Pranav Amin: Till the product starts scaling up we wouldn't have any margin because until it gets to a certain point, you have your MR cost, you have the royalty payments, you have everything else. So let's wait for a couple of quarters, and you guys will all get a much better idea. We will also get a much better idea how quick the ramp-up is happening.
Rahul: But let's say, if we had to budget in the opex for this business, what kind of opex do you envisage for this business for, let's say, FY '27?
G. Krishnan: So Rahul, the way you should look at it is at an overall company level the margin is something that you should factor. And what we are seeing is that the core business margins have shown

improvement in the current financial year. And with better capacity utilization in the existing facilities that we have put, the margin expansion is something that we should see coming out in the next few quarters.
Now we are -- like Pranav said, we don't know exactly where we will land on the top line, so hence the margin pressure on Pivya launch is something it's not possible for us to predict at this point. But from a modeling perspective, you could assume that the margin expansion will be sort of a cushion for the expenses that will come from Pivya.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. G. Krishnan for his closing comments.
G. Krishnan: Thank you for joining us on the call for third quarter. Please feel free to reach out to the team for any clarifications or questions you might have. And thank you once again. Have a very good evening.
Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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Date: 21st May, 2026

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APLLTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 15th May, 2026

Ref: Our Intimation dated 29th April, 2026

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 15th May, 2026.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

"Alembic Pharmaceuticals Limited
Q4 FY '26 Earnings Conference Call "
May 15, 202 6

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. G. KRISHNAN – CHIEF FINANCIAL OFFICER
MR. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT
MS. ISHA LAMBA – HEAD, CORPORATE DEVELOPMENT
AND INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '26 Earnings Conference Call of Alembic Pharmaceuticals Limited.

We have with us today Mr. Pranav Amin, Managing Director; Mr. G. Krishnan, CFO; Mr. Ajay Kumar Desai, Senior Vice President, Finance; and Ms. Isha Lamba, General Manager, Corporate Development and Investor Relations. As a reminder, this conference call is only for analysts and institutional inv estors.
As a reminder, this conference call is only for analysts and institutional investors. All participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistan ce during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pranav Amin, Managing Director. Thank you, and over to you, sir.
Pranav Amin: Thank you, and good evening, everyone. Thank you for joining us at the Alembic Pharmaceuticals Q4 and FY '26 Investor Call. I'm joined with Mr. Krishnan, the CFO, as well as members of the management team.
I will begin with a brief perspective on the environment, performance across our businesses and strategic actions and a directional view for FY '27. And then Krishnan will take you through the financial performance for the quarter and the full year ahead.
The external environment continues to remain dynamic across the markets, pricing pressure, competitive intensity, regulatory expectation and supply chain volatility, continue to shape the performance. In this backdrop, outcomes are being driven less by

market tailwinds and more by execution, quality, portfolio choices, cost discipline and capital allocation.
Our approach through the financial year has remained anchored on 4 clear priorities, which is maintaining our gross margin, protecting the core business, improving operating leverage, and investing selectively in future growth platforms, while sharpening operation excell ence across all the businesses.
So while FY '26 included strategic investments and quarters and some quarter -specific impacts, the broader direction remains clear. We are working to build a stronger and more execution -led platform for the medium term.
Starting with the India business. The business delivered 4% year -on-year growth. The quarter was supported by price -led growth and new launches. While within the portfolio, Specialty Therapies and animal healthcare continued to perform relatively better. Specialty growth was supported by Gynecology , Gastrology and Ophthalmology , while animal healthcare grew strongly and remained an important growth driver. Focus brands also continued to grow ahead of the broader portfolio, which is important from a quality of growth standpoint.
The Indore facility is fully operational. Capacity utilization is improving, and this gives us a better base for supply reliability, logistics, operating efficiency and future scaling. We also continued the portfolio refresh with new product launches durin g the quarter, and that should support better growth quality moving forward.
For the full year, India business delivered a growth of 5%. Operationally in the India business on a firmer footing, and we continue to strengthen the field operations and productivity metrics, focused governance to drive performance.

The Q4 international business growth remained positive with U.S. showing growth led by volumes and new launches. The ex U.S. markets also continued doing well and grew 20% for the year, whilst the quarter was muted, but the full year grew 20%. The quarterly performance of ex U.S.

is mainly muted due to a higher
base and one -off variances. We're confident of continuing this growth in the ensuing quarters.
We continue to build the pipeline and launch platform. During the quarter, we had 6 new launches in the U.S. further ANDA filings and approvals and progress on partnership -led opportunities. Our new facilities are getting better utilized, and we foresee m uch greater volumes coming out of these facilities in the current year.
The broader international business remains a key growth engine. But the business will require sharper product selection, disciplined launch and tighter control. On a yearly basis, we are pretty happy with the operational outcomes and the way the business has panned out, and I'm confident that moving forward this year will show some of these results.
The API business delivered a modest growth in Q4, driven primarily by volumes, while pricing remained a headwind. This is consistent with the broader market environment we have discussed in earlier calls as well. Our response continues to be on cost impro vement, portfolio choices and capturing opportunities, where our development and manufacturing strengths provide a better economic profile.
At a broader level, we are consciously moving towards a more execution -led strategic model. This means higher focus on quality of portfolio and launches with asset utilization, stronger cost and working capital discipline and selective investments in plat forms.

One part of the strategic pivot is our U.S. branded business approach. We view this as calibrated strategic entry with a focused go -to-market model and measured investment. The objective is not rapid scale, but to build a credible and sustainable specialt y platform over a period of time. While there may be a short -term impact on profitability, which should get offset from improved operating leverage in the core business.
In terms of the FY '27 directional outlook, we are planning a pragmatic view of the external environment. We are not assuming any major easing in pricing pressure, competition or supply chain volatility. At the same time, we do see room for performance through internal levers. On the international business, we expect product launches to be phased through the year with a few meaningful day 1 launches in the first couple of quarters and better volumes in the existing portfolio.
We also expect the U.S. branded business to scale up, supported by selective product additions to strengthen the franchise. New product additions, deeper collaborations and expansion into new territories across Europe and Asia will also support the ex U.S . markets.
We expect the India business to improve and growth momentum and hope to be closer to market growth with a renewed approach to strengthen focused brands.
The international generic business are also likely to grow at a decent amount by low to mid -teen range and the API business to grow in the high single or low double -digit growth. This will translate into an overall top line consolidated growth to be in the low double -digit range .
R&D investments are likely to be around INR750 crores to INR800 crores as we calibrate our portfolio and structurally move

towards higher value opportunities, focusing on NCE -1, First -to-File and Day 1 molecules.
While being cautious in global geopolitics and related developments, the focus will be not only on growth, but on the quality of growth, better capacity utilization, focused cost savings, working capital and investing in a differentiated product portfolio.
With that, let me hand over to Krishnan, who will take you through the financial performance for the quarter and full year.
G. Krishnan: Thank you, Pranav. Good evening, everyone. Let me take you through the financ

ial performance for quarter 4 and then the full year of 2026, and give you all some flavor of FY '27 as well.
For the quarter, revenue from operations stood at INR1,838 crores, up by 4% year -on-year. The quarter reflected a resilient performance in the top line, supported by new launches in the U.S., volume -led growth in API and Animal Health, partly offset by pricing pressure in certain segments.
On the operating front, EBITDA before R&D stood at INR455 crores, up by about 8% year -on-year with core margins at almost at 25% compared to 24% in the previous year, same quarter. This reflects better business mix with slightly better gross margins at 71%, but staying in the previously mentioned range of abo ut 70% to 75%.
The EBITDA is after net operating expenses of the U.S. branded business, which started operations in quarter 4. Going forward, we continue to expect the operating leverage improvement to offset the new -- offset the launch phase margin impact of the U.S. branded business.
R&D spending for the quarter was at INR209 crores compared with INR151 crores in the same quarter last year, representing

11% of revenue versus 9% last year. The increase was driven by peptide -related development activities that we did during the quarter and higher filings in U.S. and ex U.S. markets compared to the previous year. This we believe will help us position for growth in the subsequent periods.
At the profit level, the reported profit after tax for the quarter stood at INR203 crores. The quarter included an exceptional item of INR24 crores as well as onetime tax adjustments of INR101 crores, which is a positive impact relating to MAT Credit and tax regime related adjustments.
From a balance sheet perspective, net working capital stood at -- almost close to INR3,000 crores, an increase of about INR50 crores versus the December levels, mainly driven by receivables that are not at due. Gross debt was at INR1,361 crores broadly in line with the December levels. For the full year, revenue grew by about 10% year -on-year, supported by growth across businesses, while absorbing a higher level of investment in R&D and strategic growth initiatives.
For FY '26, EBITDA before R&D and exceptional items stood at INR1,846 crores, representing 25% of revenue and a 20% year -on-year growth. This reflects growth in the business with better operating leverage across facilities. EBITDA after R&D was at 17% of revenue. Profit before tax and before exceptional items grew at 10%, broadly reflecting the revenue growth that we had during the year. Reported profit after tax grew at 16% to INR675 crores.

Overall, FY '26 was a year of steady core operating delivery alongside higher investment in the pipeline and future growth platforms. While some of these investments have a near -term impact on reported profitability, they are very well aligned to improvin g medium -term growth quality and strategic positioning.

As Pranav mentioned earlier, our current view for FY '27 is directional and based on current visibility. At a consolidated level, we are targeting a low double -digit growth, top line growth .
Alongside growth, our focus will remain on margin protection, working capital management and capital efficient execution. We expect margin improvement from core business to give enough headroom to support the launch phase of U.S. branded business.
With the launch of Pivya, we expect the branded business franchise to scale up to a meaningful revenue profile in the next few quarters.
We expect capital expenditure for the year to be in the range of INR300 crores to INR350 crores, primarily towards capacity, debottlenecking and replacement capex . In summary, FY '26 reinforced resilience, while FY '27, we believe, is focused on maintaining the momentum and winning through execution.
With that, we can now open the floor for questions and answers.
Moderator: Thank you very much. We will now begin the question and answer session. Your first question comes from the line of Jahnvi Mishra from Green Portfolio Private Limited.
Jahnvi Mishra: Sir, actually, I would like to ask about the F2 and F3 facilities that remain underutilized, pending FDA approvals. Like could you tell us roughly how much cost these facilities are adding to the P&L every year without corresponding revenue? And at what p oint, whether through our own product approval or the contract manufacturing deals that we have signed, do these facilities start covering their own cost? And what is our internal time line for that?
Pranav Amin: We don't give facility -wise breakup, but I can just give you a flavor of what's happening. Both F2 and F3 are working at a much higher occupancy level than they used to. We're seeing more

meaningful contribution from these. If you see F3 has multiple lines, and the ophthalmic line is already chock -a-block.
In fact, we're doing an expansion of the ophthalmic line, because it's already at full capacity in terms of the other 2 lines. And actually, those are also about 40% and 60% capacity utilization for both.
In terms of F2, the injectable line and OSD, they are both working at a decent amount. We have a few limited competition opportunities coming, which is what is going to enable them and use these facilities. So the unabsorbed OSD of both these is not as m uch of an issue for us.
They may be -- it's too small a drag in the whole scheme of things. But it's more important for us to keep some headway in these facilities as we have some important day 1 launches coming from these facilities as well as we're seeing a lot of opportunities for product launches in the next couple of quarters.
Jahnvi Mishra: Okay, sir. And sir, of the contract manufacturing deals that are already signed for F2, F3, like are any of them expected to generate meaningful revenue in '27 itself? Or like is it more of a FY '28 story?
Pranav Amin: No, it's already started. Some of the licensing and some of the

contract manufacturing is in progress. So we'll see part contribution from that in FY '27 itself.

Moderator: Our next question comes from the line of Rahul Jeewani from IIFL.

Rahul Jeewani: Sir, can you call out what kind of an impact you saw in the quarter from the investment into the U.S. Specialty business? So, is there any drag sitting on the current quarter's margins, because of

Pivya? And how do you see that going forward as well into FY '27? So that's my first question.

Pranav Amin: Yes. Yes. Thanks, Rahul. Ye s there was a drag in the quarter due to the Alembic Therapeutics business, which is a sub that has launched the Pivya product. I'll give a direction and Krishnan will give you further details.

There was a drag on the business because of that. The product just got launched in February. So we have taken up some of the costs. I expect another quarter or two of the drag coming, by the end of the year, we should start seeing a decent contribution. And last quarter is when we see it starting to turn ar ound.

It's an interesting area. The only thing it's branded. So it does take more time to get the doctor habits to change. So we're quite confident. The initial trend is quite healthy. So there will be a drag for another quarter or two. Krishnan, do you want to?

G. Krishnan: Yes. So on the specific drag, I don't want to put a number to this, then it becomes a continuous discussion on what's the product level margins that we're going to disclose. Directionally, if you see for the full year, we have been able to maintain the ma rgins. For the q

uarter, there is a bit of drag coming in from the higher R&D spend as well.

So, from a modeling point of view, I would take about 100 to 150 basis points of impact coming from Pivya, from the branded business in U.S. And we believe that the margin trajectory for FY '27, the core EBITDA margins that comes from the generic formul ations and API business should be more than sufficient to offset this impact.

Rahul Jeewani: Sure, sir. And sir, on R&D, this quarter, we saw an increase. You said that the increase was on account of peptide development. But can you talk about in terms of how do you measure the R&D

productivity, particularly for the U.S. business? And -- why I say so is because when we were benefiting from Sartan opportunity in the U.S., at that point in time, our annual R&D spend was around INR650 crores, which we had moderated over last couple of years to, let's say, closer to INR550 c rores kind of an annual number.

Now for next year as well, we are again guiding for increase in R&D spend to INR750 crores to INR800 crores. So just in terms of how do you measure productivity of this R&D investment, because the high R&D investments are, in fact, dragging your reported EBITDA margin?

Pranav Amin: Yes, Rahul, good question, actually. So a few things. So first of all, the Q4 was a little bit of an outlier at 11% of sales is a little higher than we would have liked to be. You're right. Historically, we have gone up to about 14%, 15% of revenue as R&D spend, we have tapered it down last couple of years.

The quality of the filings that we're doing is also going up, which has caused some higher spend. But moving forward for the year,

I don't expect it to be at 11%. It will come back down to about 9% again. And on an absolute amount, we'll be at that INR750-odd crore s level.
The reason why this last quarter was a little higher is because we have a few selective complex and peptide developments, which were a little more expensive. That's what created a bump. But in terms of how we measure it, we generally have an IRR for eac h of our R&D projects. That's what we base our calculations on and what makes sense.
As it's getting more competitive, development cost is also getting more expensive. So the threshold IRR has come down, but we still see some opportunities, and that's how we're measuring.

We're measuring it by opportunity -to-opportunity. The only way we can grow is that we do have products in the market. And hence, we will not go up to the 15% levels, but it's 8% to 9% of revenues where we'll be at.
Rahul Jeewani: Sure, sir. And you said you measure R&D productivity through IRR. So, let's say, over FY '22, '23 or '24, the R&D spend, which we would have done at that point in time, what kind of an IRR would those spends would be generating as of now, if you can share some numbers?
Pranav Amin: So, Rahul, it's a little tough to say, because what's happening is a lot of the filings that happened there, especially from the new facilities, let's say, the Peptides and everything, they're all late expiry. The whole point of the Peptides facility was that it's -- we are locking in some of the day 1.
You will see one of them, 1 launch happening in the end of this quarter. So, it's still tough to put it all together. As I mentioned, the returns came down compared to the returns that we were seeing pre -2020. That's one of the reasons why we tapered down some of the R&D costs as well.
Rahul Jeewani: Sure, sir. And last question from my end before I join back the queue. You talked about FY '27 guidance from a top line growth perspective. Can you provide some color in terms of EBITDA margins as well, given that we will have the drag of Pivya this year, w

hile on the base business, F2, F3 we'll see an improving utilization by the end of the year. So do you think you can improve margins over FY '26 levels? Or we should be baking in flat margins versus...
Pranav Amin: It's a good question, Rahul. The way I see the business is that the Pivya drag, as I mentioned, by the end of the year it will not

be a drag anymore. And for the rest of it will be covered up by the core business and the business growth that we're seeing.
We have a few interesting opportunities in the U.S. I expect the U.S. business to grow between 10% to 15% at least. The ROW will continue the growth at 15 -plus percent. API will be closer to the 10% growth. And India, we hope with some changes, we will get to market growth.
So with all this, we'll have a high contribution. In terms of capex also we don't have too much this year. We will see -- definitely see an improvement in the margins this year. As I mentioned, at some point, we would go back up to the 20% kind of EBITDA margins over a 2 , 3 year period. And I expect that this year, it's going to be a good year that we will start seeing improvement in the margins as well.

Rahul Jeewani: Sure, sir. Are we quantifying any number for FY '27?
Pranav Amin: No, no, I'm not giving any guidance. Let's see how the first couple of quarters go and then we'll get an idea.
Moderator: Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, just on your U.S. guidance of 10% to 15% is INR terms, right? So 5%, 6% depreciation is what is -- currency depreciation is what is baked in. So effectively 7%, 8% growth in constant currency terms. Is that the way to think about?
Pranav Amin: Yes. again, it's not a guidance, but just the way I see the business right now, we'll definitely have growth in the market. Yes, that's one way of looking at it. I'm saying, yes, in terms of INR terms, I mentioned 10% to 15%.

Tushar Manudhane: And sir, on peptide side, like what kind of investment we are envisaging in terms of R&D and in terms of capex separately?
Pranav Amin: So capex is all done. We've already completed the capex of the peptides. This was a filing that had to happen, some of the batches and it's important, it's a big filing. So hence, we had some costs related to that. Moving forward, we will not have as many such costs, as and when a product comes into developmen t. But this was an outlier because the batches were conducted, and there was an NCE -1, 5.
Tushar Manudhane: So how many filings are we sort of thinking on peptide? Maybe over next 12 months?
Pranav Amin: We've got a couple. The portfolio is about 5 to 6 that we had. Two of them are filed already and the rest are going on.
Tushar Manudhane: And sorry for my ignorance, but how much capex you have already done for peptide?
Pranav Amin: We haven't given a disclosure because it's a part of an already ongoing and existing API facility and that's why we've done the peptide API investment. In terms of the formulation, it gets taken care of by our regular formulation capacity that we have.
Tushar Manudhane: Okay. So this is not a dedicated capex for peptide business?
Pranav Amin: No. It is part of a facility I mean, an ongoing facility where we've fine-tuned on block.
Tushar Manudhane: Sir, on the API side at a portfolio level, have we seen like sort of price increases given the crude -linked derivatives, so to say, solvents have seen sharp increase in prices. So subsequently, have you seen API prices moving up for us? API prices still d o...

Pranav Amin: Good question, Tushar. So I'll just give you a background. Just as you said, I'll give you background about ou

r API business. Our
API business, we generally -- it's a pretty high -margin business and a pretty high -- it's quite a profitable business for us. Because one of the reasons is we do sell APIs at a much hig her price. We don't compete at the bottom level whether -- for lack of a better -- whether Chinese or the are dropping prices. So we do have premium prices on the markets. That's on e.
And our business values the compliance and the supply chain resilience, right? So we have good prices on the API side in the market. Secondly, in terms of -- are we seeing increase in some solvents? Yes, we're seeing it. Have we passed it on? No, it's sti ll not a materially big issue for us. As you know, we generally do carry a higher bit of inventory, and that's helped us out right now.

We're okay we're utilizing the inventory. We do have higher prices. So that's not as much of a concern for us at this st age.
Tushar Manudhane: Understood. So probably considering the current inventory is at least for next year?
Pranav Amin: Yes. It's not impacting any margins for us.
Tushar Manudhane: And as far as branded business, so post launch, of course, it's too shorter time period. But any sort of either in terms of increasing prescription or any color you would like to...
Pranav Amin: Yes, I don't have any data that I can share with all of you, but I can just say it's just been only February end right that we launched. So it's only been a couple of months. And this is where we're visiting the doctors, we've started off with a smaller field force, reaching out to doctors only in high prescription territory for UTIs. So we're seeing a good trend. We're seeing good feedback. it will be another quarter or two until we are more comfortable giving out more metrics on this.

Tushar Manudhane: And lastly, just on a broader question, sir, like in terms of capital allocation, like the peptide is one area where you've done reasonable investment over the last 1 to 2 years. Now this branded business is there. So, likewise, any other areas where the capital allocation would happen in, let's say, FY '27, '28? Or these are the key areas to focus on?
Pranav Amin: So what's going to happen is in terms of capital allocation , if you see in terms of capex , we are broadly done with all our capex , even the branded business, it doesn't entail any capex . The only investment was in -licensing of the product. So on the branded side, we will in -license few more products. We're seeing some opportunities that we can build into Alembic Therapeutics to grow the branded business. So that is one part.
Second is the R&D investments will continue, though is in a measured manner to see where it happens. And that's it, these are the 2 broad areas and complex products is where still -- basically it will be R&D and the branded business.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. G. Krishnan for closing comments.
G. Krishnan: Thank you for joining us on the quarter 4 and full year conference call. If you have got any follow -up questions, please reach out to the Investor Relations team. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you, every one, for j oining us, and you may now disconnect your lines.